Answers to 50 Things You Need to Know About Principles & Practices of Insurance

1) Who owns a mutual insurance company? ***(the policy holders)***

2) What did factory mutual insurance companies specialize in? ***(fire risk management)***

3) How often will a policy with an aggregate policy limit pay out on claims? ***(until the limit is used up for the term)***

4) How often will a policy with an occurrence limit pay out on claims? ***(every time a loss occurs)***

5) What is the difference between an agent and a broker? ***(agent = one company, broker = multiple companies)***

6) What is the difference between actual cash value and replacement cost? ***(actual cash value is the replacement cost less depreciation and replacement cost is the cost of the item at the time of loss without depreciation)***

7) What is a bailee? ***(someone in the care custody and control of someone else's property)***

8) What are the four reasons a property insurance policy may be automatically assigned? ***(bankruptcy, death, operation of law, and succession)***

9) What is binding authority and who grants it to a broker***? (binding authority is the authority to put a contract of insurance in effect without contacting the insurer for permission and it is granted by the insurer)***

10) What are the three elements necessary for a contract of insurance only? ***(utmost good faith, indemnity, and insurable interest)***

11) What is a claim reserve? (***once a claim is reported, insurers are required to put money aside to pay the claim)***

12) To whom are the rights of subrogation granted once a claim if paid? (***the insurance company)***

13) What value is depreciation taken off in the settlement of a claim on an actual cash value basis? ***(it is taken off the replacement cost of the item at the time of the loss)***

14) Is proximate cause the last event that occurs and causes a loss? ***(no. it is the immediate and effective cause of the loss but not necessarily the last in a chain of events)***

15) What is earned premium? What is unearned premium? ***(earned premium is the premium that is used up while unearned premium is the premium that has not yet been used up yet)***

16) What is an endorsement used to do? ***(used to change or amend a policy)***

17) What does exclusion mean? ***(not included)***

18) What type of refund is required when an insurer cancels an insurance policy? ***(pro rata)***

19) What type of refund is required when an insured cancels his insurance policy? ***(short rate)***

20) What is a franchise deductible? ***(a deductible that no longer exists once the loss reaches a certain amount)***

21) What is a material fact? ***(a fact that is so important that it determines on its own whether a risk is acceptable or not and the basis on which the premium will be determined)***

22) What is misrepresentation? ***(a lie about a material fact)***

23) What is a hazard? ***(a condition that may cause a loss to occur)***

24) What are the two types of hazards? ***(physical and moral)***

25) When is the principle of general average used? ***(when cargo on a ship or cars on a ferry are jettisoned to save the ship or ferry. All the insurers of the cargo or cars not jettisoned will contribute towards the loss)***

26) What is a stock insurance company? ***(an insurance company that trades on the stock market and is owned by its shareholders)***

27) In regards to Lloyds of London, who makes up groups of syndicates? ***(investors)***

28) What is common law based on? ***(law of the common people and precedents)***

29) What is statute law? ***(law enacted by the government)***

30) Who is the lessee? Who is the lessor? ***(lessee is the person leasing the car and lessor is the leasing company)***

31) What is a lien? ***(a loan or financial interest someone holds on a property)***

32) How does the mortgage clause protect the mortgagee if the insured violates the policy? ***(if insured violated the policy, they will not receive any benefits from the policy, but the insurable interest of the mortgagee is protected)***

33) What insurance coverage requires that the insured be negligent before it will pay out? ***(liability)***

34) What is a peril? ***(an event that may cause a loss to occur)***

35) What is risk? What type of risk can be insured? ***(risk is the chance of a loss and only pure risk can be insured)***

36) What is reinsurance? ***(insurance companies taking out insurance on what they insure)***

37) What is a rate? ***(the price of a unit of insurance)***

38) What three types of policies require statutory conditions? ***(accident and sickness, auto, and fire)***

39) Who is the first party and who is the third party in a contract of insurance? ***(first party is the insured and the third party is anyone else involved in claiming from the insurance contract)***

40) What is time on risk? ***(the length of time in days that the policy has been in force)***

41) What is a tort? What does it usually result in? ***(a tort is a legal wrong done against another and it usually results in the injured party suing the person who caused their injury)***

42) What is the unearned premium reserve fund? ***(a fund to guarantee an insurer's unearned premium as of any given valuation date)***

43) What does a valued policy do? ***(it guarantees the amount set out in the policy)***

44) What is the difference between vacant and unoccupied? ***(intent to return)***

45) What occurs when a policy is made void? ***(it is treated as if it never existed, cancelled back to inception date, and all premium is returned)***

46) An insurance policy will pay the lesser of these three things? ***(actual cash value, insurable interest, policy limit)***

47) When does an insurance policy expire? ***(12:01 a.m. on the date stated)***

48) What is an example of a contract of compensation? ***(a life insurance policy)***

49) What is necessary when determining what name an insurance policy will be set up in? ***(the owner of the property of vehicle, whether it be a person or organization)***

50) What is a writ? ***(a notice that someone is being sued)***

Principles & Practices of Insurance Sample Exam Questions

1) Insurance is:
   a) The sharing of the losses of the many amongst the few.
   b) The undertaking by one party to indemnify another against losses.
   c) The mechanism to prevent loss.
   d) Speculative risk.

2) Risk is:
   a) The certainty of loss.
   b) An event that may cause a loss.
   c) The chance of a loss.
   d) Moral hazard.

3) Which of the following is correct?
   a) A peril is an event that may cause a loss.
   b) A hazard can cause a loss to be less severe.
   c) An example of physical hazard is obsolescence of plant and machinery.
   d) Moral hazard is easier to delete and correct than physical hazard.

4) Which of the following is incorrect?
   a) A rate is a price of a unit of insurance.
   b) A premium is the amount of money charged to insure a specific risk.
   c) Casualty insurance specializes in commercial property insurance and accident insurance.
   d) A public adjuster works on behalf of the insured.

5) Which of the following is correct?
   a) Agents are intermediaries representing several insurers.
   b) Brokers get their authority to bind coverage from their insurers.
   c) Brokers are licensed by the Ontario Insurance Commission.
   d) Binding authority gives an insured the ability to buy the policy limits they require.

6) A material fact is one that could effect:
   a) The premium or type of policy available.
   b) The term of the policy.
   c) The premium payment methods.
   d) The statutory conditions.

7) Which of the following is true about a binder or temporary insurance?
   a) It should be canceled the same way as permanent insurance.
   b) It is safe to just let temporary insurance expire at which time the coverage ceases.
   c) A binder is issued by RIBO.
   d) A binder should show the premium charged.

8) Which of the following is correct in respect to assignment of an insurance policy?
   a) Policies must be assigned if requested by the insured in writing.
   b) Policies can never be assigned.
   c) Assignment of claims proceeds requires consent of insurer.
   d) Some policies can be assigned automatically.

9) Which of the following is correct?
   a) If a policy is cancelled by the insurer, the insurer must give advance notice and provide a short rate refund.
   b) If the policy is voided by the insurer all of the premium must be refunded.
   c) Statutory conditions do not apply to accident and sickness insurance policies.
   d) All insurance applications must be signed.

10) Which of the following is correct about deductibles?
   a) Some deductibles disappear if the loss exceeds a certain limit.
   b) The higher the deductible the more premium you will pay.
   c) In the event of theft a deductible applies to each item stolen.
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   a) Slippery floors.
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   a) Untidy housekeeping.
   b) Mental attitudes of the person.
   c) It relates to property.
   d) It doesn’t relate to the conditions attributable to the human elements of the risk.

13) Consideration as it relates to insurance is:
   a) The premium.
   b) The insurance conditions.
   c) The object being insured.
   d) The dollar amount insured.

14) Common law is:
   a) Based on old English laws that used to apply to the common people.
   b) The law that regulates matrimonial relationships.
   c) Sometimes referred to as civil law.
   d) Law that had its origins in Quebec.

15) Insurable interest is:
    a) The interest that life insurance companies are required to pay by law.
    b) The monetary interest a person might have in the happening of a loss.
    c) The interest an underwriter has in writing a profitable line of business.
    d) The interest an insurance company earns on its investments.

16) Misrepresentation is:
    a) The same as non-disclosure.
    b) A breach of warranty.
    c) Going to automatically void a policy.
    d) An incorrect statement about a material fact.

17) With respect to federally licensed insurance companies, the office of the Superintendent of Financial Institutions, in Ottawa:
    a) Regulates the financial stability of insurance companies.
    b) Controls the type of policies issued.
    c) Determines the type of agent or broker the company will use.
    d) Controls the automobile wording.

18) An insurance policy may be terminated by:
    a) A mortgagee at any time.
    b) The insurer, subject to proper notice.
    c) The insured, subject to proper notice.
    d) An agent of the insurer.

19) What statement best describes unearned premium?
    a) Premium paid in advance from the insured.
    b) Premium not earned (used up) yet on the policy.
    c) Incurred losses.
    d) None of the above.

20) What are the different types of insurance companies?
    a) Mutual.
    b) Stock and Mutual.
    c) Mutual, Stock and Lloyds.
    d) Stock.

21) Statutory conditions are:
    a) Required to be part of a fire policy.
    b) The same as insuring agreements.
    c) Optional on all policies.
    d) Written by the insurance companies.

22) Indemnity is:
    a) Paying twice the amount claimed following a loss.
    b) Restoring the insured to the same financial situation as before the loss.
    c) Repaying the premium to the insured if no claim was made.
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    a) To insure that the premiums are paid each year to retain the in force business.
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    c) The adjusting of property claims.
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24) The concept of utmost good faith:
    a) Is necessary for a contract of insurance.
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    c) Is obsolete and no longer applies.
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25) Which of the following is specific to the basis of an insurance contracts?
    a) Legal Capacity.
    b) Indemnity.
    c) Risk.
    d) Consideration.

26) Which of the following are false regarding statutory conditions?
    a) They are applicable to auto, accident and sickness, and fire insurance.
    b) They are deemed to apply even if not mentioned in the policy.
    c) They must be printed on binders and cover notes.
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27) What is a requirement of all contracts in common law provinces?
    a) Consideration.
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31) The insurer's right to recover losses paid from a responsible third party is called:
   a) Consideration.
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   c) Contribution.
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32) Which of the following statements is true?
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   a) Is the subject of insurance.
   b) Is any fact that related to the item insured.
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   a) There are certain obligations under the mortgage clause that apply to the mortgagee.
   b) A mortgage clause protects the rights of the mortgagee.
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Answers to 50 Things You Need to Know About RIBO Rules & Regulations

1) What does RIBO stand for? ***(Registered Insurance Brokers of Ontario)***

2) Who does the RIB Act protect? ***(the insurance consumer)***

3) What are three things necessary to qualify for registration as an insurance broker? ***(anything from the list in Who Can Be an Insurance Broker section is acceptable.)***

4) What are three things a broker with a license restricted to "Acting Under Supervision" may not do? ***(control trust funds, act as a Principal Broker, or operate as a sole proprietor)***

5) When do all RIBO licenses expire? ***(September 30 of every year)***

6) When do all RIBO licenses need to be renewed? ***(August 31 of every year)***

7) What does a broker need to do if they have a second occupation? ***(apply for a Secondary Business Exemption)***

8) What occupations does RIBO allow them to do? ***(what they feel is not a conflict of interest)***

9) How often must a broker file a position report? ***(twice a year)***

10) Is there any way they can get this changed to filing only one a year? ***(yes, by filing an exemption)***

11) How much notice will RIBO give prior to a spot check at a brokerage? ***(30 days)***

12) How many people sit on the RIBO Council? ***(13)***

13) How many of the RIBO council are elected? ***(9)***

14) How many of the RIBO council are appointed? ***(4)***

15) Who appoints the appointees? ***(Lieutenant Governor in Council)***

16) How many RIBO Committees are there? ***(5)***

17) What does the Complaints Committee do? ***(investigate complaints)***

18) What does the Discipline Committee do? ***(set disciplinary actions)***

19) What does the Qualification and Registration Committee do? ***(make sure brokers are qualified)***

20) How many days do you have to update certain information with RIBO? ***(10)***

21) What is a trust account? ***(premium held for insurance companies)***

22) How many days does a brokerage have to deposit premium into a trust account? ***(3 banking days)***

23) Can a broker spend the full amount of the commission they get on a policy? ***(no, only earned commission)***

24) Can decisions of the Discipline Committee be made public? ***(yes)***

25) How much time does RIBO allow for a broker to supply either the policy or a certificate of coverage? ***(21 days)***

26) What information must the certificate of coverage include? ***(anything from the list in the Supplying a Policy or Certificate of Coverages section is acceptable.)***

27) What must a broker do if they wish to charge a fee over the premium set out in the policy? ***(advise upfront, in writing, before the policy goes in force)***

28) How many hours of continuing education must a Principal Broker obtain over a year? ***(10)***

29) How many hours of continuing education must other brokers obtain over a year? ***(8)***

30) What is the responsibility of a Principal Broker? ***(to supervise brokerage operations)***

31) How does one get an "Unrestricted" license? ***(write two additional exams)***

32) What is equity capitalization? ***(money in a bank account)***

33) How much equity capitalization must a sole proprietorship have? ***(greater of $2,500 or amount of deductible)***

34) How much equity capitalization must a partnership or corporation have? ***(greater of $5,000 or amount of deductible)***

35) How much errors and omissions coverage must a brokerage carry? ***($3,000,000)***

36) How much fidelity insurance coverage must a brokerage carry? ***($100,000)***

37) What is the maximum fine for a brokerage for misconduct? ***($100,000)***

38) What is maximum fine for an individual broker for misconduct? ***($25,000)***

39) What is the difference between an insurance broker and an insurance agent? ***(brokers deal with multiple insurers while agents deal with one insurer or affiliated group of insurers)***

40) How many people are required to make up a quorum for the RIBO Council? ***(7, including one appointed member)***

41) What is the definition of an insurance broker in the RIB Act? ***(anything from the Definition of an Insurance Broker section is acceptable.)***

42) What is rebating? ***(allowing the client to not pay the full amount of their premium or giving back something of value)***

43) What is the difference between rebating and clever negotiating? ***(clever negotiating is asking the insurer to charge less premium in return for you taking less commission)***

44) Who are the individuals who may receive a finder's fee from a broker? ***(see Misconduct, #11)***

45) How long does RIBO require a broker to be licensed before he/she can take the exams to remove the restriction on their license? ***(two years)***

46) What is an unlicensed insurer? ***(an insurance company not licensed in Ontario)***

47) What makes insuring with them a greater risk to an insured? ***(not regulated under the Insurance Act)***

48) What must a broker do when placing insurance with an unlicensed insurer? ***(see Unlicensed Insurer section.)***

49) What does Regulation 991 concern itself with? ***(conduct & misconduct)***

50) When two position reports have to be filed with RIBO, when must they be filed? ***(fiscal year-end and six months from fiscal year-end with three months each time to submit)***

RIBO Rules & Regulations Sample Exam Questions

1) Which of the following statements is correct?
   a) A broker should sell as much insurance to a client as he can to make certain the client is covered for everything.
   b) Money must be deposited in trust accounts within 21 days of receipt.
   c) Brokerages cannot get exemptions from filing a position report twice a year.
   d) The broker should pass on all relevant information to the insurer concerning an applicant, whether asked for or not.

2) When an insurance broker moves from a brokerage firm and begins working for a different firm, the individual must advise:
   a) The Department of Insurance as soon as possible.
   b) RIBO at the time their new employer submits the next financial position report.
   c) RIBO within 10 days of the change.
   d) RIBO at the time the individual renews his/her license.

3) Which of the following is correct?
   a) Misconduct by a broker includes negotiating a commission on a policy with the insurer other than that payable as shown in the broker agreement for that particular business.
   b) Information on file with RIBO that becomes obsolete in respect to a broker must be changed, corrected, or updated by the broker within 60 days.
   c) Every registered broker “acting under supervision” must maintain, under the RIB Act, his/her own trust account.
   d) Misconduct by a broker includes attempting to make an agreement as the premium to be paid for a policy other than as set forth in the policy.

4) An insurance broker as defined and included within the RIB Act does not include which one of the following:
   a) A person who provides consulting or advisory service with respect to insurance or reinsurance.
   b) A person who holds himself out as an insurance consultant or examines, appraises, reviews, or evaluates any insurance policy, plan or program or makes recommendations or gives advice with regard to any of the above.
   c) A person who acts or aids in any manner in soliciting, negotiating, or procuring the making of any contract of insurance or reinsurance whether or not he has agreements with insurers allowing him to bind coverage and countersign insurance documents on behalf of one or more insurers.
   d) Solicits insurance on behalf of one insurer or affiliated group of insurers, who has appointed him/her to act as their representative only or on behalf of the Facility Association.

5) Which is not a broker's responsibility as determined by the RIB Act?
   a) Give knowledgeable advice on insurance.
   b) Counsel on risk management.
   c) Give adequate knowledge of risk to insurer.
   d) Set claims reserves following the report of a loss.

6) Every member placing contracts of insurance shall provide a policy or certificate of coverage to the public within:
   a) Seven days after placing the insurance.
   b) Ten clear business days as long as the broker provides a receipt to the client for premium paid.
   c) Twenty-one days after placing the insurance.
   d) Whatever period of time appears practicable under the circumstances.

7) An employee of the brokerage office who is not a qualified registered broker may:
   a) Offer some advice and counsel to the public if a registered broker does not happen to be available.
   b) Type letters and perform any purely clerical functions.
   c) Consult on commercial insurance.
   d) Hand an application for insurance to a potential client and help the client fill it out.

8) What is not misconduct under the RIB Act?
   a) Request insurer delay payment of claim until insured has paid the full amount of his premium.
   b) Offering a free toaster with every new Homeowner Policy taken out.
   c) Asking the insurer to reduce the commission so the policy can be offered to prospective clients at a lower premium.
   d) Acting as a broker when not a broker.

9) The RIB Act stipulates that premiums received from clients must:
   a) Be sent to the insurer as soon as they are collected.
   b) Be deposited in the trust account not later than three banking days after the money has been received but commission belonging to the broker may be withdrawn from the trust account as the money is transferred directly to the broker's general account.
   c) Be used to pay outstanding claims.
   d) Be sent to RIBO who holds it in trust and then turns it over to the insurer.

10) Who cannot be an insurance broker?
   a) Someone over the age of majority.
   b) Someone who has had a license under the Insurance Act suspended or revoked.
   c) Someone whose only business is that of an insurance broker including the sale of life insurance and any other business approved by RIBO.
   d) Someone who meets the education and qualification standard.

11) What things must a broker do if he plans to place insurance with an unlicensed insurer?
   a) He must advise the client that the insurer is not licensed under the provincial Insurance Act.
   b) He must obtain written consent from the client.
   c) File with the Superintendent of Insurance particulars of all insurance with unlicensed insurers every three months.
   d) All of the above.

12) Which is not a committee of RIBO?
   a) The Qualification and Registration Committee.
   b) The Discipline Committee.
   c) The Facility Committee of RIBO.
   d) The Complaints Committee.

13) When must a position report be filed with RIBO?
   a) Nine months from the fiscal year-end based on figures six months from fiscal year-end.
   b) Three months from the fiscal year-end based on fiscal year-end figures.
   c) Once a year is using fiscal year-end figures if they have requested and received an exemption from RIBO.
   d) All of the above.

14) The Discipline Committee may find a member to be incompetent if in its opinion the member has, while acting as an insurance broker, displayed a serious lack of knowledge, skill or judgment or a serious disregard for the welfare of a member of the public. In such case the committee may:
   a) Revoke a broker's license.
   b) Publish findings in the quarterly bulletin.
   c) Fine the broker up to $25,000 for misconduct.
   d) All of the above.

15) The Principal Broker/designated individual in a broker's office:
   a) Holds a broker's license that is not restricted to acting under supervision.
   b) Must be a director or full-time employee of the firm.
   c) Has authority to act in the name of the corporation or partnership.
   d) All of the above.

16) RIBO (Registered Insurance Brokers of Ontario) is:
   a) The provincial governmental body that licenses insurance brokers.
   b) A trade association of insurance brokers.
   c) A self-regulatory body that regulates the licensing of agents.
   d) A self-regulatory body overseeing the ethical and professional conduct of insurance brokers.

17) The minimum amount of errors and omission and fidelity insurance every member shall maintain is:
   a) $1,000,000 & $300,000.
   b) $1,000,000 & $100,000.
   c) $3,000,000 & $100,000.
   d) $3,000,000 & $300,000.

18) Although members are offered their license renewals 30 days in advance, members are required to submit their license renewals to RIBO no later than:
   a) October 1st.
   b) August 31st.
   c) January 1st.
   d) September 30th.

19) Rebating is: (choose the incorrect answer)
   a) The returning of a portion of the premium on the policy to the applicant as an inducement to purchase.
   b) The exchange of a barbeque to induce a client to purchase.
   c) The returning of premium to induce a client to purchase provided that the insurance carrier permits it.
   d) Giveaways such as mugs and pens would not be consistent with rebating.

20) According to the definition of insurance broker, he or she may: (choose the incorrect answer)
   a) Act or aid in the soliciting, negotiating, and procuring of any contract of insurance.
   b) Provide consulting or advisory service with respect of reinsurance.
   c) Not provide risk management services.
   d) Hold him/herself out as an insurance consultant or examines, appraises, reviews or evaluate any insurance policy.

21) Which of the following is not a form of misconduct?
   a) The use of any incomplete comparison of any policy or contract of insurance with that of any other insurer for the purpose of inducement to purchase a contract of insurance.
   b) Allowing a refund of premium or other thing of value to match a competitor's premium to permit the client to purchase from you.
   c) Coerce a prospective buyer of insurance through the influence of a professional or business relationship allowing preference that would normally not have been permitted.
   d) Use or payment of any referral or finder's fees to someone who holds a real estate license, a license to sell mutual funds, a mortgage broker, financial planner, insurance premium financer or someone who sells risk management services.

22) As an insurance broker "acting under supervision":
   a) You may sell and solicit insurance and provide consultation to the general public only within the community where your office is located.
   b) You may not act as a sole proprietor, control trust funds, or act as a designated individual.
   c) You may solicit insurance only from individuals who can call or visit your office.
   d) You may control a trust account under the supervision of the designed individual.

23) An insurance broker may:
   a) Provide risk management services.
   b) Use complete comparisons of any policy or contract of insurance to induce an insured to lapse a contract with another broker and take cover with them.
   c) Charge a fee over and above the premium for services rendered if it is fully disclosed to the client before the coverage is taken out.
   d) All of the above.

24) Which of the following statements is incorrect?
   a) Brokers may place insurance with an unlicensed insurer.
   b) Misconduct by a broker includes attempting to make an agreement as to the premium to be paid for a policy other than as set forth in the policy.
   c) Information on file with RIBO that becomes obsolete in respect to a broker, must be changed, corrected, or updated by the broker within 10 days of change in broker status.
   d) Every broker "Acting Under Supervision" must maintain their own trust account.

25) Which of the following statements is incorrect?
   a) RIBO is entitled to audit the brokerages books that are required to be kept by virtue of this act.
   b) Every broker who maintains a trust account is required to provide RIBO upon written request with a current audited financial statement within 30 days of receipt of the request from RIBO.
   c) A position report must be filed with RIBO once a year, nine months from the fiscal yearend.
   d) Every brokerage which maintains a trust account is required to maintain records that confirms to generally accepted accounting principles.

26) A corporation is qualified to be issued and hold a certificate of registration as an insurance broker/brokerage where: (choose the incorrect answer)
   a) The only business conducted by it is that of an insurance broker, or an insurance broker and life insurance agent, and such other business as the Qualification and Registration Committee considers appropriate when carried on in accordance with such terms as the Committee stipulates.
   b) The corporation acts as an insurance broker under the direction and supervision of a principal broker as described in the RIB Act.
   c) If they conduct any additional business (like the sale of real estate) they did so prior to October 1st, 1981 when the RIB Act came into effect.

d) They file a position report with the manager of RIBO quarterly, showing the assets and liabilities of the corporation.

27) Which of the following statements is correct?
a) Where a member proposes to charge a fee for service in addition to retaining a portion of the premium charge, the member, before placing insurance or providing a service for which a fee is to be charged, shall disclose to the person whom the member proposes to charge the amount of the fee, the proportion of the premium retained and the total remuneration on the transaction.
b) A member who engages in another business or occupation concurrently with the practice of the member's vocation even though such outside interest does not jeopardize the member's integrity, independence, or competence and RIBO has been advised of it and allowed an exemption, is deemed to be in misconduct of the RIBO Code of Conduct.
c) A member does not need to make their services available to the public is they disagree with their political views.
d) Decisions of the Discipline Committee are private and confidential and may not be disclosed to the public or other members of the broker community.

28) A designated individual is someone who: (choose the correct answer)
a) Is designated as the principal broker because he holds an unrestricted license even though he is retired and lives out of the country most of the time.
b) Directs and supervises the sole proprietorship, partnership, or corporation in acting as an insurance broker and has the authority to act in its name and on its behalf regarding applications and reports required under this act.
c) Does not have any RIBO continuing education requirements.
d) Becomes a designated individual automatically after 10 years of holding a restricted broker's license.

29) "Directly or indirectly making or attempting to make an agreement as to the premium to be paid for a policy other than as set forth in the policy, or paying, allowing or giving, or offering or agreeing to pay, allow or give, a rebate of the whole or part of the premium stipulated by the policy or any other consideration or thing of value intended to be in the nature of a rebate of premium to any person insured or applying for insurance in respect of person or property in Ontario, but nothing in this paragraph shall be construed to affect any payment in the nature of a dividend, bonus, profit or savings that is provided for in the policy." This caption is describing:
a) Consideration.
b) Rebating.
c) Subrogation.
d) Reinsurance.

30) What is the minimum amount of fidelity insurance a member must carry?
a) You don't need to carry fidelity insurance if everyone in the office has broker licenses.
b) $1,000,000 for each licensed broker in the office.
c) $100,000.
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Answers to RIBO Rules & Regulations Sample Exam Questions

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c) Does ~~not have any~~ RIBO continuing education requirements.

d) Becomes a designated individual ~~automatically after 10 years of holding a restricted~~ ~~broker's license~~.

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b) ~~$1,000,000~~ for each licensed broker in the office.

c) **$100,000.**

d) ~~None of the above~~.

Answers to 50 Things You Need to Know About Travel Health Insurance

1) What does OHIP stand for? ***(Ontario Health Insurance Plan)***

2) Who is eligible to be covered by OHIP? ***(Ontario residents)***

3) When is someone eligible to be covered by OHIP? ***(after establishing a three month residency)***

4) How long will OHIP provide continuous coverage during a temporary extended absence? ***(212 days)***

5) How much will OHIP pay for an out of country emergency? ***($0)***

6) What are the three ways to obtain Travel Health Insurance? ***(GHIP, Group Plans, and Private Plans)***

7) Who are the most common buyers of Group Insurance Plans? ***(employers)***

8) What kind of costs does Travel Health Insurance pay for outside the insured's country of residence? ***(reasonable and customary costs)***

9) What are the two main types of Outbound Insurance policies that are available? ***(Single Trip Daily Plan and Frequent Traveler Plan)***

10) Who needs Expatriate Insurance? ***(Canadian citizen residing outside of Canada for an extended period of time)***

11) What is a Top-Up? ***(a Single Trip Daily Plan purchased when the duration of a Frequent Traveler Plan ends)***

12) When does Travel Health Insurance pay when other policies are available to provide coverage? ***(all other coverage is primary)***

13) When does coverage begin for a Single Trip Daily Plan? ***(when the insured leaves home)***

14) When does coverage begin for a Frequent Traveler Plan? ***(every time the insured leaves home)***

15) When is the premium for a Travel Health Insurance policy required? ***(before the policy is bound)***

16) When does coverage end for Single Trip Daily Plan? ***(insured returns home or number of days purchased has expired)***

17) When does coverage end for annual Frequent Traveler Plan? ***(every time insured returns home, number of days purchased has expired, policy term ends)***

18) How long is the automatic extension of the Travel Health Insurance policy? ***(72 hours)***

19) What are the three reasons an automatic extension will be granted? ***(emergency involving the insured, common carrier delay, weather related delay)***

20) What is the maximum time a policy can be extended? ***(212 days total)***

21) Under what circumstances can a trip be extended? ***(if no new medical condition has developed)***

22) Who is Visitors to Canada Insurance for? ***(landed immigrants, refugees, international students, and workers, or those visiting the country)***

23) What are two exclusions in a Visitors to Canada Insurance policy? ***(pre-existing conditions and sickness within 48 hours)***

24) After a medical emergency, what is the first expected requirement of the insured? ***(call Emergency Assistance Hot Line first)***

25) Who is a snowbird? ***(Canadian aged 55+ who spend 31+ consecutive nights outside Canada)***

26) What is covered under the Emergency Medical coverage? ***(see page 82)***

27) Is there a limit on how much will be paid for private duty nursing? ***(up to a stated maximum)***

28) What expenses will be paid when the insured dies on vacation? ***(repatriation, cost to prepare body, cost to have someone identify and release body)***

29) Will Emergency Medical pay for the cost to bring the insured home because of an insured medical condition? ***(yes)***

30) Will Emergency Medical pay to bring someone to the bedside of a hospitalized insured travelling alone? ***(yes)***

31) Will Emergency Medical pay to return a child home if they are traveling with an insured that is hospitalized? ***(yes)***

32) When does the policy provide Emergency Medical coverage? ***(when not covered in full by GHIP)***

33) What is covered under Excess Hospital & Medical? ***(hospital accommodation and physician services)***

34) What is covered under Extended Health Care? ***(private duty nursing, prescribed medication, diagnostic tests, medical appliances, local and air ambulance, and the services of other medical professionals)***

35) What is covered under Emergency Dental? ***(costs associated with a direct accidental blow to the mouth)***

36) What is covered under Coming Home? ***(cost of being returned to your province for immediate medical attention at the recommendation of the attending physician)***

37) What does Out of Pocket Expenses pay for? ***(costs of the insured and travelling companion when the insured is hospitalized such as telephone charges, meals, hotel stays, and taxi trips)***

38) Is scuba diving covered? ***(no)***

39) What is a pre-existing medical condition? ***(a sickness, injury, or medical condition which existed on or prior to the effective date or any departure date)***

40) What makes a pre-existing medical condition unstable? ***(a sickness or injury that would cause an ordinarily prudent person to expect to need medical treatment or investigation following departure)***

41) What do the time periods used to determine stability rely upon? ***(insured's age)***

42) Is coverage available for medical expenses resulting from an unstable pre-existing medical condition? ***(no)***

43) Is diagnosis of a pre-existing medical condition necessary for the condition to be excluded as unstable? ***(no)***

44) How do travel insurers deal with and underwrite pre-existing medical conditions? ***(may require a deductible or charge additional premium)***

45) What else besides unstable pre-existing medical conditions may be excluded from the Emergency Medical portion of the travel policy? ***(see page 84 and 85)***

46) What coverage reimburses the traveler for the non-refundable prepaid portions of a trip if it has to be cancelled due to a medical emergency prior to departure? ***(trip cancellation)***

47) What coverage reimburses the traveler for the non-refundable prepaid portions of a trip if it has to be cancelled due to a medical emergency in the midst of the trip? ***(trip interruption)***

48) What is a covered event for Trip Cancellation & Interruption? ***(see page 83 and 84)***

49) What does Flight Accident cover? ***(death or loss of limb or sight due to an aircraft accident)***

50) What does Baggage coverage cover? ***(loss or damage or delay in baggage and property an insured uses on a trip)***

Travel Health Insurance Sample Exam Questions

1) What would fall within the definition of "injury"?
   a) Heart attack.
   b) Victim of a drive-by shooting.
   c) Drug induced psychosis.
   d) Toothache.

2) What is deemed to be a "medical emergency"?
   a) Travelling to a spa that specializes in liposuction.
   b) Travelling to Mexico for an untested cancer treatment.
   c) An unexpected or unforeseeable sickness or injury which requires immediate nondiscretionary medical attention, treatment, or care.
   d) None of the above.

3) A medical condition is deemed to be "stable" if:
   a) Medical treatment has not been recommended, required, or obtained, or symptoms have not appeared or changed and there is no change in prescribed medication.
   b) Doctors say you are fine to travel.
   c) You have not been hospitalized in over six months.
   d) None of the above.

4) An "unstable" condition is:
   a) A broken leg that hasn't bothered you in years.
   b) Diabetes controlled by diet and medication and has been for several years.
   c) A sickness or injury that would cause an ordinarily prudent person to expect to need medical treatment or investigation following departure.
   d) All of the above.

5) What coverage would an expatriate returning to Ontario require?
   a) Nothing as they are covered by OHIP.
   b) Visitors to Canada Insurance.
   c) Frequent Traveler Plan.
   d) Single Trip Daily Plan.

6) Travel Health Insurance will only pay "reasonable and customary" charges for the costs incurred outside the country of residence. These would not include?
   a) Prescribed medication.
   b) Local ambulance service.
   c) The cost to fly a physician in from Canada.
   d) Private duty nursing if required.

7) Your client has booked a ski trip to Colorado. He will be flown to the top of the mountain in a three-passenger helicopter and will ski down to the lodge at the bottom. What should you tell him?
    a) That such sporting activities are excluded under the policy and if he is injured while skiing, he would not be covered.
    b) Advise the client that there would be no coverage for the helicopter flight, but the rest of the activity is covered.
    c) Because the sporting activity involves him being flown to the top of a mountain there is no coverage.
    d) Skiing is one of the sports exclusions on every policy.

8) Which of the following would be considered an uninsurable pre-existing medical condition?
    a) A medical condition for which medication was discontinued three weeks before departure.
    b) A medical condition for which medication was prescribed three weeks before departure.
    c) Pink eye for which the insured was treated a week before departure.
    d) All of the above.

9) Does an individual have to have a medical condition diagnosed in order for it to fall within the preexisting medical condition?
    a) Yes.
    b) No, if they exhibited abnormal symptoms prior to effective date of the policy it is sufficient to deem it a pre-existing medical condition.
    c) Depends on the seriousness of the condition.
    d) None of the above.

10) Other insurance in the form of Extended Group Health Care benefits, credit card travel insurance, or Accident Benefits under the OAP 1 is held to be:
    a) Excess coverage after Travel Health Insurance pays.
    b) Primary coverage, with the Travel Health Insurance policy picking up any gaps in coverage.
    c) To the insured's discretion whether or not to use.
    d) None of the above.

11) Most policies provide for automatic extension of coverage. Which of the following conditions are not reasons for automatic extension of Travel Health Insurance coverage?
    a) The insured won an additional three days of accommodation from the resort.
    b) The insured has a medical condition that does not require hospitalization but prevents travel.
    c) The carrier on which the insured is traveling is delayed two days due to mechanical problems.
    d) The insured's traveling companion is hospitalized due to a bus accident on the way to the airport on the date they were scheduled to return home.

12) When does Travel Health Insurance go into effect?
    a) When the insured leaves home on the first travel date.
    b) When the premium has been received.
    c) Each time the insured leaves the country if he has a Frequent Traveler Plan.
    d) All of the above.

13) Out of province travel is available to:
    a) Only those travelers who are retired or semi-retired.
    b) All travelers regardless of province of residence.
    c) All travelers who are residents of all provinces of Canada except Quebec.
    d) All travelers who have registered with the GHIP "Out of Canada" Benefits Department.

14) Why do Travel Health Insurance providers insist that those who become ill while out of the country contact their claims department upon admittance to hospital or before invasive testing or surgery?
    a) It allows them to manage the medical care and avoid unnecessary costly treatment.
    b) If a delay in treatment is possible, they may arrange medical evacuation so treatment could be done in Canada and be covered under GHIP.
    c) They can arrange direct billing, so the insured does not have to pay the expenses out of his pocket and then get reimbursed.
    d) All of the above.

15) Repatriation coverage does not include:
    a) Cost of insured's entire family to attend a funeral service where the insured died.
    b) Return of the Insured's body plus preparation of the body and the cost of a travel container for the body.
    c) Return home of ashes plus the cost to cremate the body in the place the insured died.
    d) Preparation of the body and burial where the insured died.

16) How much will OHIP pay per day for confinement to an out of country hospital?
    a) Everything.
    b) Up to $100 per day.
    c) Nothing.
    d) OHIP does pay for some out of country medical costs.

17) I have booked a trip to Malta to visit my 101-year-old grandmother who is dying. Two days before I am scheduled to leave, she dies. She will be cremated and sent back to Canada for burial beside her departed husband, so I cancel my trip. I apply to my travel insurer for reimbursement for the cancelled trip. They tell me:
    a) Sorry about your grandmother. We will reimburse you in full for the trip.
    b) Your grandmother was over 86, so we will not pay for the trip cancellation.
    c) There is an exclusion that states if the purpose of the trip is to visit someone who is ill, and that person dies before the trip is embarked upon, then there is no coverage for trip cancellation.
    d) None of the above.

18) Your client lives in Windsor which borders Detroit, Michigan. She often shops and attends concerts in Detroit. What type of coverage would you suggest she purchase?
    a) A single limit, short trip policy every time she crossed the border.
    b) She really doesn't need it for such short visits.
    c) A Frequent Traveler Plan.
    d) An Expatriate Insurance policy.

19) Emergency Medical expenses which the insured incurred as a result of a medical emergency are covered provided:
    a) The condition begins unexpectedly after the insured leaves home.
    b) The expenses are not covered by OHIP or any other benefit plan.
    c) Emergency Medical treatment must be ordered by a physician.
    d) All of the above.

20) If a business trip out of country was cancelled because another company that was involved in the deal backed out, what coverage will cover the non-refundable, non-transferable portion of the trip?
    a) None, as the business meeting was cancelled, and a medical condition was not the cause of the trip cancellation.
    b) Trip Cancellation coverage will cover the non-refundable portion of the trip.
    c) Trip Interruption coverage will cover the non-refundable portion of the trip.
    d) Only a Frequent Traveler Plan for the business traveler will cover the Trip Cancellation as a result of a cancelled business meeting.

Answers to Travel Health Insurance Sample Exam Questions

1) What would fall within the definition of "injury"?
   a) ~~Heart attack~~.
   b) **Victim of a drive-by shooting.**
   c) ~~Drug induced psychosis~~.
   d) ~~Toothache~~.

2) What is deemed to be a "medical emergency"?
   a) Travelling to a ~~spa that specializes in liposuction~~.
   b) Travelling to Mexico for an ~~untested cancer treatment~~.
   c) **An unexpected or unforeseeable sickness or injury which requires immediate nondiscretionary medical attention, treatment or care.**
   d) ~~None of the above~~.

3) A medical condition is deemed to be "stable" if:
   a) **Medical treatment has not been recommended, required or obtained, or symptoms have not appeared or changed and there is no change in prescribed medication.**
   b) ~~Doctors say you are fine to travel~~.
   c) You have not been ~~hospitalized in over six months~~.
   d) ~~None of the above~~.

4) An "unstable" condition is:
   a) A broken leg that hasn't ~~bothered you in years~~.
   b) Diabetes ~~controlled by diet and medication and has been for several years~~.
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    a) **Cost of insured's ~~entire family~~ to attend a funeral service where the insured died.**
    b) Return of the Insured's body plus preparation of the body and the cost of a travel container for the body.
    c) Return home of ashes plus the cost to cremate the body in the place the insured died.
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    d) ~~None of the above~~.

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Automobile Insurance

The Need for Automobile Insurance

An automobile policy can provide the owner with coverage to protect themselves against the financial costs of an automobile accident, including but not limited to:

- Third-party liability.
- Personal injury or death.
- Total loss of or damage to the owner's vehicle.

Mandatory Insurance Coverages

Auto insurance is compulsory in Canada. In fact, the ***Compulsory Automobile Insurance Act (CAIA)*** requires "an operator of a motor vehicle to carry an 'insurance card' to prove that he/she is insured under a contract of automobile insurance." Requirements and coverages differ from province to province, regulated by provincial governments which closely monitor all policy forms and endorsements.

In 1996, the Ontario government passed a law enforcing mandatory auto insurance coverages, making sure that all insured drivers were not left without mandatory coverages. Thus, the minimum amount of insurance one must carry for Liability Coverage is a $200,000 limit. Most insurance consumers in Ontario carry a limit of at least $1,000,000. Other mandatory coverages include Accident Benefits, Uninsured Automobile, and Direct Compensation - Property Damage Coverage. Physical damage coverages on the vehicle are not mandatory but can be purchased if desired.

Ontario's current "no-fault" insurance came into effect on June 22nd, 1990, then known as the *Ontario Motorist Protection Plan*. The primary purpose is to provide benefits to people injured in automobile accidents, regardless of who is at fault. The accident victim is compensated for their losses (including damage to their vehicle) through their own insurer, even if they were deemed not to be at fault for the accident. Another purpose of this system is to reduce the number of claims being litigated against insurers, reducing court costs.

A true "no-fault" system removes the right of legal action against drivers who cause injury or death to others. This type of plan is used in Quebec.

Threshold

In Ontario, a "threshold no-fault" system is used for lawsuits regarding pain and suffering. Under this system, legal action against the responsible party is not permitted unless a certain "threshold" definition is exceeded.

Those seriously injured because of negligence of other people must apply to the courts to be given back their right to sue and if their injuries fall within the court's interpretation of the "threshold", then they may sue for pain and suffering (non-economic losses).

A judge would make the decision as to whether the injury was over the "threshold" and award the right to sue for damages through the court system.

Threshold is verbally defined as:

- Death;
- Permanent, serious disfigurement; or
- Permanent, serious impairment of an important mental, physical, or psychological function.

Take-All-Comers

There is consumer protection in place by the Ontario provincial government (FSRA) that ensures eligible consumers can purchase or renew an auto insurance policy at the approved terms and prices. Insurers are required to offer the lowest rate available for each consumer's circumstances. Insurers are also required to offer their customer a renewal if that customer continues to meet that insurer's eligibility rules. Insurers must accept all auto insurance business from consumers that meet their approved rules.

Facility Association

The **Facility Association (FA)** was established by Canadian insurers to provide automobile insurance to vehicle owners and drivers who, without the FA's existence, would be unable to obtain automobile insurance through the voluntary insurance market. Usually, these drivers would have a poor driving record as a result of impaired driving conditions or excessive accidents or claims.

The FA is an unincorporated non-profit organization of all automobile insurers serving most of the provinces and territories, including Ontario. Every insurer licensed to write automobile insurance is required to become a member of the FA.

Not every member of the FA will issue policies. The FA contracts with a few members to act as *Servicing Carriers*. The servicing carrier will issue and endorse policies, receive premiums, and adjust claims on behalf of the FA. The servicing carriers are reimbursed for any loss paid by the other members of the FA.

The servicing carriers will then have the option of keeping the business or transferring it to the "Risk Sharing Pool" for another servicing carrier to pick up. Every member of the FA is protected by this Risk Sharing Pool.

Requirements for Driving in Ontario

In order to legally drive on Ontario roads, drivers are required to:

- carry a valid driver's license, at all times.
- have a valid owner's permit, license plate, and automobile insurance.
- obey traffic laws and drive safely.

Ontario Driver's License Classes

Ontario has 15 different types of Driver's Licenses available. Each license, or *class*, certifies you to drive a specific type of vehicle. They all require the applicant to pass a vision test, a written knowledge test regarding the rules of the road, and a road test. Each class requires different qualifications.

Some of the common Ontario Driver's License classes, and include:

- **A Class License**
  - Transport truck with a trailer exceeding 10,000 pounds.
- **B Class License**
  - School bus seating more than 24 passengers.
- **C Class License**
  - Standard transit bus seating for more than 24 passengers.
- **D Class License**
  - Transport truck with trailer that does not exceed 10,000 pounds.
- **E Class License**
  - School bus seating up to 24 passengers.
- **F Class License**
  - Standard transit bus seating up to 24 passengers and an ambulance.
- **G1 Class License**
  - Considered the beginner license.
  - The driver must maintain a blood alcohol level of ***zero***.
  - An experienced G Class driver must be in the front passenger seat at all times.
  - Cannot drive between midnight and 5 a.m., nor on any 400-series highway or high-speed expressway.
- **G2 Class License**
  - Available after driving with the G1 for 12 months and passing a road test.
  - Able to drive without another experienced driver in the car.
  - Able to drive on all Ontario roads at any time of the day.
- **G Class License**
  - Available after driving with the G2 for 12 months and passing a road test for more advanced driving skills.
- **M Class License**
  - Full speed motorcycles.
- **M Class with Condition L**
  - Mopeds and motorized scooters, often called "limited-speed" motorcycles.
- **M Class with Condition M**
  - Three-wheeled motorcycles.

Ontario Application for Automobile Insurance: Owner's Form (OAF 1)

The **Ontario Application for Automobile Insurance: Owner's Form (OAF 1)** is used by all insurers in Ontario when creating a new insurance contract with a member of the public.

The OAF1 asks many questions and the insurer requires the applicant to answer all of them completely and honestly. All material facts will be used as the basis of the policy.

The Ontario Application for Automobile Insurance: Owner's Form (OAF 1) contains the following sections and what information is gathered in each one:

- **Section 1: Name and Postal Address**
  - The applicant must provide their legal name and postal address. The location of where the vehicle is parked and used is a rating factor on the policy.
- **Section 2: Policy Period**
  - This section will state the requested effective date of the policy period.
- **Section 3: Details of the Described Automobile**
  - The applicant must provide the vehicle's model, year, make, body type, and vehicle identification number (VIN).
  - The applicant must disclose the purchase price and whether the vehicle is owned, financed, leased, and the name and address of any lienholder or lessor.
  - The applicant must also disclose how the vehicle will be used. For example, driving to work each day, bringing children to and from school, pleasure use on weekends, or for any type of business exposure.
  - There are also questions relating to any vehicle modifications or pre-existing damage.
- **Section 4: Driver Information**
  - The applicant must disclose the names of all drivers in the household, including their driver's license numbers and percentage of their use of the automobile.
  - The applicant must disclose how long they have been licensed.
  - The applicant must also disclose any license suspensions or cancellations within the last 6 years.
- **Section 5: Previous Accidents and Insurance Claims**
  - The applicant must disclose any and all accidents or claims within the last 6 years.
- **Section 6: History of Convictions**
  - The applicant must disclose any and all convictions within the last 3 years, including any offences for impaired driving, speeding, and distracted driving.
- **Section 7: Rating Information**
  - This section is not completed by the applicant but used by the broker or insurer to gather rating information based on the insured's answers to the prior sections.

- **Section 8: Insurance Coverages Applied For**
    - This sections allows the applicant to select the coverages they require, including any optional benefits, deductibles, limits, or policy endorsements.
- **Section 9: Remarks**
    - The applicant can document additional details for any of the prior sections.
- **Section 10: Method of Payment**
    - Displays the type of payment plan chosen by the applicant and the estimated policy premium, including any applicable taxes, interest, and applicable fees.
- **Section 11: Declaration of Applicant**
    - The completed and signed application will be the applicant's declaration that all contained information is correct. Consequences may apply if an intentional false statement is made.
- **Section 12: Report of Broker/Agent**
    - Completed by the broker and indicates whether or not coverage has been bound.

*The most up to date version of the OAF 1 can be found on the **FSRA** website*.

OAP 1

The **OAP 1: Ontario Automobile Policy Owner's Policy** is the policy used to insure automobiles in Ontario. The OAP1 came into effect March 31, 1994, using plain language that the general public could understand. The OAP1 is used to insure the following types of vehicles:

- Private Passenger Vehicles
- Trucks
- Buses
- Motorcycles
- Snowmobiles
- Recreational Vehicles (RV's)
- All-Terrain Vehicles (ATV's)
- Trailers
- Leased Vehicles
- Commercial Vehicles

Accident Benefits

Accident Benefits are often referred to as "**Faultless Benefits**". This means that it doesn't matter if the insured is injured in an at-fault accident or not, the benefits will still be paid out.

Accident Benefits are paid according to a Priority of Payment sequence, which is as follows:

1. Your own policy (or that of your spouse or someone on whom you are dependent).
2. The policy of the vehicle you were a passenger in.
3. The policy of any other vehicle involved in the accident, regardless of fault.
4. The Motor Vehicle Accident Claims Fund (MVACF).

The **Motor Vehicle Accident Claims Fund** (MVACF), provided by the province of Ontario, is considered the "payer of last resort" as it provides compensation to people injured in automobile accidents when no automobile insurance exists to respond to the claim. For example, you might be eligible for compensation if you do not have your own policy and were injured in an accident where you were struck as a pedestrian and the driver of the vehicle involved was not insured.

Some benefits are dependent on the **severity of the injury**. The classes of injury are as follows:

- ***Catastrophic***
  - Loss of limb, loss of sight in both eyes, paraplegia, quadriplegia, and certain types of brain impairment.
- ***Minor***
  - Partial sprains (muscles, tendons, and ligaments), whiplash, cuts, bruises, lacerations, and partial dislocations.
- ***Non-Catastrophic***
  - Any other type of injury not listed under catastrophic and minor injury.

Most Accident Benefits Coverages are standard on auto policies, meaning they are mandatory, and the insured cannot remove them. However, some standard benefits contain options for the insured to buy higher limits, while there are other benefits which are completely optional for the insured to purchase.

Standard Accident Benefits are as follows, with any optional higher limits noted:

- **Income Replacement Benefit**
  - Compensates someone for lost income when they cannot work as a result of an injury from a car accident.
  - Allowed to collect up to 70% of your gross weekly income, up to a standard maximum of $400 per week.
  - The insured has the *option* to purchase an increased maximum weekly dollar limit of $600, $800, or $1,000. However, this is still subject to the 70% gross weekly income cap.
  - The benefit does allow the insured to collect from other available sources first, meaning any income replacement plan through work would pay out before Accident Benefits.
  - The benefit is still subject to the 70% gross weekly income cap, including all other sources.
  - There is a 7 day waiting period before the benefit is payable.
  - Must be paid within 10 business days of receiving the complete application.

- Caregiver Benefit
  - Compensates someone who is a full-time caregiver when injured in a car accident.
  - The standard benefit provides coverage for catastrophic injuries only.
  - The insured has the *option* to purchase coverage for non-catastrophic injuries.
- Non-Earner Benefit
  - Compensates someone who is unemployed when injured in a car accident.
- Medical, Rehabilitation, and Attendant Care Benefits (combined as one)
  - Pays for some medical and rehabilitation expenses not covered by any other medical coverage plan. Will also compensate someone for the expenses of an aide to take care of you.
- Payment (Compensation) of (for) Other Expenses
  - Pays some lost educational expenses (tuition, books, room and board).
- Housekeeping and Home Maintenance
  - Compensates someone for reasonable and necessary expenses incurred.
  - The standard benefit provides coverage for catastrophic injuries only.
  - The insured has the *option* to purchase coverage for non-catastrophic injuries.
- **Death Benefit:**
  - Pays a lump sum of $25,000 to an eligible spouse on the death of their spouse.
  - Pays a lump sum of $10,000 to each dependent on the death of the insured.
  - Pays a lump sum of $10,000 to the insured on the death of each dependent.
  - The insured has the *option* to purchase doubled limits of $50,000, $20,000, and $20,000 respectively.
  - Must be paid within 30 business days of receiving the complete application.
- Funeral Benefit:
  - Pays for some funeral expenses.
  - Often combined with Death Benefit.

Completely optional benefits that the insured may purchase include:

- Dependent Care Benefit = Parent Who Works
  - Pays for reasonable and necessary expenses incurred to care for dependents.
  - Must be employed when injured in a car accident.
- Indexation Benefit
  - Provides certain weekly benefit payments and limits will be adjusted on an annual basis to reflect the cost of living.

Ontario Policy Change Forms

You have learned that endorsements are used to change the terms of insurance policies. Insurance brokers often need to modify the OAP1 terms by use of an endorsement so that the insured is adequately protected. Endorsements used to make changes to the terms of the OAP1 are called *Ontario Policy Change Forms (OPCFs).*

There are many OPCFs available. It is important to understand each endorsement below:

- **OPCF 2: Providing Coverage When Named Persons Drive Other Automobiles**
  - In the OAP1, *Section 2.2.3: Other Automobiles* limits coverage to the Named Insured and their spouse. This endorsement is used to extend to specifically named persons.
- OPCF 3: Drive Government Vehicles
  - Provides coverage for a person driving a vehicle owned by provincial, territorial, or federal governments. Normally, government vehicles are excluded from coverage under the OAP1.
- **OPCF 4A: Permission to Carry Explosives**
  - Provides coverage for a person to carry explosive material. Normally, carrying explosives is an exclusion under the OAP1.
- **OPCF 4B: Permission to Carry Radioactive Material**
  - Provides coverage for a person to carry radioactive material. Normally, carrying radioactive material is an exclusion under the OAP1.
- **OPCF 5: Permission to Rent or Lease Automobiles and Extending Coverage to Specified Lessee(s)**
  - Provides coverage to the lessee (applicant), as if they were the Named Insured and extends to any other person who operates the vehicle with consent.
  - Any loss payment is made to the lessor, not the Named Insured.
  - Requires the insurer to notify the lessor of any reduction of coverage or policy cancellation.
- OPCF 5C: Permission to Rent or Lease
  - Similar to OPCF5, however, this endorsement is applicable to short-term leases only. In the OAP1, *Section 2.2.4: Other Automobiles that are Rented or Leased* limits coverage to no more than 30 days.
- OPCF 5D: Conversion Coverage (Rented or Leased Automobiles)
  - In the OAP1, *Section 7.2.1 Loss or Damage We Won't Cover* excludes theft by anyone who has legal possession of it under a written agreement (such as a lease). This endorsement would fill the gap in coverage, for example, the lessee were to disappear with the vehicle.
- **OPCF 6A: Permission to Carry Paying Passengers**
  - Removes the general exclusion of using your vehicle to carry paying passengers.

- OPCF 6B: School Bus
  - Allows for carrying passengers for compensation or hire, but specifically for school purposes. In the OAP1, this is excluded under *Section 1.8.1: General Exclusion*.
- OPCF 6C: Public Passenger Vehicle
  - Allows for carrying passengers for compensation or hire and permits the insured to carry higher liability limits during those specified periods.
- OPCF 6D: Driver Training School
  - Allows for carrying passengers for compensation or hire, but specifically for a vehicle used by a driver training school.
- OPCF 6F: Public Passenger Vehicles – Combined Limits
  - Allows for carrying passengers for compensation or hire and, during those times, will cover claims for damage to property carried in or upon the automobile, which is normally an exclusion in the OAP1 under *Section 3.5.1: Property Not Covered*.
- OPCF 7: Separate Limits - The *Section 3: Liability Coverage* limit is separated into specifically stated limits in regards to different scenarios.
- OPCF 8: Property Damage Reimbursement
  - This endorsement requires the insured to be responsible for loss or damage to third party property. For example, if the insured had a snow plough attachment on their vehicle and caused damage to another person's vehicle, the insured would be responsible to pay for the third party damage.
- **OPCF 9: Marine Use Excluded**
  - Applies to amphibious vehicles and all other vehicles meeting the definition of Automobile under *Section 1.3* of the OAP1.
  - Excludes loss or damage occurring while the vehicle is in or upon water or while loaded into or removed from water.
- OPCF 13C: Restricting Glass Coverage
  - Limits damage to the front windshield to Comprehensive coverage.
  - Excludes damage caused by rocks or other flying debris.
- **OPCF 16: Suspension of Coverage**
  - Deletes certain road coverages on a described automobile but maintains some *Comprehensive* coverages. For example, the insured will not be driving the automobile during the winter and will suspend road coverage. The automobile will continue to be covered for the perils of fire, vandalism, and glass breakage.
  - Minimum of 45 days required to see premium savings.
- **OPCF 17: Reinstatement of Coverage**
  - Used to reverse OPCF 16: Suspension of Coverage and reinstate coverage.
- OPCF 19: Limiting the Amount Paid for Loss or Damage
  - Under *Section 7: Loss or Damage Coverages*, the insurer will not pay for any more than the stated limit in the auto policy.
  - Can be applied to any type of automobile.
- **OPCF 19A: Agreed Value of Automobiles**

  - In regards to *Section 7: Loss or Damage Coverages*, allows the described automobile to be insured on a valued basis, usually by an appraisal.
  - Often used to insure classic, antique, or custom automobiles.
- **OPCF 20: Coverage for Transportation Replacement**
  - Often referred to as the Loss of Use endorsement.
  - Pays for transportation replacement (rental car, taxi, public transit) when the described vehicle is in the shop for something covered by *Section 7 - Loss or Damage Coverages*.
  - Dispenses with the 72 hour waiting period for theft and allows the insured to carry a higher limit than $900. Limits of coverage vary with each insurer.
- OPCF 22: Damage to Property of Passengers
  - In the event of an accident, will pay for damage to the contents of passengers.
- **OPCF 23A: Lienholder Protection**
  - Provides protection for the lienholder's interest.
  - Any loss payment is made jointly to both the named insured and to the lienholder.
  - Requires the insurer to send a copy of all cancellation notices to the lienholder.
- OPCF 23B: Mortgage (Broad Form)
  - Provides similar coverage as OPCF 23A, but with higher protection for the lienholder.
- OPCF 24: Fire Apparatus
  - In the event of a fire, the insurer will not pay for loss or damage to firefighting or rescue equipment removed from the insured automobile.
- OPCF 25A: Alteration
  - Provides coverage for miscellaneous specified policy changes.
- **OPCF 27: Liability for Damage to Non-Owned Automobile(s)**
  - Extends *Section 7 - Loss or Damage Coverages* to an Other Automobile (rental car).
- OPCF 28: Reducing Coverage for Named Person(s)
  - Reduces coverage and limits for specified drivers, including liability and loss or damage.
  - Standard policy limits would apply to all other listed drivers.
  - Used as an attempt to improve the insurer's exposure to risk.
- **OPCF 28A: Excluded Driver**
  - Excludes all coverage, except for certain Accident Benefits, for specified persons.
- OPCF 29: Additional Coverage for Named Person(s)
  - Increases liability limits and/or adds *Section 7: Loss or Damages* for specified drivers.
  - Standard policy limits would apply to all other listed drivers.
- OPCF 30: Removing Coverage for Attached Machinery
  - Under *Section 3: Liability* and *Section 4: Accident Benefits,* the insurer will not pay for loss or damage caused by the ownership, use, or operation of specified machinery mounted or attached to the automobile.
  - A commercial policy can be used to fill this gap in coverage.

- OPCF 31: Non-Owned Equipment
  - Provides coverage to equipment that is not owned by the insured but is usually attached to the insured automobile.
- **OPCF 32: Use of Recreational Vehicles by Unlicensed Operators**
  - Examples of recreation vehicles include snowmobiles and all-terrain vehicles (ATV's).
  - Allows those not authorized by law (no driver's license) to drive these vehicles.
  - Specific to driving off of public roads and highways.
- OPCF 35: Coverage for Emergency Road Service
  - Allows the insured to be reimbursed for up to $50 for emergency services, such as flat tire or towing, while the described automobile is disabled.
  - Available on an occurrence basis.
- **OPCF 38: Agreed Limit for Automobile Electronic Accessories and Equipment**
  - Removes the limit stated in *Section 7.7: What We Will Pay* and allows the insurer to pay up to an agreed upon amount for loss or damage to non-factory installed automobile electronic accessories or equipment.
- OPCF 40: Fire Deductible
  - *Section 7.3* normally does not apply a deductible to loss or damage caused by fire or lightning. However, an additional stated amount deductible for losses caused by fire or theft of the entire automobile may be added.
  - Typically added to recreational vehicle coverages but may also be added to passenger vehicles after repeated fire loss claims.
- **OPCF 43: Removing Depreciation Deduction**
  - In the event of loss or damage to the described automobile by an insured peril, the insurer agrees not to deduct for depreciation for 24 months.
  - In order for this endorsement to be applied, the insured must be the original purchaser.
  - Additional conditions may vary depending on the insurer.
- OPCF 43A: Removing Depreciation Deduction for Specified Lessee(s)
  - Similar to OPCF 43: Removing Depreciation Deduction, the insurer agrees not to deduct for depreciation for 24 months.
  - Applies to vehicles that are leased.
- **OPCF 44R: Family Protection Coverage** (Underinsured Motorist Coverage)
  - This endorsement is included on most insurance policies sold in Ontario. While the minimum mandatory limit of liability coverage in Ontario is $200,000, most insureds carry coverage of a higher amount. If the insured is involved in an accident with a driver who carries an inadequate amount of liability coverage, this endorsement will provide the insured and any eligible members of their family to the same liability coverage limit carried on their own policy.
  - For example, if the insured is struck by a driver who carries $200,000 liability coverage, and the insured's own policy carries $1,000,000 liability coverage, the endorsement could be used to pay up to $800,000 – the difference between the two policies.

  - In a further example, if the insured were to suffer a threshold injury in the collision and sued the third party for $700,000, the third party's policy would only pay $200,000. In the absence of the endorsement, that would be all the insured could collect. With the endorsement, the insured would be able to collect the remaining $300,000.
  - Additionally, covers any amount recoverable that exceeds the $200,000 recoverable for bodily injury under *Section 5: Uninsured Automobile Coverage*.
- OPCF 46: Pre-Determined Income from Self-Employment Agreement
  - The insured and the insurer arrange a pre-determined agreement on what will be paid for accident benefits based on the insured's annual self-employed income.
- OPCF 47: Agreement Not to Rely on Statutory Accident Benefit Schedule (SABS) Priority of Payment Rules
  - Automatically added to the policy at no charge, provided the insured purchased the mandatory coverages.
  - Allows the insured to claim *Section 4: Accident Benefits*, regardless of any priority of payment rules in the *Insurance Act*.
- **OPCF 48: Added Coverage to Offset Tort Deductibles (Family Law Act)**
  - Ontario courts have determined that small claims awards must have a deductible applied.
  - For an insured, judgments under $131,854.01 have a deductible of $39,556.53.
  - For an insured's family, judgments under $65,926.46 have a deductible of $19,778.27.
  - The endorsement reduces the deductible by $10,000 and $5,000 respectively.
- **OPCF 49: Agreement Not to Recover for Loss or Damage**
  - Removes ***both*** *Section 6: Direction Compensation-Property Damage Coverage* and *Section 7: Collision Coverage*, regardless of fault. Additionally, the policy will not reimburse any *Loss of Use* costs nor any damage to contents.
- Conviction Protector
  - In the event of a first minor conviction, the endorsement protects the premium of the automobile which has the endorsement, preventing a premium increase at renewal due to the conviction.
  - Insureds must meet specific insurer eligibility requirements in order to be eligible for the endorsement.
- Driving Record Protector
  - The insureds driving record will be protected after the first at-fault loss, preventing a premium increase at renewal due to the accident.
  - Insureds must meet specific insurer eligibility requirements in order to be eligible for the endorsement.

Other Automobile Policy Forms

- **OAP 2: Ontario Driver's Policy**
  - Available for those who drive other people's vehicles but who do not have an automobile policy of their own.
  - Normally, the driver would be protected under the owner's policy as they would be operating the vehicle with consent, however, the OAP2 provides backup coverage in the event they drive an uninsured vehicle or one with low liability limits.
  - In rare cases, and most likely through the Facility Association, the OAP2 can be purchased by a driver who is excluded under *OPCF 28A: Excluded Driver* on an OAP1 policy.
- **OAP 4: Ontario Garage Automobile Policy**
  - Available for businesses engaged in the sale, repair, or service of automobiles.
  - Automobiles owned by the business are covered under the policy.
  - Provides coverage for loss or damage to customer's automobiles while being operated by anyone associated with the business. The customer's OAP1 excludes damage caused by a garage employee.
- **SPF 6: Standard Non-Owned Automobile Policy**
  - Sold to those who operate a business where there may be use of automobiles that the business does not own.
  - Covers the employer when they are held responsible for damages caused by employees using their own automobiles while on company time.
  - Does not apply to any automobiles owned by the insured or the business.
- SPF 7: Excess Automotive Policy
  - Available in provinces with government-run automobile insurance.
  - Provides additional liability and accident benefits, in excess of the primary policy.
- SPF 8: Lessor's Contingent Automobile Policy
  - Provides coverages on a contingency basis for businesses that provide long-term leases.
  - Coverage would be secondary to any insurance the lessee has purchased.

Commercial Auto Insurance

A ***commercial auto insurance policy*** is available for any vehicle – cars, vans, trucks, and trailers – used for business purposes. Commercial use is an exclusion on the OAP1. Commercial policies also protect the insured or business against liability for damage caused by accidents involving the business vehicles and provide coverage for an injured driver's medical expenses. Generally, a commercial policy provides the same coverages as a personal auto insurance policy.

Several factors can determine if the insured may require a commercial insurance policy, including but not limited to:

- **Vehicle use**
  - Transporting merchandise, tools, or passengers.
  - Making deliveries of any kind.
  - Daily trips to visit multiple clients or job sites.
- **Type of Vehicle**
  - Vehicles with any business signage. For example, Etsy, retail, construction, or service vehicles.
  - Vehicles designed for commercial use. For example, cube vans, tow-trucks, or emergency vehicles.
  - Modified vehicles. For example, tools in the raised bed of a truck.
- **Vehicle Owner**
  - If the vehicle is owned by a business or an employer, a commercial policy is best.

The OAP1 does allow some business use, however. While not a separate commercial policy, the OAP1 does permit the occasional business activity in personal automobiles. This may include:

- a real estate agent that may use their own vehicle to get to work but may also drive clients to different locations.
- A social worker that may be required to drive patients to various appointments.

In the above scenarios, both vehicles would be able to remain on a personal insurance policy, but the insurer would rate the insured for *business use*. Further, a sole proprietor business owner may also register their vehicle in the company name for tax purposes, which also would qualify as *business use*.

Commercial Fleet Insurance

A fleet policy is used for businesses that own multiple vehicles. Typically, a fleet is defined as five or more vehicles. A few key notes regarding fleet policies include:

- Policies can be available for both small and large fleets.
- Blanket coverage provided to all the vehicles, rather than insuring each vehicle individually.
- Fleet vehicles can be any body type, no size requirements.
- Allow for 'any authorized driver' on the policy. Anyone can drive with consent.
- Some 'any driver' policies will assign named drivers to specific vehicles, particularly to contain risk and help reduce premiums.

Commercial Auto Insurance Endorsements

While commercial policies use many of the standard endorsements, some examples of endorsements used on commercial auto policies may include:

- **OPCF 8: Property Damage Reimbursement** – Makes the insured responsible for loss or damage to other people's property caused by a snow plough attachment.
- OPCF 21A: Monthly Reporting Basis Fleet (for Ontario Licensed Automobiles)
  - Provides coverages for vehicles leased for more than 30 days.

    - All vehicles must be listed on the policy and receipts of mileage must be submitted to the insurer on a monthly basis.
- OPCF 21B: Blanket Fleet Coverage for Ontario Licensed Automobiles
    - Used to insure fleets of automobiles.
- **OPCF 27B: Business Operations – Liability for Damage to Non-Owned Automobiles in the Insured's Care, Custody, or Control**
    - Extends coverages from a commercial policy to automobiles belonging to others that are in the care, custody, and control of the business.

Specialty Auto Insurance

Specialty auto insurance is used to provide coverage for risks that fall outside the appetite of what standard insurers will insure. The broker would quote coverage with an insurer that specializes in the particular risk category.

The following are some examples of risks that may require specialty insurance:

- **Ridesharing**
    - an arrangement in which a vehicle owner transports a passenger in a private vehicle, usually for a fee and arranged by means of a website or a mobile application.
    - the most common ridesharing application is Uber.
    - requirements and coverage vary by insurer.
- **Short-term rentals**
    - also called *carsharing,* allows private car owners to rent out their vehicle to other people through an online and mobile application.
    - the most common application is Turo, allowing individuals to choose the location, style, and model of vehicle they would like to drive for any given occasion.
    - only specific insurers have been approved by FSRA to offer coverage.
- **Delivery services**
    - normally an exclusion under the OAP1.
    - popular examples include Amazon, SkipTheDishes, and Uber Eats.
    - only specific insurers have been approved by FSRA to offer coverage.
- **Antique & Classic Cars**
    - generally a vehicle is known as a *classic* when it is at least 25 to 30 years old.
    - vehicles older than that may qualify as *antique*.
    - usage should be limited to pleasure use in the summer and not driven in the winter.
- **Luxury Cars**
    - many factors determine the definition of a luxury vehicle, including the value (generally $100,000 or more) and high-performance elements.

    - examples of those typically considered to be luxury include Lamborghini, Rolls Royce, Ferrari, and Maserati.
- **Custom & Modified Cars**
    - making a change to the vehicle's appearance can affect not only how it looks, but the availability of insurance.
    - *modifications* can vary from a cosmetic change, such as tinting the windows or adding a spoiler, to altering the performance of the vehicle, such as installing a turbocharger or exhaust systems.
    - a *custom* vehicle is one that is built or altered specifically to the owner's wishes and may include many *modifications*. For example, several dedicated fans have built custom replicas of Batman's *Batmobile.*

Claim Adjustment Calculation

On the exam, you may be given a short description of an accident that occurred and then asked to calculate how the claim will be settled. You will be given the fault determination, the value of direct and indirect damages, and the coverage with their corresponding limits on the policy.

For example:

Shirly was in a car accident for which she is deemed to be 75% at fault. She suffered $10,000 worth of damage to her vehicle, $1,000 damage to the contents of her vehicle, and racked up a $100 rental car bill. She carries a $1,000 deductible for All Perils, a $1,000 DCPD deductible, and has purchased OPCF 20: Coverage for Transportation Replacement with a limit of $1,200. How will her claim be settled?

	25% NAF (DCPD)	***75% AF (COLLISION)***
CAR	$2,500 - ($250 DEDUCTIBLE)	$7,500 - ($750 DEDUCTIBLE)
CONTENTS	$250	$0 (NEVER)
RENTAL	$25 (PAID BY DCPD)	$0 (SEE OPCF 20)
TOTAL	***$2,525 (DCPD)***	***$6,750 (COLLISION)***

DCPD will pay $2,525 for the not at fault portion of the accident, Collision (from All Perils) will pay $6,750 for the at fault portion of the car damage, and OPCF 20: Coverage for Transportation Replacement will pay $75 for the at fault portion of the rental car bill.

A few things to note:

- The percentages at the top of each column is applied to each row, including deductibles.
- There are NEVER any contents coverage under Collision for the at fault portion.
- DCPD pays for a rental car for the not at fault portion, but OPCF 20: Coverage for Transportation Replacement pays for a rental car for the at fault portion (not included in the final Collision total), up to the limit of the endorsement.

50 Things You Need to Know About Automobile Insurance

1) Where does the OAP 1 provide coverage?

2) What three circumstances allow for transfer of interest in an automobile policy?

3) Within what time limit do insurers want a claim reported?

4) When do automobile claims have to be paid by the insurance company?

5) What type of refund is required when the insurer cancels the policy?

6) What type of refund is required when the insured cancels the policy?

7) What type of notice is the insured required to give?

8) What type of notice is the insurer required to give when cancelling the first two times for nonpayment?

9) What coverage is available on a vehicle when it is driven by an excluded driver?

10) What coverage is automatically given to a new vehicle that is being substituted for the old one?

11) What coverage is automatically given to a new additional automobile?

12) When does a borrowed vehicle become a temporary substitute automobile?

13) What coverage is granted when you drive a temporary substitute automobile that ends up being uninsured?

14) What coverage is automatically given on any trailer?

15) What kind of trailers automatically get DCPD coverage?

16) Who is granted coverage to drive other automobiles under the OAP 1?

17) What coverage is granted when one drives an uninsured other automobile?

18) Who is covered under Liability Coverage to drive an automobile?

19) What is the maximum amount your policy will pay under Liability Coverage?

20) If you carry $200,000 Liability Coverage and you have an accident in Nova Scotia where the minimum Liability limit is $500,000, what is the most your insurance company will pay out under Liability if someone sues you?

21) What is the maximum amount payable under the standard Income Replacement Benefit?

22) What are the buy up amounts for the Income Replacement Benefit?

23) What are the amounts payable for death of a spouse, of a parent (for a child), and of a child (for the parent)?

24) What three Accident Benefits are not available to someone who is driving a vehicle while intoxicated?

25) What is an uninsured automobile?

26) What is an unidentified automobile?

27) Who is covered under Uninsured Automobile Coverage?

28) What is the maximum amount paid for vehicle damage caused by an identified but uninsured automobile?

29) What is the maximum amount that will be paid out under Uninsured Automobile Coverage to someone who sustains threshold injuries as the result of an accident with a hit and run vehicle?

30) What three things are covered under Direct Compensation - Property Damage Coverage?

31) What things must be in place for DCPD to repair damage to an insured person's vehicle?

32) Whose policy do you go towards to have your vehicle repaired in a not at fault accident?

33) How is fault determined in order to determine how much DCPD will pay of the damages?

34) What percentage of your $500 DCPD deductible do you have to pay if you are 0% at fault? 25% at fault?

35) What is the difference in coverage between carrying Collision and Comprehensive or All Perils?

36) What is the most an insurer will pay for the DVD that was in the DVD player when the player was stolen?

37) What types of losses do not require a deductible to be paid under Section 7 of the OAP 1?

38) Are general average charges covered under the OAP 1?

39) Will your OAP 1 cover your friend when she is driving your vehicle with consent, and she slides on black ice and rolls your vehicle? Will they subrogate against her for the damages she caused?

40) How much will Loss of Use Due to Theft pay to supply you with a rental vehicle? Will you get it immediately?

41) Rather than pay for the damage, how many days does the insurer have to notify an insured if they choose to repair, replace, or rebuild the automobile instead?

42) What will the OPCF 20: Coverage for Transportation Replacement pay for besides a rental vehicle?

43) In what two ways does the OPCF 23A: Lienholder Protection protect the lienholder?

44) What does the OPCF 44R: Family Protection Coverage protect the insured against?

45) What does the OPCF 48: Added Coverage to Offset Tort Deductibles do?

46) Who needs an OAP 2: Ontario Driver's Policy?

47) Who is protected by the SPF 6: Standard Non-Owned Automobile Policy?

48) Why do those who buy, sell, store, park and repair vehicles need an OAP 4: Ontario Garage Automobile Policy?

49) How long does the OPCF 43: Removing Depreciation Deduction waive depreciation on a new vehicle?

50) When would an OPCF 5: Permission to Rent or Lease Automobiles endorsement be required?

Answers to 50 Things You Need to Know About Automobile Insurance

1) Where does the OAP 1 provide coverage? ***(Canada, the United States, and on a vessel in between their ports)***

2) What three circumstances allow for transfer of interest in an automobile policy? ***(bankruptcy, death, and succession)***

3) Within what time limit do insurers want a claim reported? ***(within 7 days)***

4) When do automobile claims have to be paid by the insurance company? ***(within 60 days after receiving the proof of loss)***

5) What type of refund is required when the insurer cancels the policy? ***(proportionate (pro-rata))***

6) What type of refund is required when the insured cancels the policy? ***(short rate)***

7) What type of notice is the insured required to give? ***(none)***

8) What type of notice is the insurer required to give when cancelling the first two times for nonpayment? ***(30 days registered mail)***

9) What coverage is available on a vehicle when it is driven by an excluded driver? ***(only certain accident benefits)***

10) What coverage is automatically given to a new vehicle that is being substituted for the old one? ***(same as the one it replaces)***

11) What coverage is automatically given to a new additional automobile? ***(coverage that is common to all other vehicles)***

12) When does a borrowed vehicle become a temporary substitute automobile? ***(when described automobile is out of service)***

13) What coverage is granted when you drive a temporary substitute automobile that ends up being uninsured? ***(same as the described vehicle out of service)***

14) What coverage is automatically given on any trailer? ***(liability, accident benefits, and uninsured automobile)***

15) What kind of trailers automatically get DCPD coverage? ***(owned trailers not designed to be lived in)***

16) Who is granted coverage to drive other automobiles under the OAP 1? ***(named insured and spouse who lives in the same household)***

17) What coverage is granted when one drives an uninsured other automobile? ***(liability, accident benefits, uninsured automobile, and DCPD)***

18) Who is covered under Liability Coverage to drive an automobile? ***(insured and anyone with consent)***

19) What is the maximum amount your policy will pay under Liability Coverage? ***(the limit insured by the policy)***

20) If you carry $200,000 Liability Coverage and you have an accident in Nova Scotia where the minimum Liability limit is $500,000, what is the most your insurance company will pay out under Liability if someone sues you? ***($500,000)***

21) What is the maximum amount payable under the standard Income Replacement Benefit? ***(70% gross weekly income to a maximum of $400 per week)***

22) What are the buy up amounts for Income Replacement Benefit? ***($600, $800, and $1,000)***

23) What are the amounts payable for death of a spouse, of a parent (for a child), and of a child (for the parent)? ***($25,000, $10,000, and $10,000)***

24) What three Accident Benefits are not available to someone who is driving a vehicle while intoxicated? ***(income replacement, non-earner, and payment of other expenses)***

25) What is an uninsured automobile? ***(a vehicle for which neither the owner nor driver has liability insurance)***

26) What is an unidentified automobile? ***(a vehicle for which neither the owner nor driver can be determined)***

27) Who is covered under Uninsured Automobile Coverage? ***(any occupant of the vehicle, the insured, spouse, and dependents)***

28) What is the maximum amount paid for vehicle damage caused by an identified but uninsured automobile? ***($25,000 with a $300 deductible)***

29) What is the maximum amount that will be paid out under Uninsured Automobile Coverage to someone who sustains threshold injuries as the result of an accident with a hit and run vehicle? ***($200,000)***

30) What three things are covered under Direct Compensation - Property Damage Coverage? ***(vehicle damage, contents damage, and loss of use)***

31) What things must be in place for DCPD to repair damage to an insured person's vehicle? ***(accident must occur in Ontario between the insured and another automobile with valid Ontario motor vehicle liability insurance)***

32) Whose policy do you go towards to have your vehicle repaired in a not at fault accident? ***(your own policy)***

33) How is fault determined in order to determine how much DCPD will pay of the damages? ***(fault determination rules)***

34) What percentage of your $500 DCPD deductible do you have to pay if you are 0% at fault? 25% at fault? ***(100%, 75%)***

35) What is the difference in coverage between carrying Collision and Comprehensive or All Perils? ***(all perils will cover theft by someone in the household or by an employee)***

36) What is the most an insurer will pay for the DVD that was in the DVD player when the player was stolen? ***($25)***

37) What types of losses do not require a deductible to be paid under Section 7 of the OAP 1? ***(fire and lightning)***

38) Are general average charges covered under the OAP 1? ***(yes, see OAP1 page 48)***

39) Will your OAP 1 cover your friend when she is driving your vehicle with consent, and she slides on black ice and rolls your vehicle? Will they subrogate against her for the damages she caused? ***(yes, not unless she used the vehicle illegally)***

40) How much will Loss of Use Due to Theft pay to supply you with a rental vehicle? Will you get it immediately? ***($900, 72 hour waiting period)***

41) Rather than pay for the damage, how many days does the insurer have to notify an insured if they choose to repair, replace, or rebuild the automobile instead? ***(seven days)***

42) What will the OPCF 20: Coverage for Transportation Replacement pay for besides a rental vehicle? ***(taxi, public transportation)***

43) In what two ways does the OPCF 23A: Lienholder Protection protect the lienholder? ***(insurer must provide 15 day notice of cancellation and the cheque will be made payable jointly to the insured and institution)***

44) What does the OPCF 44R: Family Protection Coverage protect the insured against? ***(an underinsured motorist)***

45) What does the OPCF 48: Added Coverage to Offset Tort Deductibles do? ***(reduces tort deductible by $10,000 for the injured person and $5,000 for family members)***

46) Who needs an OAP2: Ontario Driver's Policy? ***(someone who drives other people's vehicles and does not have a vehicle of their own to insure)***

47) Who is protected by the SPF 6: Standard Non-Owned Automobile Policy? ***(employer when their employees are using their vehicle on company business)***

48) Why do those who buy, sell, store, park and repair vehicles need an OAP 4: Ontario Garage Automobile Policy? ***(OAP 1 excludes coverage)***

49) How long does the OPCF 43: Removing Depreciation Deduction waive depreciation on a new vehicle? ***(24 months)***

50) When would an OPCF 5: Permission to Rent or Lease Automobiles endorsement be required? ***(extends coverage to a vehicle that you drive, but that is owned by a leasing company)***

Automobile Insurance Sample Exam Questions

1) Your client has just purchased a new snowmobile. To properly insure it you advise your client that you will:
    a) Provide coverage by issuing an endorsement extending Liability on the Homeowner Policy.
    b) Issue an "all risk" policy specifically designed to insure recreational vehicles.
    c) Cover it on an OAP 1.
    d) Advise the client that the Liability coverage under his current OAP 1 automatically extends to cover the snow vehicle if it is less than 4500 kilograms.

2) Which of the following is not considered when rating a policy of automobile insurance?
    a) Color of the car.
    b) Claims history.
    c) Use of the automobile.
    d) Conviction history.

3) With respect to past license experience, the insurer wants to know of any convictions in:
    a) Six years.
    b) Three years.
    c) Four years.
    d) Five years.

4) With respect to past license experience, the insurer wants to know of any accidents the insured or any listed drivers have had within the last:
    a) Six years.
    b) Three years.
    c) Four years.
    d) Five years.

5) Which one of the following is not part of the OAF 1: Ontario Application for Automobile Insurance Owner's Form?
    a) Financial and credit information relating to the applicant within the past 6 years.
    b) Particulars of the described automobile.
    c) Use of the vehicle.
    d) Particulars of all accidents and claims of the applicant arising out of the operation of any automobile within the past 6 years.

6) The automobile application asks about physical impairments of an operator. Which one would not likely be of any consequences?
    a) Total deafness in one ear.
    b) An artificial leg.
    c) A heart condition.
    d) A bad scar from a previous accident.

7) The wording of the OAP 1 falls under:
   a) Provincial jurisdiction.
   b) Federal jurisdiction.
   c) Either of the above depending on the specific province.
   d) Neither, each individual insurance company devises their own automobile policy.

8) What is the minimum amount of Loss or Damage Coverages one is required by law to carry?
   a) Collision and Comprehensive.
   b) Collision.
   c) Specified Perils.
   d) There is no legal requirement to carry physical damage on your vehicle.

9) What is the minimum amount of Liability coverage that must be carried in Ontario?
   a) $500,000.
   b) $200,000.
   c) $300,000.
   d) $100,000.

10) What coverage is also mandatory with the purchase of Liability?
   a) DCPD.
   b) Accident Benefits, Uninsured Automobile, and DCPD.
   c) Only Liability is required.
   d) Uninsured Motorist Coverage.

11) The basic concept of no-fault insurance is:
   a) To provide compensation for not at fault vehicular damage quickly under the insured's own policy.
   b) To provide greatly increased Accident Benefits.
   c) To limit legal action for bodily injury to serious injuries which fall within a specified definition and have the courts determine who will be given back the right to sue.
   d) All of the above.

12) The owner's policy of insurance coverage on a specific automobile is:
   a) Excess coverage.
   b) Primary coverage.
   c) Secondary coverage.
   d) Optional coverage.

13) The verbal threshold in an Ontario Automobile Policy refers to:
   a) Amounts scheduled under Accident Benefits the insured can receive if injured.
   b) Judgements for pain and suffering resulting from death or permanent serious disfigurement or impairment of an important physical, mental, or psychological function.
   c) Amounts the insured can receive for future medical costs anticipated to be incurred.
   d) The $1,000,000 minimum Liability limit in Ontario.

14) Which of the following is not included in the definition of "threshold"?
    a) Permanent serious impairment of an important physical, mental, or psychological function.
    b) Permanent, serious disfigurement.
    c) Death of the injured person.
    d) Two broken legs.

15) Which of the following statements is true about the Facility Association?
    a) It is a non-profit organization.
    b) It is designed to allow all insurers in Ontario to share the risk of insuring particularly bad drivers.
    c) Certain companies are designated as "servicing carriers" and issue policies and pay claims on behalf of the Facility Association.
    d) All of the above.

16) Which of the following does not have coverage restricted/claims denied, if the responsibilities of the insured are not met?
    a) Using the automobile for any illegal trade or transportation.
    b) Driving while impaired under the influence of alcohol or drugs.
    c) Driving the automobile in a race or speed test.
    d) Driving while not authorized by law to drive.

17) If an applicant makes a false statement on the auto application and it is discovered 60 days after the policy has been in force, the insurance company may:
    a) Surcharge the policy with a lying surcharge.
    b) Do nothing if the contestability period has expired.
    c) Deny a claim that occurred prior to cancellation.
    d) Cancel the policy by giving 15 days' notice by registered mail or 5 days hand delivered.

18) Which of the following would be covered under an Automobile policy?
    a) Driving a rental vehicle in Greece.
    b) Driving the automobile in Mexico.
    c) Transporting the automobile from Vancouver (BC) to San Francisco by ship.
    d) Transporting the automobile from Halifax (NS) to Lisbon (Portugal) by ship.

19) The Ontario Automobile Policy will respond to cover a claim if:
    a) The car is being used as a taxi.
    b) The vehicle is used to occasionally carry children to or from school activities.
    c) The vehicle is used in a race.
    d) The vehicle is being driven by an excluded driver.

20) Under the Statutory Condition "Time and Manner of Payment", the insurer must make the required payment within:
    a) 60 days after receipt of the proof of loss form.
    b) 90 days after receipt of the proof of loss form.
    c) 30 days after receipt of the proof of loss form.
    d) 12 months after receipt of the proof of loss form.

21) Your client was on vacation in California. He drove across the border into Mexico and while there, he was involved in a hit and run accident for which he was not at fault. His vehicle sustained substantial damage. His policy has $1,000,000 Liability, Collision $500 deductible and Comprehensive $300 deductible. He calls you for advice.
    a) He would be responsible for a $300 deductible and the claim would be paid out under Uninsured Automobile Coverage.
    b) The claim would be paid under his Collision coverage subject to his $500 deductible.
    c) He would not have to pay his deductible and the claim would be resolved as a Direct Compensation - Property Damage claim.
    d) There is no protection under his policy as he has exceeded his territorial limits.

22) If a person has an OAP 1 and is killed while crossing the road in London, England the policy would pay his surviving spouse:
    a) Nothing at all.
    b) 90% of four years net wages (no less than $50,000 and no more than $100,000 per dependent).
    c) $25,000 Plus $10,000 per dependent.
    d) $50,000.

23) An elderly insured calls you. He has sold his vehicle and will no longer drive. He wants to know what to do about his automobile insurance.
    a) Advise him that since the OAP 1 is a government legislation he has to request cancellation from the provincial government.
    b) Ask that he send in a signed cancellation request for a pro-rata refund.
    c) Ask that he send in a signed cancellation request for a short rate refund.
    d) Advise him that due to the car being sold the premium is considered fully earned and he will not get any kind of refund for early cancellation.

24) I use my six-passenger van to carry people into town to the office where we all work. Every two weeks, each of my five passengers pay me a fee of $30.00. How would it be covered by the OAP 1?
    a) It is fully covered against whatever coverage was purchased.
    b) Only when increased limits of liability are purchased.
    c) For bodily injury to the kids only.
    d) Such use is excluded unless a specific endorsement is purchased to remove the exclusion and allow carriage of passengers for compensation.

25) All but one of the following statements are false respecting the statutory conditions on "termination" of the automobile. Which one is correct?
    a) If the insurer cancels, the return premium must be short rate.
    b) The contract may not be terminated for reasons other than non-payment by the insurer.
    c) The insurer may terminate for non-payment by giving 30 days registered letter or 10 days hand delivered.
    d) If the insured cancels, the return premium must be on a pro-rata basis.

26) The warning in Section 1.5 of the OAP 1 sets out:
    a) Offenses under the Insurance Act relating to misrepresentation.
    b) Offenses under the Criminal Code for using false documents.
    c) Fines and penalties for attempts to defraud an insurance company.
    d) All of the above.

27) Which is not true pertaining to termination of an automobile policy?
    a) The insured can terminate coverage at any time subject to a pro-rata return premium.
    b) The insurer is required to provide 15 days' written notice by registered mail if cancelling for material change in risk.
    c) The insured can terminate coverage at any time subject to a short-rate return premium.
    d) The insurer can terminate the policy by providing five days written notice hand delivered to the insured when cancelling for other than non-payment.

28) With respect to an automobile insurance policy:
    a) The policy can't be terminated once it has been in effect for 30 days or longer.
    b) Termination by the insurer is subject to a pro rata return premium.
    c) Termination by the insurer for any reason can be achieved by giving 30 days' notice by registered mail.
    d) Termination by the insured for any reason requires 30 days' notice by registered mail.

29) Coverage under the OAP 1 applies when the insured is:
    a) Driving in downtown Detroit.
    b) Operating a friend's car in Bermuda.
    c) Driving a rented vehicle in England.
    d) Driving their car to Mexico.

30) What motorized vehicle is included in the definition of an automobile in the OAP 1?
    a) Golf cart.
    b) Motorized snow vehicle.
    c) Farm tractor.
    d) Boat.

31) Coverage under the OAP 1 includes which of the following uses?
    a) Using it to drive the baby-sitter home.
    b) Carrying explosives.
    c) Renting out the automobile.
    d) Carrying passengers for compensation.

32) The daughter of your client called to report an accident she had with her father's vehicle. The vehicle is not drivable, and she is in the hospital with injuries. On completing the claims report you find out that her father died four months earlier. The ownership has been changed over into "the estate of..." until his affairs are settled. You advise her that:
    a) Insurer will refuse to pay the claim for non-disclosure.
    b) Insurer will pay the claim in full. Assignment of the policy is automatically allowed in the case of bankruptcy, death, and succession.
    c) The insurer will refuse to pay the claim due to material change by insured.
    d) The insurer will only pay Collision damage on the vehicle and not her Accident Benefits.

33) Coverage under the OAP 1 includes which of these uses?
    a) Carrying explosives.
    b) Carrying passengers for compensation.
    c) Occasionally giving a ride to a person who shares the cost of a trip.
    d) Renting out the automobile.

34) Which of the following statements is true?
    a) Every insurer must file with the Financial Services Regulatory Authority of Ontario, a list of grounds for which the insurer declines to issue, terminates, or refuses to renew an automobile policy.
    b) An insurer may terminate a policy only for non-payment of premium.
    c) The insurer has total discretion of any grounds for termination, nonrenewal or declination of an automobile insurance policy.
    d) None of the above.

35) Section 1.4 of the OAP 1 discusses the insured's responsibilities and how failure to meet these responsibilities affects coverage. Section 1.8 of the OAP 1 sets out exclusions. How do they differ as to the way coverage is dealt with?
    a) There is no difference as they both remove all coverage.
    b) Section 1.4 says claims may be denied (except for certain Accident Benefits). Section 1.8 declares there is no coverage (except for certain Accident Benefits) under conditions set out in this section.
    c) Both will allow payment under certain conditions.
    d) None of the above.

36) On a Sunday drive, Bill finds the "car of his dreams" on sale at an estate sale. He purchases the vehicle and drives it home while his wife drives their other vehicle home. Bill has full coverage (Liability/AB/UA/DCPD/Collision and Comprehensive) on his truck. His other vehicle that is sitting in his yard has Liability/AB/UA/DCPD and Comprehensive. What coverage will Bill have on the new "car of his dreams" when he drives it home?
    a) Full coverage, the same as he has on his truck.
    b) He will get the coverage common to all of his vehicles, Liability/AB/UA/DCPD and Comprehensive.
    c) He is only given the mandatory coverages automatically.
    d) There is no automatic coverage on a newly purchased vehicle.

37) Under certain circumstances a newly acquired automobile is covered automatically under an owner's policy provided:
    a) The new automobile must be the same make and model as the one it is replacing.
    b) If the insured notifies within 21 days of delivery and pays the extra premium.
    c) If it is an additional automobile and the insurer insures all automobiles of the insured for the coverage under which a claim is being made.
    d) If it is replacing an automobile already on the policy and is not an additional automobile.

38) When the insured purchases a replacement or second automobile, coverage under the OAP 1 is:
    a) is not available until the insurer has been notified and given all the details.
    b) is not available as the insurer has not had time to underwrite the risk.
    c) is not available on an additional or re-placement vehicle.
    d) Automatically extended to the new car for 14 days for either the same coverage as the vehicle it replaces or for coverage common to all other insured vehicles, subject to certain conditions.

39) What is true regarding automobile defined?
    a) Trailers are granted full coverage under automobile defined.
    b) Temporary substitute automobiles are granted certain coverage.
    c) Anyone in the household is covered to drive an 'other automobile' as defined.
    d) Coverage is not extended to newly acquired automobiles.

40) Which of the following statements is not true?
    a) A newly acquired vehicle is automatically insured for a specified time period if it replaces another insured automobile.
    b) An automobile with a trailer attached is considered as one vehicle for purposes of Accident Benefits.
    c) There is no coverage for a temporary substitute vehicle.
    d) It is possible to insure more than one automobile on the same policy.

41) The insured has two automobiles, and both are insured with the same insurer on the same policy for Liability ($500,000 and $1,000,000 respectively) If the insured is involved in an accident while driving a temporary substitute automobile, the maximum his insurer would pay is:
    a) $200,000.
    b) $500,000.
    c) $1,000,000.
    d) $1,500,000.

42) Your insured owns two vehicles registered in his name and insured under an OAP 1. Vehicle 1 is covered for Liability, Collision, as well as Comprehensive. Vehicle 2 carries only Liability and Comprehensive. He buys a third vehicle and three days later, without having discussed coverage for the vehicle with his broker it is demolished in an accident. What is the situation under the policy with respect to this Collision loss?
    a) He only has Liability and Comprehensive on his newly acquired vehicle.
    b) There is Collision on the newly acquired vehicle because both of his previous vehicles were insured with the same insurer and there is Collision on at least one of his vehicles.
    c) There is no coverage at all on the newly acquired vehicle.
    d) He is covered for the Collision loss because he had 14 days in which to notify the insurance company.

43) Coverage for an ‘other automobile’ applies when:
    a) The other vehicle is owned by a boarder who lives in the household.
    b) The insured's spouse drives a sick friend's uninsured vehicle to their home.
    c) The insured borrows a car for use for one day in his auto sales work.
    d) The insured's son borrows an uninsured vehicle to move.

44) A temporary substitute automobile is:
    a) A newly acquired automobile reported to the insurer within 14 days.
    b) Your neighbor’s automobile which you have borrowed.
    c) An automobile you are using while yours is in for repair.
    d) An automobile rented for your vacation.

45) Which one of the following statements would be true with respect to an automobile rented by an insured while on vacation in the USA?
    a) A rented automobile is considered as a temporary substitute automobile for purposes of coverage by an insured's automobile policy.
    b) A rented automobile is considered as an ‘other automobile’ for purposes of coverage by an insured's automobile policy.
    c) Any coverage for the rented automobile will have to be purchased by the insured from the car rental agency.
    d) All coverage provided by an insured's automobile policy would apply to an automobile rented in the USA except Liability.

46) Under Section 3 - Liability Coverage of the OAP 1, the definition of an "insured person" is:
    a) Anyone who personally drives the insured automobile without consent.
    b) Anyone who steals the vehicle and takes it for a joy ride.
    c) An excluded driver on the vehicle.
    d) Anyone who personally operates a part of the insured automobile with consent.

47) If a liability claim is made against a driver, renter or owner of a rented automobile, coverage may be available under more than one policy. How will the various policies respond?
    a) Only the policy of the renter of the vehicle will respond.
    b) The policy of the renter will respond first. If the judgement has not been fulfilled, the insurance of the driver will respond next. If the amount collected from the renter and driver do not meet a specified limit, then the owner, the leasing company, responds last.
    c) Only the policy of the driver of the vehicle will respond.
    d) Only the policy of the owner of the vehicle, the leasing company, will respond.

48) Which of the following is not covered under the Liability section of the OAP 1?
    a) Property of your neighbor that you back over.
    b) Your child's bike that you back over.
    c) The library building that you back into.
    d) The guard rail you took out.

49) Mary Mason lost control of her vehicle, crashed through a fence, and destroyed a beautiful, old oak tree. From whom can the owner of the tree and fence go to for damages?
    a) Mary Mason's auto insurer.
    b) The owner's auto insurer subject to the deductible.
    c) Their own automobile insurer.
    d) No one.

50) How much post-judgement interest will the OAP 1 pay?
    a) Only the amount of post-judgement interest on the amount of the judgement that falls within the limit of liability the insured carries.
    b) The OAP 1 doesn't cover post-judgement interest.
    c) It covers pre-judgement interest not post judgement interest.
    d) The whole amount of post-judgement interest.

51) What is true about automobile Liability insurance?
    a) The insurer pays up to the limit of the policy plus legal fees.
    b) The insurer always pays the total amount of the claim when insured is being sued for injuries he caused to another.
    c) Insurer only pays legal fees.
    d) The insurer only pays when the insured is not at fault.

52) Bill and Mary Smith have an OAP 1 insuring their vehicles. The policy is in the name of Bill and Mary Smith. If Mary sustains a threshold injury in an accident for which Bill is deemed to be at fault, does she have recourse to sue Bill for her injuries?
    a) No. She is a named insured on the policy and as such cannot sue for compensation under her own policy.
    b) No. She has no recourse under her OAP 1.
    c) No. She can't sue her husband for her injuries.
    d) Yes. Her lawsuit against her husband will be covered under their joint OAP 1.

53) Bill carries $200,000 Liability on his OAP 1. He has an at fault accident in Nova Scotia where the minimum Liability limit is $500,000. How will his OAP 1 respond?
    a) His Uninsured Automobile Coverage will respond.
    b) He is covered up to the minimum Liability limits of the province where he had an at fault accident even if their minimum Liability limit is higher than the limit of Liability that Bill carries.
    c) His policy will only ever pay up to the limit of Liability that he carries.
    d) He is out of the territorial limits of his OAP 1 so the policy will not respond.

54) Your insured advises you that a close friend from Nova Scotia who is licensed to drive there will be visiting them for a month. The insured expects the friend will likely be driving the insured's vehicle during the week. You advise your insured:
    a) He has to send a letter to the insurance company advising he gives consent for the visitor to drive.
    b) His policy can be extended by endorsement to protect his visitor while driving his vehicle. There will be an additional premium for the endorsement.
    c) The policy coverage under the OAP 1 protects the visiting driver as long as he is driving with consent and holds a valid driver's license from Nova Scotia.
    d) The visitor can't drive your insured's vehicle unless he passes a test for an Ontario driver's license.

55) Under Liability Coverage of the OAP 1, the insurer agrees to:
    a) Protects the insured when he rolls his vehicle and is injured.
    b) Protects the insured occupant of the automobile for loss of income.
    c) Protect anyone who drives or operates the automobile with consent against legal liability for bodily injury or property damage.
    d) Protects the insured for damage to his vehicle done by another driver.

56) Liability Coverage:
    a) Covers the insured's legal liability to others.
    b) Is an optional coverage.
    c) Is compulsory only for commercial vehicles in Ontario.
    d) In the amount of the jurisdictions minimum limits is more than adequate.

57) When an insured is involved in an accident resulting in injury to a third party, they have certain obligations that require them to:
    a) With the help of their broker, try to settle the claim without involving the insurer.
    b) Send immediately to the insurer all legal documents regarding the claim.
    c) Assume liability for the injury.
    d) Notify the insurer within 30 days of the claim.

58) Property damage under Liability of the OAP 1, means damage to:
    a) The insured's property only.
    b) Any property.
    c) Property of others but not the insured's own property.
    d) Any third party automobile only.

59) Joe carries $1,000,000 Liability. The court awards a judgement against him for $1,500,000 dollars for bodily injury. How will his policy respond?
    a) It will pay as a maximum, a total of $1,000,000 for court costs, defense costs, post judgment interest and the amount of the judgment itself.
    b) It will pay up to $1,000,000 for the judgement, plus cover court costs, defense costs, and post-judgement interest on the amount of the judgement that falls within Joe's limit of Liability.
    c) It will pay the full amount of the judgement but not court costs, defense costs or post judgment interest.
    d) It will pay the full amount of the judgement plus all court, defense, and interest costs.

60) We may on occasion be required by law to make payments, even though we are not otherwise liable for them under this policy. If so, you or other insured persons will have to reimburse us upon demand for those payments. This statement relates to:
    a) Exclusions.
    b) Absolute liability.
    c) Property not covered.
    d) Loss or Damage Coverage.

61) Accident Benefits under the OAP 1:
    a) Are only paid out to innocent victims of automobile accidents.
    b) May only be purchased by means of an OPCF endorsement.
    c) Are always paid without consideration of any criminal code convictions.
    d) Are paid without consideration as to fault.

62) In the priority of payments for Accident Benefits, what is the last remaining place to claim from if no other avenues exist?
    a) The Uninsured Automobile Coverage of an OAP 1.
    b) The Motor Vehicle Accidents Claims Fund.
    c) The Ontario Insurance Commission.
    d) The Insurance Bureau of Canada.

63) All of the following types of injury resulting from an automobile accident would meet the definition of catastrophic impairment except:
    a) A person who loses his leg must be fitted with an artificial limb for walking.
    b) A person who permanently loses his sight and must be trained to work with a seeing eye dog.
    c) A person who is paralyzed from the waist down and is confined to a wheelchair.
    d) A person who suffers a head injury but recovers without any impairment.

64) Your client is involved in an accident for which she shares no fault. She will be off work for five months. Her gross weekly income is $1,000. She did not top up her Accident Benefits by purchasing a higher limit. She has an accident and sickness plan at work which provides her with 60% of her gross weekly income. How much will her OAP 1 Accident Benefits pay?
    a) Her insurer will pay $600 a week.
    b) Her insurer will pay $100 a week.
    c) Nothing, as her income of $1,000 a week exceeds the basic amount available under her OAP1.
    d) Her insurer will pay $200 a week.

65) The Income Replacement Benefit is not payable for the first:
    a) weeks.
    b) 12 weeks.
    c) 7 days.
    d) 26 weeks.

66) If a person is unable to work due to receiving bodily injuries in an at fault automobile accident, they would be entitled to receive which of the following under their OAP 1 Accident Benefits Coverage?
    a) Any lost wages for up to 180 days.
    b) 90% of gross weekly income up to a maximum of $500 a week.
    c) Any or all amounts of lost wages until age 65.
    d) 70% of gross weekly income up to $1,000 a week if optional benefits to that amount had been purchased.

67) I'm injured in an automobile accident. I'm off work for three months. I do not have any form of short term disability at work. Do I have any recourse under my automobile policy?
    a) Yes. Income Replacement Benefits will pay up to 70% of Gross Weekly Income to a maximum of $400 a week with basic limit.
    b) No. You will have to go to the Motor Vehicle Accident Claims Fund.
    c) Yes. Sue the person who hit you for loss of income benefits.
    d) No. You will have to go on Unemployment Insurance Benefits.

68) Your client was involved in a serious accident. She will be unable to work for several months. Her gross weekly income is $1,000 a week. She has no collateral benefit plan from work. How much will she receive under her Income Replacement Benefits?
    a) $400 a week.
    b) $700 a week.
    c) $800 a week.
    d) $1,000 a week.

69) Your client is divorced with no dependents. He is killed in a car accident while driving on an icy road. Which of the following is correct?
    a) The insured's divorced spouse received the benefit.
    b) The company pays nothing.
    c) The Death Benefit of $25,000 is payable to the estate of the insured.
    d) The provincial government receives the Death Benefit.

70) Death Benefits are payable under Accident Benefits upon the death of the:
    a) Dependent for $5,000.
    b) Parent to each child for $2,000.
    c) Spouse for $25,000.
    d) Spouse and two dependents for $50,000.

71) Mr. White is involved in a two car collision in which the other driver is determined to be 75% at fault. Mr. White requires extensive medical treatment for his injuries. Where will he go for medical costs over and above the provincial government health insurance plan?
    a) The at fault driver's insurance company will pay his medical costs.
    b) Mr. White will have to pay extra medical costs out of pocket.
    c) Mr. White's insurance company under his Accident Benefits, Medical and Rehabilitation Benefit.
    d) The Facility Association.

72) Which of the following is not an optional benefit under the Accident Benefits section of the policy?
    a) Increase in the maximum Income Replacement Benefit.
    b) Increase in the threshold.
    c) Increase in the Death Benefit.
    d) Indexation Benefit.

73) My friend does not have a car, nor is she covered by anyone else's policy. She is in my car when we are hit by another person who is 100% at fault. She has two broken hands and two broken legs and is not able to work. She is not covered by any income replacement plan at work. Does she have recourse to recover her lost wages?
    a) Yes. Under the Accident Benefits of the person who hit us and who is 100% at fault.
    b) No. There is no coverage.
    c) There is no coverage, she can go to the Motor Vehicle Accident Claims Fund.
    d) Yes, she would be covered under my Accident Benefits.

74) Virginia has both arms broken in an accident by the deployment of the airbags in a fender bender accident. She lives alone and needs someone to do her housekeeping and care for her. She did not purchase any optional coverages. Would she be covered?
    a) No. She did not purchase the additional benefits needed to have Housekeeping and Attendant Care.
    b) Yes. She is covered for both Housekeeping and Attendant Care.
    c) She can buy the optional benefits after the accident.
    d) Yes. She is covered for the Attendant for someone to take care of her but she is not eligible for the Housekeeping and Home Maintenance because she does not have a catastrophic injury.

75) Under the OAP 1, Accident Benefits from the described automobile are payable to:
    a) All occupants of the described automobile who are not insured by an OAP 1.
    b) The named insured, his/her spouse, and dependents of either while occupants of any vehicle or as pedestrians when hit by any automobile.
    c) An uninsured pedestrian struck by the described automobile.
    d) All of the above.

76) Where are the details and amounts of coverage for Accident Benefits set out?
    a) Only on the FSRA web site.
    b) In the OAP 1.
    c) In the Highway Traffic Act.
    d) In the Statutory Accident Benefits Schedule of the Insurance Act of Ontario.

77) Under the Accident Benefits section of the OAP 1, students who are injured in an automobile accident and as a result are unable to attend school for an undetermined length of time, may be paid the following:
    a) Some educational expenses that had been lost or incurred by the student/insured person.
    b) Money by the Ontario Ministry of Education.
    c) Nothing.
    d) Pain and suffering.

78) To a person convicted of operating the automobile while impaired by alcohol or drugs, the insurer is not required to pay:
    a) Attendant Care Benefit.
    b) Income Replacement Benefit.
    c) Death benefits.
    d) Funeral expenses.

79) How long does the insurer have to pay Death and Funeral Benefits?
    a) 10 business days.
    b) 60 days.
    c) 7 days.
    d) 30 business days.

80) Vehicle #1 collided with vehicle #2. At the scene of the accident it was determined that vehicle #1 was completely at fault but did not have insurance. Vehicle #2 was insured under an OAP 1. The owner of vehicle #1 sustained severe bodily injury. His supplemental Medical, Rehabilitation and Attendant Care Benefits would be paid by:
    a) The Provincial Government Fund.
    b) The Insurance Policy of vehicle #2.
    c) No one as he did not have insurance.
    d) The owner of vehicle #1's past expired vehicle.

81) Uninsured Automobile Coverage:
    a) Is not offered by all insurers in Ontario.
    b) Will respond only if the insured has the right to sue a negligent party but they were uninsured or unidentified.
    c) Is provided by the government of Ontario.
    d) Covers the uninsured driver.

82) Priority of Payment under Uninsured Automobile Coverage:
    a) Means that losses must be paid promptly.
    b) A person gets to choose if their vehicle will be repaired under Uninsured Automobile Coverage or Direct Compensation - Property Damage Coverage.
    c) Specifies the minimum limits of Liability Coverage that must be purchased.
    d) Specifies how much of the policy limit will apply to each of bodily injury and property damage where there isn't enough insurance to fulfil judgements for bodily injury and replace or repair the vehicle.

83) Under the OAP 1, Uninsured Automobile Coverage applies when:
    a) The vehicle is hit by a hit and run vehicle.
    b) Uninsured passengers in an uninsured vehicle are injured.
    c) An uninsured vehicle is damaged.
    d) The insured is struck as a pedestrian by an unidentified automobile.

84) Which of the following is not insured under Uninsured Automobile Coverage of the OAP 1?
    a) Damage to a vehicle caused by a hit and run driver.
    b) Injuries to the named insured and family when hit by an uninsured vehicle.
    c) Pedestrian who has his own insurance when hit by an uninsured vehicle.
    d) Damage to an insured vehicle which has been hit by a stolen vehicle in a police chase.

85) Which of the following would not be deemed to be an uninsured automobile?
    a) A stolen vehicle.
    b) A vehicle driven with consent of the owner.
    c) A vehicle driven by an excluded driver.
    d) A vehicle that had its insurance cancelled for non-payment by registered mail with 30 days' notice.

86) Which of the following would not be covered under Uninsured Automobile Coverage?
   a) Damage to the vehicle the insured has a legal right to recover from an uninsured owner or driver.
   b) Loss of use of the vehicle the insured has a legal right to recover from an uninsured owner or driver.
   c) Damage to contents of the vehicle the insured has a legal right to recover from an uninsured owner or driver.
   d) Damage to the vehicle when the insured is 100% at fault in the accident.

87) What is the maximum amount Uninsured Automobile Coverage will pay for one incident?
   a) $1,000,000.
   b) The limit of liability carried by the insured.
   c) The minimum liability limit of the jurisdiction where the loss occurred.
   d) $500,000.

88) Uninsured Automobile Coverage would pay for which of the following:
   a) Pain and suffering following the amputation of the insured's arm as the result of an accident with an at fault hit and run driver.
   b) Funeral expenses as a result of death caused by a hit and run driver in Ontario.
   c) Collision damage to an uninsured vehicle suffered as a result of an upset.
   d) Damage caused to an insured vehicle cause by a hit and run driver.

89) An unidentified automobile is one:
   a) For which neither the owner nor the driver has Liability Coverage.
   b) Whose driver cannot be determined.
   c) Whose driver or owner cannot be determined.
   d) Whose VIN has been removed.

90) My neighbor's son is an excluded driver under her policy and is driving his buddy's vehicle (which he is unaware is uninsured). He turned the corner and slid into my vehicle causing $5,000 damage. Under what coverage is the damage to my vehicle covered?
   a) DCPD.
   b) Comprehensive.
   c) All Perils.
   d) Uninsured Automobile.

91) Joe has a $500 DCPD deductible. How much of his DCPD deductible does he have to pay if hit by a fully at fault other vehicle.
   a) The full amount of his DCPD deductible.
   b) He is not at fault, so he doesn't have to pay a deductible.
   c) The at fault driver's insurer will pay Joe's DCPD deductible since their insured was at fault.
   d) Only 50% of his DCPD deductible.

92) Joe is involved in an accident on the 401. The roads are icy, a third party rear-ends his vehicle. The third party is determined to be 100% at fault. While parked on the side of the road waiting for the tow truck, another vehicle loses control and hits Joe's vehicle. How many DCPD deductibles would he have to pay if he had a $500 DCPD deductible?
    a) One deductible.
    b) He would pay 50% of the deductible for each event.
    c) Two deductibles.
    d) He doesn't have to pay a deductible at all.

93) What conditions are necessary for DCPD to respond to a not at fault loss or to the portion of a loss the insured is not at fault for?
    a) The accident must happen in Ontario.
    b) At least two vehicles involved in the accident must carry valid liability insurance.
    c) Insurance must be with an insurer licensed in Ontario or filed with the Financial Services Commission of Ontario to write business in Ontario.
    d) All of the above.

94) Gail has her vehicle insured for the mandatory coverages and she is driving her friend Anna's fully insured vehicle. While driving Anna's vehicle, Gail is hit by a third party who is deemed to be 100% at fault. Whose policy would pay out under DCPD?
    a) Anna's policy would pay to repair the car under her own DCPD.
    b) Gail's own policy even though she was driving Anna's vehicle.
    c) The at fault third party's DCPD would pay to fix Anna's car.
    d) Anna's policy would pay 50% of the damage under DCPD and Gail's policy would pay 50% of the damage under her policy's DCPD.

95) What criteria is required for DCPD to respond?
    a) If the accident happens in Detroit, DCPD will always pay to fix your car.
    b) The accident involved an at fault stolen vehicle.
    c) The accident must happen in Ontario between at least two vehicles which carry valid Ontario insurance.
    d) In an out of province accident, DCPD will pay to fix your car and contents of your car.

96) Whose policy will respond when an at fault, insured person vehicle hits your vehicle?
    a) Your policy under Liability Coverage since Ontario is no-fault.
    b) His policy and his insurer.
    c) Your policy.
    d) The government pays since Ontario now has no-fault insurance.

97) Mary borrowed some very expensive antique wine glasses for her holiday dinner party from her friend Gail. While driving over to Gail's house to return them, she was rear-ended by a vehicle that was deemed to be 100% at fault. The $1,500 antique wine glasses were totally destroyed. How will Gail be reimbursed for her wine glasses?
    a) Gail owned the antique wine glasses, so she would go under DCPD of her own OAP 1 to be reimbursed for the wine glasses.
    b) The Liability of the person who was at fault in the accident would pay to Gail for the loss of her antique wine glasses.
    c) Mary's DCPD will pay for the antique wine glasses.
    d) Mary's Liability will pay for the destroyed wine glasses.

98) How is the DCPD deductible applied when there is damage to the vehicle and to contents of the vehicle?
    a) It is taken off the total of all damages for car, contents, and car rental.
    b) The deductible only applies to vehicular damage.
    c) First the deductible is applied to vehicular damage. If the damage to the vehicle is less than the amount of the deductible, any leftover deductible amount would be applied to the contents amount. DCPD would pay the balance of damages once the deductible is applied.
    d) The full amount of the deductible is applied to vehicular damage. Then the full amount of the deductible is applied to content damage.

99) How is fault determined with respect to vehicular damage to a vehicle?
    a) By the police.
    b) By the Fault Determination Rules.
    c) By the insured.
    d) By the insurer.

100) If Bill is 100% at fault in an accident, how much of his damages will he be able to receive under his Direct Compensation - Property Damage?
    a) Nothing under DCPD.
    b) 25% of his damages.
    c) 50% of his damages.
    d) 100% of his damages.

101) Your client, whom you insure with Liability and the other mandatory coverages only, called to advise you his back seat was set on fire by a passenger as a result of a cigarette. Damage is estimated to be $3,300. How much will the insurance company pay?
    a) The full amount of the loss.
    b) The full amount of the loss less his deductible.
    c) Only $1,000 as it resulted from careless use of a cigarette.
    d) Nothing at all.

102) Your insured's automobile was vandalized while it was parked in the dimly lit arena parking lot. The insured has Collision with a $500 deductible and Specified Perils with a $300 deductible. Which of the following is correct?

a) The insured would pay the loss without a deductible under Specified Perils Coverage.
b) The insurer would pay the loss, less the deductible amount under Specified Perils Coverage.
c) The insurer would pay the loss, less the deductible amount under Collision Coverage.
d) There is no coverage for this loss.

103) Which of the following (if any) would allow an insurance company the right to deny or limit coverage in the event of a claim involving damage to an automobile?

a) Driving under the influence.
b) Driving while excluded from a policy.
c) Driving while license is under suspension.
d) All of the above.

104) Under Loss or Damage Coverages of the OAP 1, disagreements on the extent of repairs shall be determined by:

a) Appraisal under the Insurance Act.
b) The dealership value.
c) Insurer’s figures only.
d) Insured’s figures only.

105) Under Specified Perils Coverage, which of the following is covered?

a) Windshield damage as a result of vandalism.
b) Windshield damage as a result of an accident which caused the damage.
c) Windshield damage as a result of lightning.
d) Windshield damage as a result of a stone chip.

106) The insured’s automobile has been stolen. This is covered under both:

a) Liability and Specified Perils.
b) All Perils and Comprehensive.
c) Collision and Comprehensive.
d) Liability and Collision.

107) When the insured vehicle is damaged in an accident, the insured must do certain things. One of these is:

a) Decide if he wants to repair or replace the vehicle.
b) Get repairs under way as quickly as possible.
c) Notify the insurer within 60 days of the loss.
d) Protect the vehicle from further damage.

108) Bill just purchased a new ultra-high definition big screen television. On the way home, he hit a patch of black ice and rolled his vehicle. The new television was destroyed. Does Bill have any recourse under his OAP 1 to replace the television?
   a) Yes. The Liability section of his OAP 1 will pay to replace the television without deductible.
   b) Yes. The DCPD section of his OAP 1 will pay to replace the television without deductible.
   c) No. Property of the insured is not covered under Liability Coverage.
   d) Yes. The All Perils section of his OAP 1 will pay to replace the television without deductible.

109) In the event of theft, how quickly must the insured notify his insurance company?
   a) Promptly.
   b) Within 72 hours after reporting it to the police.
   c) Within 48 hours.
   d) Within 7 days or if incapacitated, as soon as possible.

110) Under the requirements after a loss (own damages), the insured must deliver a proof of loss to the insurer within:
   a) 15 days after the date of loss.
   b) 12 months after receipt of the proof of loss.
   c) 60 days after receipt of proof of loss.
   d) 90 days after receipt of proof of loss.

111) Which of the following is not covered under All Perils?
   a) Rioters lashed the insured's tires.
   b) Insured's tire is ruined as a result of a blow-out.
   c) Insured hit a deer.
   d) An unknown person scratches and defaces the insured's vehicle.

112) After the theft of the insured's automobile has been reported, the insurer will reimburse the necessary transportation expense in the following manner:
   a) Pays up to $300 for car rental after a two week waiting period.
   b) Pays a maximum of $720 commencing as soon as the claim is reported.
   c) Pays up to $900 for car rental after a 72 hour waiting period.
   d) Pays up to $450 for car rental after a 48 hour waiting period.

113) Under what circumstances is there no deductible applied to Loss or Damage Coverages.
   a) Impact with an animal.
   b) Theft of the entire vehicle.
   c) Fire or lightning damage to the vehicle.
   d) Collision or Upset causing a total loss.

114) Which one of the coverages includes insurance against vehicle damage from upset or rollover?
a) Specified Perils.
b) DCPD.
c) Comprehensive.
d) Collision.

115) Which of the following is true concerning Loss or Damage Coverages?
a) Only Collision and All Perils are subject to a deductible.
b) All Perils combines and broadens the coverage provided by the other three sections.
c) Collision or Upset is all the coverage an insured really needs to have the owned automobile adequately protected.
d) Specified Perils often provides as broad a coverage as All Perils.

116) Which of the following perils covered under Comprehensive is not covered under Specified Perils?
a) Flying rocks.
b) Earthquake.
c) Fire.
d) Explosion.

117) Which of the following is not covered under Specified Perils?
a) Vehicle collision with a tree.
b) Damage to the car roof when the car was overturned during a riot.
c) Vehicle damaged in a flood.
d) Ferryboat sank with vehicle on it.

118) The Insured has an OAP 1 with a $300 deductible on Comprehensive. A cigarette sets the car seat on fire, causing $1,100 damage. The insurer would pay:
a) $300.
b) $800.
c) $1,100.
d) Nothing.

119) A vehicle sustains substantial damage when it bottoms out in a pothole. What section of the OAP 1 would cover such a loss?
a) DCPD.
b) Comprehensive.
c) Specified Perils.
d) Collision or Upset.

120) If an insured drives a vehicle into a side wall of his own house causing damage to the car and house, the automobile policy OAP 1 would pay for:
   a) The damage to the house, subject to the direct damage deductible.
   b) The damage to the house, not subject to a deductible.
   c) The damage to the vehicle, subject to a deductible and provided Collision is in effect.
   d) Neither the damage to the house nor to the car.

121) You carry the mandatory coverages and Collision with a $1,000 deductible. You have a $0 DCPD deductible. You are deemed 50% at fault for a loss that sees you with $6,000 damage to your car, $800 damage to the contents of your vehicle and a loss of use/car rental bill of $1,100. How will your loss be settled?
   a) $3400 DCPD, $3000 Collision.
   b) $3950 DCPD, $2000 Collision.
   c) $3000 DCPD, $3950 Collision.
   d) $3950 DCPD, $2500 Collision.

122) Mark is determined to be 50% at fault in an accident. Damage to his car is $6,000. Damage to contents of his vehicle is $800 and his car rental bill is $900. He carries Collision $500 deductible and an OPCF 20: Coverage for Transportation Replacement covering car rental in the amount of $1,000. How much will he get in the settlement of his claim?
   a) He'll get $3,850 under his DCPD for his car damage; he'll get $3,000 - $500 deductible under his Collision towards repair of his car; he'll get the remaining car rental costs of $450 under his OPCF 20: Coverage for Transportation Replacement and he will not be able to obtain reimbursement for the 50% of contents in the vehicle that he is deemed to be at fault for.
   b) He'll get $3,850 under his DCPD for his car damages; he'll get $3,000 - $250 (50% of his Collision deductible) under his Collision coverage he'll get the remaining 50% of car rental costs of $450 under his OPCF 20: Coverage for Transportation Replacement and he will not be able to obtain reimbursement for the 50% of contents of the vehicle that he is deemed to be at fault for.
   c) He'll get $7,700 under his DCPD.
   d) Because he is partially at fault, he will not get any compensation under DCPD. His Collision will pay the full amount of his vehicular damage and his car rental costs. He can't get reimbursement for the contents of his vehicle.

123) OPCF 5: Permission to Rent or Lease Automobiles:
   a) Permits the lessor to rent or lease automobiles to a lessee who is required to insure it on an OAP 1.
   b) Provides coverage under an OAP 1 to the lessee as if the lessee were the name insured.
   c) Is necessary on all automobile insurance policies that insure leased vehicles.
   d) All of the above.

124) OPCF 44R: Family Protection Coverage provides coverage for which of the following:
   a) To the insured's extended family for losses or damaged due to a not at fault accident as a result of pain and suffering.
   b) Pays medical, death and funeral benefits to the insured's family.
   c) To the insured and dependent relatives for bodily injury or death as a result of negligence on the part of an inadequately insured third party.
   d) To a third party with serious injuries because the insured is inadequately insured.

125) OAP 2: Ontario Driver's Policy is intended to provide coverage for:
   a) The owner of a business who provides cars for the use of his salesmen.
   b) A driver who will personally drive any car he doesn't own or which is not registered in his own name.
   c) A passenger in a car driven by another licensed driver.
   d) Accident Benefits when driving another person's car.

126) The insurer agrees to indemnify the insured against the liability imposed by law upon the insured for loss or damage arising from the use or operation of any automobile not owned in whole or in part by or licensed in the name of the insured, and resulting from bodily injury to or the death of any person or damage to property of others, not in the care, custody, or control of the insured: This defines what Ontario Policy form?
   a) OAP 4: Ontario Garage Automobile Policy.
   b) SPF 6: Standard Non-Owned Automobile Policy.
   c) OAP 1: Ontario Automobile Policy Owner's Policy.
   d) OAP 2: Ontario Driver's Policy.

127) Non-economic loss (pain and suffering) for a given accident involving one injured person has been assessed at $90,000. Will they get the full amount of their judgement?
   a) Yes, they will get the full amount of their judgement.
   b) No, the indexation value of the Tort Deductible will be taken off the amount of the judgement.
   c) They will get 50% of their judgement amount.
   d) Only if they purchased OPCF 48: Added Coverage to Offset Tort Deductibles.

128) The OPCF 43: Removing Depreciation Deduction:
   a) Removes the right of the insurer to deduct depreciation from the value of a vehicle when settling a claim for its loss or damage.
   b) Gives replacement cost on a new vehicle forever.
   c) Only applies for a Collision loss where the insured it at fault.
   d) Only applies under DCPD when the insured is not at fault.

129) An insured operates an automobile dealership. What policy will he need to cover the vehicles he has for sale against fire loss?

a) OAP 4: Ontario Garage Automobile Policy.
b) SPF 6: Standard Non-Owned Automobile Policy.
c) OAP 1: Ontario Automobile Policy Owner's Policy.
d) OAP 2: Ontario Driver's Policy.

130) OPCF 23A: Lienholder Protection:

a) Provides protection for the lienholder's interest in the insured's automobile.
b) Extends coverage to the lienholder in the event that the insured sells the vehicle.
c) Will require the insured to notify the lienholder of all changes within 15 days.
d) Provides protection for the lessor's interest in the insured's automobile.

Answers to Automobile Insurance Sample Exam Questions

1) Your client has just purchased a new snowmobile. To properly insure it you advise your client that you will:
   a) Provide coverage by issuing an ~~endorsement extending Liability on the Homeowner Policy~~.
   b) Issue an "~~all risk" policy specifically designed to insure recreational vehicles~~.
   c) **Cover it on an OAP 1.**
   d) Advise the client that the Liability coverage under his current OAP 1 ~~automatically extends to cover the snow vehicle if it is less than 4500 kilograms~~.

2) Which of the following is not considered when rating a policy of automobile insurance?
   a) **~~Color of the car~~.**
   b) Claims history.
   c) Use of the automobile.
   d) Conviction history.

3) With respect to past license experience, the insurer wants to know of any convictions in:
   a) ~~Six~~ years.
   b) **Three years.**
   c) ~~Four~~ years.
   d) ~~Five~~ years.

4) With respect to past license experience, the insurer wants to know of any accidents the insured or any listed drivers have had within the last:
   a) **Six years.**
   b) ~~Three~~ years.
   c) ~~Four~~ years.
   d) ~~Five~~ years.

5) Which one of the following is not part of the OAF 1: Ontario Application for Automobile Insurance Owner's Form?
   a) **~~Financial and credit information relating to the applicant within the past 6 years~~.**
   b) Particulars of the described automobile.
   c) Use of the vehicle.
   d) Particulars of all accidents and claims of the applicant arising out of the operation of any automobile within the past 6 years.

6) The automobile application asks about physical impairments of an operator. Which one would not likely be of any consequences?
   a) Total deafness in one ear.
   b) An artificial leg.
   c) A heart condition.
   d) **A ~~bad scar from a previous accident~~.**

7) The wording of the OAP 1 falls under:
   a) **Provincial jurisdiction.**
   b) ~~Federal~~ jurisdiction.
   c) ~~Either of the above depending on the specific province~~.
   d) ~~Neither, each individual insurance company devises their own automobile policy~~.

8) What is the minimum amount of Loss or Damage Coverages one is required by law to carry?
   a) ~~Collision and Comprehensive~~.
   b) ~~Collision~~.
   c) ~~Specified Perils~~.
   d) **There is no legal requirement to carry physical damage on your vehicle.**

9) What is the minimum amount of Liability coverage that must be carried in Ontario?
   a) $~~500,000~~.
   b) **$200,000.**
   c) $~~300,000~~.
   d) $~~100,000~~.

10) What coverage is also mandatory with the purchase of Liability?
   a) DCPD.
   b) **Accident Benefits, Uninsured Automobile, and DCPD.**
   c) ~~Only Liability is required~~.
   d) Uninsured Motorist Coverage.

11) The basic concept of no-fault insurance is:
   a) To provide compensation for not at fault vehicular damage quickly under the insured's own policy.
   b) To provide greatly increased Accident Benefits.
   c) To limit legal action for bodily injury to serious injuries which fall within a specified definition and have the courts determine who will be given back the right to sue.
   d) **All of the above.**

12) The owner's policy of insurance coverage on a specific automobile is:
   a) ~~Excess~~ coverage.
   b) **Primary coverage.**
   c) ~~Secondary~~ coverage.
   d) ~~Optional~~ coverage.

13) The verbal threshold in an Ontario Automobile Policy refers to:
   a) ~~Amounts scheduled~~ under Accident Benefits the insured can receive if injured.
   b) **Judgements for pain and suffering resulting from death or permanent serious disfigurement or impairment of an important physical, mental, or psychological function.**
   c) ~~Amounts the insured can receive for future medical costs anticipated to be incurred~~.
   d) ~~The $1,000,000 minimum Liability limit in Ontario~~.

14) Which of the following is not included in the definition of "threshold"?
   a) Permanent serious impairment of an important physical, mental, or psychological function.
   b) Permanent, serious disfigurement.
   c) Death of the injured person.
   d) **~~Two broken legs~~.**

15) Which of the following statements is true about the Facility Association?
   a) It is a non-profit organization.
   b) It is designed to allow all insurers in Ontario to share the risk of insuring particularly bad drivers.
   c) Certain companies are designated as "servicing carriers" and issue policies and pay claims on behalf of the Facility Association.
   d) **All of the above.**

16) Which of the following does not have coverage restricted/claims denied, if the responsibilities of the insured are not met?
   a) Using the automobile for any ~~illegal trade or transportation~~.
   b) **Driving while impaired under the influence of alcohol or drugs.**
   c) Driving the automobile in a ~~race or speed test~~.
   d) Driving while ~~not authorized by law~~ to drive.

17) If an applicant makes a false statement on the auto application and it is discovered 60 days after the policy has been in force, the insurance company may:
   a) Surcharge the policy with a ~~lying surcharge~~.
   b) ~~Do nothing if the contestability period has expired~~.
   c) ~~Deny a claim~~ that occurred prior to cancellation.
   d) **Cancel the policy by giving 15 days' notice by registered mail or 5 days hand delivered.**

18) Which of the following would be covered under an Automobile policy?
   a) Driving a rental vehicle in ~~Greece~~.
   b) Driving the automobile in ~~Mexico~~.
   c) **Transporting the automobile from Vancouver (BC) to San Francisco by ship.**
   d) Transporting the automobile from Halifax (NS) to ~~Lisbon (Portugal)~~ by ship.

19) The Ontario Automobile Policy will respond to cover a claim if:
   a) The car is being used as a ~~taxi~~.
   b) **The vehicle is used to occasionally carry children to or from school activities.**
   c) The vehicle is used in a ~~race~~.
   d) The vehicle is being driven by an ~~excluded driver~~.

20) Under the Statutory Condition "Time and Manner of Payment", the insurer must make the required payment within:
   a) **60 days after receipt of the proof of loss form.**
   b) ~~90~~ days after receipt of the proof of loss form.
   c) ~~30~~ days after receipt of the proof of loss form.
   d) ~~12 months~~ after receipt of the proof of loss form.

21) Your client was on vacation in California. He drove across the border into Mexico and while there, he was involved in a hit and run accident for which he was not at fault. His vehicle sustained substantial damage. His policy has $1,000,000 Liability, Collision $500 deductible and Comprehensive $300 deductible. He calls you for advice.
   a) He would be responsible for ~~a $300 deductible and the claim would be paid out under Uninsured Automobile Coverage~~.
   b) The claim would be ~~paid under his Collision coverage subject to his $500 deductible~~.
   c) He would not have to pay his deductible and the claim would be ~~resolved as a Direct Compensation - Property Damage claim~~.
   d) **There is no protection under his policy as he has exceeded his territorial limits.**

22) If a person has an OAP 1 and is killed while crossing the road in London, England the policy would pay his surviving spouse:
   a) **Nothing at all.**
   b) ~~90% of four years net wages (no less than $50,000 and no more than $100,000 per dependent)~~.
   c) ~~$25,000 plus $10,000 per dependent~~.
   d) ~~$50,000~~.

23) An elderly insured calls you. He has sold his vehicle and will no longer drive. He wants to know what to do about his automobile insurance.
   a) Advise him that since the OAP 1 is a government legislation he has to request cancellation from the ~~provincial government~~.
   b) Ask that he send in a signed cancellation request for a ~~pro-rata~~ refund.
   c) **Ask that he send in a signed cancellation request for a short rate refund.**
   d) Advise him that due to the car being sold the premium is considered ~~fully earned and he will not get any kind of refund for early cancellation~~.

24) I use my six-passenger van to carry people into town to the office where we all work. Every two weeks, each of my five passengers pay me a fee of $30.00. How would it be covered by the OAP 1?
   a) It is ~~fully~~ covered against whatever coverage was purchased.
   b) ~~Only when increased limits of liability are purchased~~.
   c) ~~For bodily injury to the kids only~~.
   d) **Such use is excluded unless a specific endorsement is purchased to remove the exclusion and allow carriage of passengers for compensation.**

25) All but one of the following statements are false respecting the statutory conditions on "termination" of the automobile. Which one is correct?
   a) If the insurer cancels, the return premium must be ~~short rate~~.
   b) The contract may ~~not~~ be terminated for reasons other than non-payment by the insurer.
   c) **The insurer may terminate for non-payment by giving 30 days registered letter or 10 days hand delivered.**
   d) If the insured cancels, the return premium must be on a ~~pro-rata~~ basis.

26) The warning in Section 1.5 of the OAP 1 sets out:
   a) Offenses under the Insurance Act relating to misrepresentation.
   b) Offenses under the Criminal Code for using false documents.
   c) Fines and penalties for attempts to defraud an insurance company.
   d) **All of the above.**

27) Which is not true pertaining to termination of an automobile policy?
   a) **The insured can terminate coverage at any time subject to a ~~pro-rata~~ return premium.**
   b) The insurer is required to provide 15 days' written notice by registered mail if cancelling for material change in risk.
   c) The insured can terminate coverage at any time subject to a short-rate return premium.
   d) The insurer can terminate the policy by providing five days written notice hand delivered to the insured when cancelling for other than non-payment.

28) With respect to an automobile insurance policy:
   a) The policy ~~can't~~ be terminated once it has been in effect for 30 days or longer.
   b) **Termination by the insurer is subject to a pro rata return premium.**
   c) Termination by the insurer for any reason can be achieved by giving ~~30~~ days' notice by registered mail.
   d) Termination by the insured for any reason requires ~~30 days' notice by registered mail~~.

29) Coverage under the OAP 1 applies when the insured is:
   a) **Driving in downtown Detroit.**
   b) Operating a friend's car in ~~Bermuda~~.
   c) Driving a rented vehicle in ~~England~~.
   d) Driving their car to ~~Mexico~~.

30) What motorized vehicle is included in the definition of an automobile in the OAP 1?
   a) ~~Golf cart~~.
   b) **Motorized snow vehicle.**
   c) ~~Farm tractor~~.
   d) ~~Boat~~.

31) Coverage under the OAP 1 includes which of the following uses?
   a) **Using it to drive the baby-sitter home.**
   b) Carrying ~~explosives~~.
   c) ~~Renting~~ out the automobile.
   d) ~~Carrying passengers for compensation~~.

32) The daughter of your client called to report an accident she had with her father's vehicle. The vehicle is not drivable, and she is in the hospital with injuries. On completing the claims report you find out that her father died four months earlier. The ownership has been changed over into "the estate of..." until his affairs are settled. You advise her that:
   a) Insurer will ~~refuse to pay the claim for non-disclosure~~.
   b) **Insurer will pay the claim in full. Assignment of the policy is automatically allowed in the case of bankruptcy, death, and succession.**
   c) The insurer will ~~refuse to pay~~ the claim due to material change by insured.
   d) The insurer will ~~only~~ pay Collision damage on the vehicle and not her Accident Benefits.

33) Coverage under the OAP 1 includes which of these uses?
   a) ~~Carrying explosives~~.
   b) ~~Carrying passengers for compensation~~.
   c) **Occasionally giving a ride to a person who shares the cost of a trip.**
   d) ~~Renting out the automobile~~.

34) Which of the following statements is true?
   a) **Every insurer must file with the Financial Services Regulatory Authority of Ontario, a list of grounds for which the insurer declines to issue, terminates, or refuses to renew an automobile policy.**
   b) An insurer may terminate a policy ~~only~~ for non-payment of premium.
   c) The ~~insurer~~ has total discretion of any grounds for termination, nonrenewal or declination of an automobile insurance policy.
   d) ~~None of the above~~.

35) Section 1.4 of the OAP 1 discusses the insured's responsibilities and how failure to meet these responsibilities affects coverage. Section 1.8 of the OAP 1 sets out exclusions. How do they differ as to the way coverage is dealt with?
   a) There is ~~no~~ difference as ~~they both remove all coverage~~.
   b) **Section 1.4 says claims may be denied (except for certain Accident Benefits). Section 1.8 declares there is no coverage (except for certain Accident Benefits) under conditions set out in this section.**
   c) ~~Both will allow payment under certain conditions~~.
   d) ~~None of the above~~.

36) On a Sunday drive, Bill finds the "car of his dreams" on sale at an estate sale. He purchases the vehicle and drives it home while his wife drives their other vehicle home. Bill has full coverage (Liability/AB/UA/DCPD/Collision and Comprehensive) on his truck. His other vehicle that is sitting in his yard has Liability/AB/UA/DCPD and Comprehensive. What coverage will Bill have on the new "car of his dreams" when he drives it home?
   a) Full coverage, the same as he has on his truck.
   b) **He will get the coverage common to all of his vehicles, Liability/AB/UA/DCPD and Comprehensive.**
   c) He is only given the mandatory coverages automatically.
   d) There is no automatic coverage on a newly purchased vehicle.

37) Under certain circumstances a newly acquired automobile is covered automatically under an owner's policy provided:
   a) The new automobile ~~must be the same make and model as the one it is replacing~~.
   b) If the insured notifies within ~~21~~ days of delivery and pays the extra premium.
   c) **If it is an additional automobile and the insurer insures all automobiles of the insured for the coverage under which a claim is being made.**
   d) If it is replacing an automobile already on the policy ~~and is not~~ an additional automobile.

38) When the insured purchases a replacement or second automobile, coverage under the OAP 1 is:
   a) ~~Is not available~~ until the insurer has been notified and given all the details.
   b) ~~Is not available~~ as the insurer has not had time to underwrite the risk.
   c) ~~Is not available~~ on an additional or re-placement vehicle.
   d) **Automatically extended to the new car for 14 days for either the same coverage as the vehicle it replaces or for coverage common to all other insured vehicles, subject to certain conditions.**

39) What is true regarding automobile defined?
   a) Trailers are granted ~~full~~ coverage under automobile defined.
   b) **Temporary substitute automobiles are granted certain coverage.**
   c) ~~Anyone~~ in the household is covered to drive an other automobile as defined.
   d) Coverage is ~~not~~ extended to newly acquired automobiles.

40) Which of the following statements is not true?
   a) A newly acquired vehicle is automatically insured for a specified time period if it replaces another insured automobile.
   b) An automobile with a trailer attached is considered as one vehicle for purposes of Accident Benefits.
   c) **There is ~~no~~ coverage for a temporary substitute vehicle.**
   d) It is possible to insure more than one automobile on the same policy.

41) The insured has two automobiles, and both are insured with the same insurer on the same policy for Liability ($500,000 and $1,000,000 respectively) If the insured is involved in an accident while driving a temporary substitute automobile, the maximum his insurer would pay is:
   a) $~~200,000~~.
   b) $~~500,000~~.
   c) **$1,000,000.**
   d) $~~1,500,000~~.

42) Your insured owns two vehicles registered in his name and insured under an OAP 1. Vehicle 1 is covered for Liability, Collision, as well as Comprehensive. Vehicle 2 carries only Liability and Comprehensive. He buys a third vehicle and three days later, without having discussed coverage for the vehicle with his broker it is demolished in an accident. What is the situation under the policy with respect to this Collision loss?
   a) **He only has Liability and Comprehensive on his newly acquired vehicle.**
   b) There ~~is Collision~~ on the newly acquired vehicle because ~~both~~ of his previous vehicles were insured with the same insurer and there is Collision on at least one of his vehicles.
   c) There is ~~no coverage at all~~ on the newly acquired vehicle.
   d) He ~~is covered for the Collision loss~~ because he had 14 days in which to notify the insurance company.

43) Coverage for 'an other' automobile applies when:
   a) The other vehicle is owned by ~~a boarder who lives in the household~~.
   b) **The insured's spouse drives a sick friend's uninsured vehicle to their home.**
   c) The insured borrows a car for use for one day in his ~~auto sales work~~.
   d) The insured's ~~son borrows an uninsured vehicle to move~~.

44) A temporary substitute automobile is:
   a) A ~~newly acquired automobile reported to the insurer within 14 days~~.
   b) Your neighbor's automobile ~~which you have borrowed~~.
   c) **An automobile you are using while yours is in for repair.**
   d) An automobile rented for ~~your vacation~~.

45) Which one of the following statements would be true with respect to an automobile rented by an insured while on vacation in the USA?
   a) A rented automobile is considered as ~~a temporary substitute automobile~~ for purposes of coverage by an insured's automobile policy.
   b) **A rented automobile is considered as an 'other automobile' for purposes of coverage by an insured's automobile policy.**
   c) Any coverage for the rented automobile will ~~have to be purchased by the insured from~~ ~~the car rental agency~~.
   d) ~~All coverage~~ provided by an insured's automobile policy would apply to an automobile rented in the USA ~~except Liability~~.

46) Under Section 3 - Liability Coverage of the OAP 1, the definition of an "insured person" is:
   a) Anyone who personally drives the insured automobile ~~without~~ consent.
   b) Anyone who ~~steals~~ the vehicle and takes it for a joy ride.
   c) An ~~excluded driver~~ on the vehicle.
   d) **Anyone who personally operates a part of the insured automobile with consent.**

47) If a liability claim is made against a driver, renter or owner of a rented automobile, coverage may be available under more than one policy. How will the various policies respond?
   a) ~~Only~~ the policy of the renter of the vehicle will respond.
   b) **The policy of the renter will respond first. If the judgement has not been fulfilled, the insurance of the driver will respond next. If the amount collected from the renter and driver do not meet a specified limit, then the owner, the leasing company, responds last.**
   c) ~~Only~~ the policy of the driver of the vehicle will respond.
   d) ~~Only~~ the policy of the owner of the vehicle, the leasing company, will respond.

48) Which of the following is not covered under the Liability section of the OAP 1?
   a) Property of your neighbor that you back over.
   b) **~~Your child's bike that you back over~~.**
   c) The library building that you back into.
   d) The guard rail you took out.

49) Mary Mason lost control of her vehicle, crashed through a fence, and destroyed a beautiful, old oak tree. From whom can the owner of the tree and fence go to for damages?
   a) **Mary Mason's auto insurer.**
   b) The ~~owner's auto insurer~~ subject to the deductible.
   c) ~~Their own automobile insurer~~.
   d) ~~No one~~.

50) How much post-judgement interest will the OAP 1 pay?
   a) **Only the amount of post-judgement interest on the amount of the judgement that falls within the limit of liability the insured carries.**
   b) The OAP 1 ~~doesn't~~ cover post-judgement interest.
   c) It covers ~~pre-judgement interest not post judgement interest~~.
   d) The ~~whole amount~~ of post-judgement interest.

51) What is true about automobile Liability insurance?
   a) **The insurer pays up to the limit of the policy plus legal fees.**
   b) The insurer ~~always~~ pays the total amount of the claim when insured is being sued for injuries he caused to another.
   c) Insurer ~~only~~ pays legal fees.
   d) The insurer only pays when the insured is ~~not~~ at fault.

52) Bill and Mary Smith have an OAP 1 insuring their vehicles. The policy is in the name of Bill and Mary Smith. If Mary sustains a threshold injury in an accident for which Bill is deemed to be at fault, does she have recourse to sue Bill for her injuries?
   a) ~~No~~. She is a named insured on the policy and as such cannot sue for compensation under her own policy.
   b) ~~No~~. She has no recourse under her OAP 1.
   c) ~~No~~. She can't sue her husband for her injuries.
   d) **Yes. Her lawsuit against her husband will be covered under their joint OAP 1.**

53) Bill carries $200,000 Liability on his OAP 1. He has an at fault accident in Nova Scotia where the minimum Liability limit is $500,000. How will his OAP 1 respond?
   a) His ~~Uninsured Automobile Coverage~~ will respond.
   b) **He is covered up to the minimum Liability limits of the province where he had an at fault accident even if their minimum Liability limit is higher than the limit of Liability that Bill carries.**
   c) His policy will ~~only ever pay up to the limit of Liability that he carries~~.
   d) He is ~~out of~~ the territorial limits of his OAP 1 so the policy will ~~not~~ respond.

54) Your insured advises you that a close friend from Nova Scotia who is licensed to drive there will be visiting them for a month. The insured expects the friend will likely be driving the insured's vehicle during the week. You advise your insured:
   a) ~~He has to send a letter to the insurance company advising he gives consent for the visitor to drive~~.
   b) His policy can be extended ~~by e~~ndorsement to protect his visitor while driving his vehicle. ~~There will be an additional premium for the endorsement~~.
   c) **The policy coverage under the OAP 1 protects the visiting driver as long as he is driving with consent and holds a valid driver's license from Nova Scotia.**
   d) The visitor ~~can't~~ drive your insured's vehicle ~~unless he passes a test for an Ontario driver's license~~.

55) Under Liability Coverage of the OAP 1, the insurer agrees to:
   a) Protects the insured when he ~~rolls his vehicle and is injured~~.
   b) Protects the insured ~~occupant of the automobile for loss of income~~.
   c) **Protect anyone who drives or operates the automobile with consent against legal liability for bodily injury or property damage.**
   d) Protects the insured for ~~damage to his vehicle done by another driver~~.

56) Liability Coverage:
   a) **Covers the insured's legal liability to others.**
   b) Is an ~~optional coverage~~.
   c) Is compulsory ~~only~~ for commercial vehicles in Ontario.
   d) In the amount of the jurisdictions minimum limits is ~~more than adequate~~.

57) When an insured is involved in an accident resulting in injury to a third party, they have certain obligations that require them to:
   a) With the help of their broker, try to ~~settle the claim without involving the insurer~~.
   b) **Send immediately to the insurer all legal documents regarding the claim.**
   c) ~~Assume liability for the injury~~.
   d) Notify the insurer within ~~30~~ days of the claim.

58) Property damage under Liability of the OAP 1, means damage to:
   a) ~~The insured's property only.~~
   b) ~~Any~~ property.
   c) **Property of others but not the insured's own property.**
   d) Any third party ~~automobile~~ only.

59) Joe carries $1,000,000 Liability. The court awards a judgement against him for $1,500,000 dollars for bodily injury. How will his policy respond?
   a) It will pay as a maximum, a ~~total of~~ $1,000,000 for court costs, defense costs, post judgment interest and the amount of the judgment itself.
   b) **It will pay up to $1,000,000 for the judgement, plus cover court costs, defense costs, and post judgment interest on the amount of the judgement that falls within Joe's limit of Liability.**
   c) It will pay the full amount of the judgement ~~but not court costs, defense costs or post judgment interest~~.
   d) It will pay the full amount of the judgement plus ~~all~~ court, defense, and interest costs.

60) We may on occasion be required by law to make payments, even though we are not otherwise liable for them under this policy. If so, you or other insured persons will have to reimburse us upon demand for those payments. This statement relates to:
   a) ~~Exclusions~~.
   b) **Absolute liability.**
   c) ~~Property not covered~~.
   d) ~~Loss or Damage Coverage~~.

61) Accident Benefits under the OAP 1:
   a) Are ~~only~~ paid out to innocent victims of automobile accidents.
   b) May ~~only be purchased by means of an OPCF endorsement~~.
   c) Are ~~always~~ paid without consideration of any criminal code convictions.
   d) **Are paid without consideration as to fault.**

62) In the priority of payments for Accident Benefits, what is the last remaining place to claim from if no other avenues exist?
   a) The ~~Uninsured Automobile Coverage of an OAP 1~~.
   b) **The Motor Vehicle Accidents Claims Fund.**
   c) The ~~Ontario Insurance Commission~~.
   d) The ~~Insurance Bureau of Canada~~.

63) All of the following types of injury resulting from an automobile accident would meet the definition of catastrophic impairment except:
   a) A person who loses his leg must be fitted with an artificial limb for walking.
   b) A person who permanently loses his sight and must be trained to work with a seeing eye dog.
   c) A person who is paralyzed from the waist down and is confined to a wheelchair.
   d) **A person who suffers a head injury, ~~but recovers without any impairment~~.**

64) Your client is involved in an accident for which she shares no fault. She will be off work for five months. Her gross weekly income is $1,000. She did not top up her Accident Benefits by purchasing a higher limit. She has an accident and sickness plan at work which provides her with 60% of her gross weekly income. How much will her OAP 1 Accident Benefits pay?
   a) Her insurer will pay $~~600~~ a week.
   b) **Her insurer will pay $100 a week.**
   c) ~~Nothing, as her income of $1,000 a week exceeds the basic amount available under her OAP 1~~.
   d) Her insurer will pay $~~200~~ a week.

65) The Income Replacement Benefit is not payable for the first:
   a) ~~weeks~~.
   b) ~~12 weeks~~.
   c) **7 days.**
   d) ~~26 weeks~~.

66) If a person is unable to work due to receiving bodily injuries in an at fault automobile accident, they would be entitled to receive which of the following under their OAP 1 Accident Benefits Coverage?
   a) ~~Any lost wages for up to 180 days~~.
   b) ~~90~~% of gross weekly income up to a maximum of $~~500~~ a week.
   c) ~~Any or all amounts of lost wages until age 65~~.
   d) **70% of gross weekly income up to $1,000 a week if optional benefits to that amount had been purchased.**

67) I'm injured in an automobile accident. I'm off work for three months. I do not have any form of short term disability at work. Do I have any recourse under my automobile policy?
   a) **Yes. Income Replacement Benefits will pay up to 70% of Gross Weekly Income to a maximum of $400 a week with basic limit.**
   b) ~~No. You will have to go to the Motor Vehicle Accident Claims Fund~~.
   c) Yes. ~~Sue the person who hit you for loss of income benefits~~.
   d) ~~No. You will have to go on Unemployment Insurance Benefits~~.

68) Your client was involved in a serious accident. She will be unable to work for several months. Her gross weekly income is $1,000 a week. She has no collateral benefit plan from work. How much will she receive under her Income Replacement Benefits?
   a) **$400 a week.**
   b) $~~700~~ a week.
   c) $~~800~~ a week.
   d) $~~1,000~~ a week.

69) Your client is divorced with no dependents. He is killed in a car accident while driving on an icy road. Which of the following is correct?
   a) The insured's ~~divorced spouse received the benefit~~.
   b) **The company pays nothing.**
   c) The Death Benefit of $25,000 is ~~payable to the estate of the insured~~.
   d) The ~~provincial government receives the Death Benefit~~.

70) Death Benefits are payable under Accident Benefits upon the death of the:
   a) Dependent for $~~5,000~~.
   b) Parent to each child for $~~2,000~~.
   c) **Spouse for $25,000.**
   d) Spouse and two dependents for $~~50,000~~.

71) Mr. White is involved in a two car collision in which the other driver is determined to be 75% at fault. Mr. White requires extensive medical treatment for his injuries. Where will he go for medical costs over and above the provincial government health insurance plan?
   a) The ~~at fault driver's insurance company will pay his medical costs~~.
   b) Mr. White ~~will have to pay extra medical costs out of pocket~~.
   c) **Mr. White's insurance company under his Accident Benefits, Medical and Rehabilitation Benefit.**
   d) The ~~Facility Association~~.

72) Which of the following is not an optional benefit under the Accident Benefits section of the policy?
   a) Increase in the maximum Income Replacement Benefit.
   b) **~~Increase in the threshold~~.**
   c) Increase in the Death Benefit.
   d) Indexation Benefit.

73) My friend does not have a car, nor is she covered by anyone else's policy. She is in my car when we are hit by another person who is 100% at fault. She has two broken hands and two broken legs and is not able to work. She is not covered by any income replacement plan at work. Does she have recourse to recover her lost wages?
   a) Yes. Under the Accident Benefits of the ~~person who hit us and who is 100% at fault~~.
   b) ~~No. There is no coverage~~.
   c) There is ~~no coverage, she can go to the Motor Vehicle Accident Claims Fund.~~
   d) **Yes, she would be covered under my Accident Benefits.**

74) Virginia has both arms broken in an accident by the deployment of the airbags in a fender bender accident. She lives alone and needs someone to do her housekeeping and care for her. She did not purchase any optional coverages. Would she be covered?
   a) ~~No. She did not purchase the additional benefits needed to have Housekeeping and Attendant Care~~.
   b) Yes. She is covered for ~~both Housekeeping and Attendant Care~~.
   c) ~~She can buy the optional benefits after the accident~~.
   d) **Yes. She is covered for the Attendant for someone to take care of her, but she is not eligible for the Housekeeping and Home Maintenance because she does not have a catastrophic injury.**

75) Under the OAP 1, Accident Benefits from the described automobile are payable to:
   a) All occupants of the described automobile who are not insured by an OAP 1.
   b) The named insured, his/her spouse, and dependents of either while occupants of any vehicle or as pedestrians when hit by any automobile.
   c) An uninsured pedestrian struck by the described automobile.
   d) **All of the above.**

76) Where are the details and amounts of coverage for Accident Benefits set out?
   a) ~~Only~~ on the FSRA web site.
   b) In the ~~OAP 1~~.
   c) In the ~~Highway Traffic Act~~.
   d) **In the Statutory Accident Benefits Schedule of the Insurance Act of Ontario.**

77) Under the Accident Benefits section of the OAP 1, students who are injured in an automobile accident and as a result are unable to attend school for an undetermined length of time, may be paid the following:
   a) **Some educational expenses that had been lost or incurred by the student/insured person.**
   b) ~~Money by the Ontario Ministry of Education~~.
   c) ~~Nothing~~.
   d) ~~Pain and suffering~~.

78) To a person convicted of operating the automobile while impaired by alcohol or drugs, the insurer is not required to pay:
   a) Attendant Care Benefit.
   b) **~~Income Replacement Benefit~~.**
   c) Death benefits.
   d) Funeral expenses.

79) How long does the insurer have to pay Death and Funeral Benefits?
   a) ~~10~~ business days.
   b) ~~60 days~~.
   c) ~~7 days~~.
   d) **30 business days.**

80) Vehicle #1 collided with vehicle #2. At the scene of the accident it was determined that vehicle #1 was completely at fault but did not have insurance. Vehicle #2 was insured under an OAP 1. The owner of vehicle #1 sustained severe bodily injury. His supplemental Medical, Rehabilitation and Attendant Care Benefits would be paid by:
   a) The ~~Provincial Government Fund~~.
   b) **The Insurance Policy of vehicle #2.**
   c) ~~No one as he did not have insurance~~.
   d) The ~~owner of vehicle #1's past expired vehicle~~.

81) Uninsured Automobile Coverage:
   a) Is ~~not~~ offered by all insurers in Ontario.
   b) **Will respond only if the insured has the right to sue a negligent party but they were uninsured or unidentified.**
   c) Is provided by the ~~government of Ontario~~.
   d) Covers the ~~uninsured driver~~.

82) Priority of Payment under Uninsured Automobile Coverage:
   a) Means that losses must be paid ~~promptly~~.
   b) A person gets to ~~choose if their vehicle will be repaired under Uninsured Automobile~~ ~~Coverage or Direct Compensation - Property Damage Coverage~~.
   c) Specifies the ~~minimum limits of Liability Coverage that must be purchased~~.
   d) **Specifies how much of the policy limit will apply to each of bodily injury and property damage where there isn't enough insurance to fulfil judgements for bodily injury and replace or repair the vehicle.**

83) Under the OAP 1, Uninsured Automobile Coverage applies when:
   a) The vehicle is hit by a ~~hit and run vehicle~~.
   b) ~~Uninsured~~ passengers in an uninsured vehicle are injured.
   c) An ~~uninsured~~ vehicle is damaged.
   d) **The insured is struck as a pedestrian by an unidentified automobile.**

84) Which of the following is not insured under Uninsured Automobile Coverage of the OAP 1?
   a) **Damage to a vehicle caused by a ~~hit and run driver~~.**
   b) Injuries to the named insured and family when hit by an uninsured vehicle.
   c) Pedestrian who has his own insurance when hit by an uninsured vehicle.
   d) Damage to an insured vehicle which has been hit by a stolen vehicle in a police chase.

85) Which of the following would not be deemed to be an uninsured automobile?
   a) A stolen vehicle.
   b) **A vehicle driven ~~with~~ consent of the owner.**
   c) A vehicle driven by an excluded driver.
   d) A vehicle that had its insurance cancelled for non-payment by registered mail with 30 days' notice.

86) Which of the following would not be covered under Uninsured Automobile Coverage?
   a) Damage to the vehicle the insured has a legal right to recover from an uninsured owner or driver.
   b) Loss of use of the vehicle the insured has a legal right to recover from an uninsured owner or driver.
   c) Damage to contents of the vehicle the insured has a legal right to recover from an uninsured owner or driver.
   d) **Damage to the vehicle when the insured is 100% ~~at fault~~ in the accident.**

87) What is the maximum amount Uninsured Automobile Coverage will pay for one incident?
   a) $~~1,000,000~~.
   b) The ~~limit of liability carried by the insured~~.
   c) **The minimum liability limit of the jurisdiction where the loss occurred.**
   d) $~~500,000~~.

88) Uninsured Automobile Coverage would pay for which of the following:
   a) **Pain and suffering following the amputation of the insured's arm as the result of an accident with an at fault hit and run driver.**
   b) ~~Funeral expenses~~ as a result of death caused by a hit and run driver in Ontario.
   c) ~~Collision damage to an uninsured vehicle suffered as a result of an upset~~.
   d) Damage caused to an insured vehicle cause by a ~~hit and run driver~~.

89) An unidentified automobile is one:
   a) For which ~~neither the owner nor the driver has Liability Coverage~~.
   b) Whose ~~driver cannot be determined~~.
   c) **Whose driver or owner cannot be determined.**
   d) Whose ~~VIN has been removed~~.

90) My neighbor's son is an excluded driver under her policy and is driving his buddy's vehicle (which he is unaware is uninsured). He turned the corner and slid into my vehicle causing $5,000 damage. Under what coverage is the damage to my vehicle covered?
   a) ~~DCPD~~.
   b) ~~Comprehensive~~.
   c) ~~All Perils~~.
   d) **Uninsured Automobile.**

91) Joe has a $500 DCPD deductible. How much of his DCPD deductible does he have to pay if hit by a fully at fault other vehicle.
   a) **The full amount of his DCPD deductible.**
   b) He is not at fault, so he ~~doesn't~~ have to pay a deductible.
   c) The at fault driver's ~~insurer will pay Joe's DCPD deductible since their insured was at fault~~.
   d) ~~Only 50%~~ of his DCPD deductible.

92) Joe is involved in an accident on the 401. The roads are icy, a third party rear-ends his vehicle. The third party is determined to be 100% at fault. While parked on the side of the road waiting for the tow truck, another vehicle loses control and hits Joe's vehicle. How many DCPD deductibles would he have to pay if he had a $500 DCPD deductible?
   a) ~~One~~ deductible.
   b) He would pay ~~50% of the deductible for each event~~.
   c) **Two deductibles.**
   d) He ~~doesn't~~ have to pay a deductible at all.

93) What conditions are necessary for DCPD to respond to a not at fault loss or to the portion of a loss the insured is not at fault for?
   a) The accident must happen in Ontario.
   b) At least two vehicles involved in the accident must carry valid liability insurance.
   c) Insurance must be with an insurer licensed in Ontario or filed with the Financial Services Regulatory Authority of Ontario, to write business in Ontario.
   d) **All of the above.**

94) Gail has her vehicle insured for the mandatory coverages and she is driving her friend Anna's fully insured vehicle. While driving Anna's vehicle, Gail is hit by a third party who is deemed to be 100% at fault. Whose policy would pay out under DCPD?
   a) **Anna's policy would pay to repair the car under her own DCPD.**
   b) ~~Gail's own policy even though she was driving Anna's vehicle~~.
   c) ~~The at fault third party's DCPD would pay to fix Anna's car~~.
   d) Anna's policy would pay ~~50% of the damage under DCPD and Gail's policy would pay~~ ~~50% of the damage under her policy's DCPD~~.

95) What criteria is required for DCPD to respond?
   a) If the accident happens in Detroit, DCPD will ~~always~~ pay to fix your car.
   b) The accident involved an at fault ~~stolen vehicle~~.
   c) **The accident must happen in Ontario between at least two vehicles which carry valid Ontario insurance.**
   d) In an out of province accident, DCPD ~~will~~ pay to fix your car and contents of your car.

96) Whose policy will respond when an at fault, insured person vehicle hits your vehicle?
   a) Your policy under ~~Liability Coverage since Ontario is no-fault~~.
   b) ~~His policy and his insurer~~.
   c) **Your policy.**
   d) The ~~government pays since Ontario now has no-fault insurance~~.

97) Mary borrowed some very expensive antique wine glasses for her holiday dinner party from her friend Gail. While driving over to Gail's house to return them, she was rear-ended by a vehicle that was deemed to be 100% at fault. The $1,500 antique wine glasses were totally destroyed. How will Gail be reimbursed for her wine glasses?
   a) **Gail owned the antique wine glasses, so she would go under DCPD of her own OAP 1 to be reimbursed for the wine glasses.**
   b) The ~~Liability of the person who was at fault in the accident would pay to Gail for the loss of her antique wine glasses~~.
   c) ~~Mary's DCPD~~ will pay for the antique wine glasses.
   d) ~~Mary's Liability~~ will pay for the destroyed wine glasses.

98) How is the DCPD deductible applied when there is damage to the vehicle and to contents of the vehicle?
   a) It is taken off the ~~total of all damages for car, contents, and car rental~~.
   b) The deductible ~~only~~ applies to vehicular damage.
   c) **First the deductible is applied to vehicular damage. If the damage to the vehicle is less than the amount of the deductible, any leftover deductible amount would be applied to the contents amount. DCPD would pay the balance of damages once the deductible is applied.**
   d) The full amount of the deductible is applied to vehicular damage. ~~Then the full amount of the deductible is applied to content damage~~.

99) How is fault determined with respect to vehicular damage to a vehicle?
   a) By the ~~police~~.
   b) **By the Fault Determination Rules.**
   c) By the ~~insured~~.
   d) By the ~~insurer~~.

100) If Bill is 100% at fault in an accident, how much of his damages will he be able to receive under his Direct Compensation - Property Damage?
   a) **Nothing under DCPD.**
   b) ~~25% of his damages~~.
   c) ~~50% of his damages~~.
   d) ~~100% of his damages~~.

101) Your client, whom you insure with Liability and the other mandatory coverages only, called to advise you his back seat was set on fire by a passenger as a result of a cigarette. Damage is estimated to be $3,300. How much will the insurance company pay?
   a) ~~The full amount of the loss~~.
   b) ~~The full amount of the loss less his deductible~~.
   c) ~~Only $1,000 as it resulted from careless use of a cigarette~~.
   d) **Nothing at all.**

102) Your insured's automobile was vandalized while it was parked in the dimly lit arena parking lot. The insured has Collision with a $500 deductible and Specified Perils with a $300 deductible. Which of the following is correct?
a) The insured ~~would pay the loss without a deductible under Specified Perils Coverage~~.
b) The insurer ~~would pay the loss, less the deductible amount under Specified Perils Coverage~~.
c) The insurer ~~would pay the loss, less the deductible amount under Collision Coverage~~.
d) **There is no coverage for this loss.**

103) Which of the following (if any) would allow an insurance company the right to deny or limit coverage in the event of a claim involving damage to an automobile?
a) Driving under the influence.
b) Driving while excluded from a policy.
c) Driving while license is under suspension.
d) **All of the above.**

104) Under Loss or Damage Coverages of the OAP 1, disagreements on the extent of repairs shall be determined by:
a) **Appraisal under the Insurance Act.**
b) ~~The dealership value~~.
c) ~~Insurer's figures only~~.
d) ~~Insured's figures only~~.

105) Under Specified Perils Coverage, which of the following is covered?
a) Windshield damage as a result of ~~vandalism~~.
b) Windshield damage as a result of ~~an accident which caused the damage~~.
c) **Windshield damage as a result of lightning.**
d) Windshield damage as a result of ~~a stone chip~~.

106) The insured's automobile has been stolen. This is covered under both:
a) ~~Liability~~ and Specified Perils.
b) **All Perils and Comprehensive.**
c) ~~Collision~~ and Comprehensive.
d) ~~Liability~~ and ~~Collision~~.

107) When the insured vehicle is damaged in an accident, the insured must do certain things. One of these is:
a) ~~Decide if he wants to repair or replace the vehicle~~.
b) ~~Get repairs under way as quickly as possible~~.
c) Notify the insurer within ~~60~~ days of the loss.
d) **Protect the vehicle from further damage.**

108) Bill just purchased a new ultra-high definition big screen television. On the way home, he hit a patch of black ice and rolled his vehicle. The new television was destroyed. Does Bill have any recourse under his OAP 1 to replace the television?
a) ~~Yes~~. The Liability section of his OAP 1 ~~will~~ pay to replace the television without deductible.
b) ~~Yes~~. The DCPD section of his OAP 1 ~~will~~ pay to replace the television without deductible.
c) **No. Property of the insured is not covered under Liability Coverage.**
d) ~~Yes~~. The All Perils section of his OAP 1 ~~will~~ pay to replace the television without deductible.

109) In the event of theft, how quickly must the insured notify his insurance company?
a) ~~Promptly~~.
b) Within ~~72 hours after reporting it to the police~~.
c) Within ~~48 hours~~.
d) **Within 7 days or if incapacitated, as soon as possible.**

110) Under the requirements after a loss (own damages), the insured must deliver a proof of loss to the insurer within:
a) ~~15~~ days after the ~~date of loss~~.
b) ~~12 months~~ after receipt of the proof of loss.
c) ~~60~~ days after receipt of proof of loss.
d) **90 days after receipt of proof of loss.**

111) Which of the following is not covered under All Perils?
a) Rioters lashed the insured's tires.
b) **Insured's tire is ruined as a result of a ~~blow-out~~.**
c) Insured hit a deer.
d) An unknown person scratches and defaces the insured's vehicle.

112) After the theft of the insured's automobile has been reported, the insurer will reimburse the necessary transportation expense in the following manner:
a) Pays up to $~~300~~ for car rental after a ~~two week waiting period~~.
b) Pays a maximum of $~~720 commencing as soon as the claim is reported~~.
c) **Pays up to $900 for car rental after a 72 hour waiting period.**
d) Pays up to $~~450~~ for car rental after a ~~48~~ hour waiting period.

113) Under what circumstances is there no deductible applied to Loss or Damage Coverages.
a) ~~Impact with an animal~~.
b) ~~Theft of the entire vehicle~~.
c) **Fire or lightning damage to the vehicle.**
d) ~~Collision or Upset causing a total loss~~.

114) Which one of the coverages includes insurance against vehicle damage from upset or rollover?
a) ~~Specified Perils~~.
b) ~~DCPD~~.
c) ~~Comprehensive~~.
d) **Collision.**

115) Which of the following is true concerning Loss or Damage Coverages?
a) ~~Only~~ Collision and All Perils are subject to a deductible.
b) **All Perils combines and broadens the coverage provided by the other three sections.**
c) Collision or Upset is ~~all the coverage an insured really needs to have the owned~~ ~~automobile adequately protected~~.
d) Specified Perils ~~often provides as broad a coverage~~ as All Perils.

116) Which of the following perils covered under Comprehensive is not covered under Specified Perils?
a) **Flying rocks.**
b) ~~Earthquake~~.
c) ~~Fire~~.
d) ~~Explosion~~.

117) Which of the following is not covered under Specified Perils?
a) ~~**Vehicle collision with a tree**~~**.**
b) Damage to the car roof when the car was overturned during a riot.
c) Vehicle damaged in a flood.
d) Ferryboat sank with vehicle on it.

118) The Insured has an OAP 1 with a $300 deductible on Comprehensive. A cigarette sets the car seat on fire, causing $1,100 damage. The insurer would pay:
a) $~~300~~.
b) $~~800~~.
c) **$1,100.**
d) ~~Nothing~~.

119) A vehicle sustains substantial damage when it bottoms out in a pothole. What section of the OAP 1 would cover such a loss?
a) ~~DCPD~~.
b) ~~Comprehensive~~.
c) ~~Specified Perils~~.
d) **Collision or Upset.**

120) If an insured drives a vehicle into a side wall of his own house causing damage to the car and house, the automobile policy OAP 1 would pay for:
   a) The ~~damage to the house~~, subject to the direct damage deductible.
   b) The ~~damage to the house~~, not subject to a deductible.
   c) **The damage to the vehicle, subject to a deductible and provided Collision is in effect.**
   d) ~~Neither the damage to the house nor to the car~~.

121) You carry the mandatory coverages and Collision with a $1,000 deductible. You have a $0 DCPD deductible. You are deemed 50% at fault for a loss that sees you with $6,000 damage to your car, $800 damage to the contents of your vehicle and a loss of use/car rental bill of $1,100. How will your loss be settled?
   a) ~~$3400~~ DCPD, ~~$3000~~ Collision.
   b) $3950 DCPD, ~~$2000~~ Collision.
   c) ~~$3000~~ DCPD, ~~$3950~~ Collision.
   d) **$3950 DCPD, $2500 Collision.**

122) Mark is determined to be 50% at fault in an accident. Damage to his car is $6,000. Damage to contents of his vehicle is $800 and his car rental bill is $900. He carries Collision $500 deductible and an OPCF 20: Coverage for Transportation Replacement covering car rental in the amount of $1,000. How much will he get in the settlement of his claim?
   a) He'll get $3,850 under his DCPD for his car damage; he'll get $3,000 - $~~500~~ deductible under his Collision towards repair of his car; he'll get the remaining car rental costs of $450 under his OPCF 20: Coverage for Transportation Replacement and he will not be able to obtain reimbursement for the 50% of contents in the vehicle that he is deemed to be at fault for.
   b) **He'll get $3,850 under his DCPD for his car damages; he'll get $3,000 - $250 (50% of his Collision deductible) under his Collision coverage he'll get the remaining 50% of car rental costs of $450 under his OPCF 20: Coverage for Transportation Replacement and he will not be able to obtain reimbursement for the 50% of contents of the vehicle that he is deemed to be at fault for.**
   c) He'll get $~~7,700~~ under his DCPD.
   d) Because he is partially at fault, he will ~~not get any compensation under DCPD. His~~ ~~Collision will pay the full amount of his vehicular damage and his car rental costs. He~~ ~~can't get reimbursement for the contents of his vehicle~~.

123) OPCF 5: Permission to Rent or Lease Automobiles:
   a) Permits the lessor to rent or lease automobiles to a lessee who is required to insure it on an OAP 1.
   b) Provides coverage under an OAP 1 to the lessee as if the lessee were the name insured.
   c) Is necessary on all automobile insurance policies that insure leased vehicles.
   d) **All of the above.**

124) OPCF 44R: Family Protection Coverage provides coverage for which of the following:
a) To the insured's ~~extended family for losses or damaged due to a not at fault accident as a result of pain and suffering~~.
b) Pays ~~medical, death and funeral benefits to the insured's family~~.
c) **To the insured and dependent relatives for bodily injury or death as a result of negligence on the part of an inadequately insured third party.**
d) To a ~~third party with serious injuries because the insured is inadequately insured~~.

125) OAP 2: Ontario Driver's Policy is intended to provide coverage for:
a) ~~The owner of a business who provides cars for the use of his salesmen~~.
b) **A driver who will personally drive any car he doesn't own or which is not registered in his own name.**
c) A ~~passenger in a car driven by another licensed driver~~.
d) ~~Accident Benefits when driving another person's car~~.

126) The insurer agrees to indemnify the insured against the liability imposed by law upon the insured for loss or damage arising from the use or operation of any automobile not owned in whole or in part by or licensed in the name of the insured, and resulting from bodily injury to or the death of any person or damage to property of others, not in the care, custody, or control of the insured: This defines what Ontario Policy form?
a) ~~OAP 4: Ontario Garage Automobile Policy~~.
b) **SPF 6: Standard Non-Owned Automobile Policy.**
c) ~~OAP 1: Ontario Automobile Policy Owner's Policy~~.
d) ~~OAP 2: Ontario Driver's Policy~~.

127) Non-economic loss (pain and suffering) for a given accident involving one injured person has been assessed at $90,000. Will they get the full amount of their judgement?
a) ~~Yes, they will get the full amount of their judgement~~.
b) **No, the indexation value of the Tort Deductible will be taken off the amount of the judgement.**
c) They will get ~~50% of their judgement amount~~.
d) ~~Only if they purchased OPCF 48: Added Coverage to Offset Tort Deductibles~~.

128) The OPCF 43: Removing Depreciation Deduction:
a) **Removes the right of the insurer to deduct depreciation from the value of a vehicle when settling a claim for its loss or damage.**
b) Gives replacement cost on a new vehicle ~~forever~~.
c) ~~Only~~ applies for a Collision loss where the insured it at fault.
d) ~~Only~~ applies under DCPD when the insured is not at fault.

129) An insured operates an automobile dealership. What policy will he need to cover the vehicles he has for sale against fire loss?

a) **OAP 4: Ontario Garage Automobile Policy.**
b) ~~SPF 6: Standard Non-Owned Automobile Policy~~.
c) ~~OAP 1: Ontario Automobile Policy Owner's Policy~~.
d) ~~OAP 2: Ontario Driver's Policy~~.

130) OPCF 23A: Lienholder Protection:

a) **Provides protection for the lienholder's interest in the insured's automobile.**
b) ~~Extends coverage to the lienholder in the event that the insured sells the vehicle~~.
c) Will require the insured to ~~notify the lienholder of all changes within 15 days~~.
d) Provides protection for the ~~lessor's~~ interest in the insured's automobile.

Automobile Insurance Case Study Questions

1) I have a 2023 Tesla Model 3 with full coverage and a 2009 Saturn Vue with Liability and Comprehensive. They are both insured with Aviva. While on vacation, I see a great deal on a 2009 Dodge Ram. I purchase it and drive it home. On the way there is a bad blizzard and I total the Dodge. Is it covered?

2) I have Liability and Comprehensive on my vehicle. I come out of the grocery store to discover damage to my car left by a vehicle that took off. Will my policy pay to fix my car?

3) My spouse and I own two vehicles which are insured for full coverage on the same policy. I was talking on my cell phone while driving and accidentally rear-ended the car ahead of me. It turned out to be my husband in his car. Is there any coverage? If so, what section will pay for his car damage? What will pay for the damage to my car?

4) I am driving down a dark and bumpy road at night. I lose control and knock out three guardrails. Two months later, I get a bill for $2,800. Is it covered under my automobile policy?

5) I am on holiday in Nova Scotia. In this province, the minimum limit of liability is $500,000. I carry $300,000 Liability and Comprehensive on my policy. I am involved in an accident and badly injure someone. They obtain a judgment of $600,000 against me. How much will my policy pay?

6) While driving on the highway, I run over some metal debris and my tire has a blowout. Will my policy pay to repair my tire? I have All Perils and Liability.

7) My car is hit by lightning while parked at the golf course. The damage is $4,000. How much will my insurance company pay me? I have All Perils with a $1,000 deductible and Liability.

8) My 15-year-old daughter takes my car without my permission. She loses control of the vehicle and crashes it into a library. Will my policy pay to repair the building? Will my policy pay to repair my vehicle? I carry Liability, Collision with a $500 Deductible, and Comprehensive with a $300 deductible.

9) My vehicle is stolen from the mall parking lot. I report it to the police as soon as I discover it is gone. I need a rental vehicle to get to work the next morning. Am I covered? I carry Liability and Specified Perils on my vehicle.

10) I am 75% at fault in an accident. I sustain $10,000 damage to my vehicle. How will the loss be settled under my policy? I carry Liability and a $1,000 deductible for All Perils.

11) I am in Vancouver for a holiday. I decide to take my car on a ferry to Seattle, Washington. On the return trip, the ferry sinks. All vehicles are lost and, luckily, I survive with the use of a life boat. I have Liability and Comprehensive. Will my vehicle be covered?

12) While on vacation in Las Vegas, I rent a car and drive it around in the desert. Am I covered to drive there? What about if I drive over the border into Mexico?

13) How long do I have to report an accident to my insurance company if there is vandalism damage to my vehicle?

14) I borrow a colleague's vehicle to drive to Toronto. On the way, I am involved in an accident. When the police come to the scene, I discover that my colleague does not carry insurance on the car. I do have my own vehicle insured for Liability in my name. Will my own policy provide me with any coverage if the person I hit sues me for their injuries?

15) I ran over a pedestrian, who sued me for $1,500,000. I carry only $1,000,000 worth of Liability. My legal bills come to $60,000. What if any will my insurance policy pay?

16) My friend does not own a car, nor is she covered on anyone else's policy. She is in my car when we are hit by another person who is 100% at fault. She has two broken hands, two broken legs, and is not able to work. She is not covered by any income replacement plan at work. Does she have recourse to recover her lost wages?

17) My vehicle is in the shop for repairs. The mechanic takes it on a test drive but gets into an accident and hits a tree. Does my policy have to be responsible for the damage?

18) My neighbor is driving his friend's vehicle. He doesn't know it, but his friend's car has no insurance. He turns the corner and slides into my vehicle, causing $5,000 damage. Is the damage to my vehicle covered? If so, what section?

19) I have Specified Perils and Liability on my car. It is vandalized in an underground parking lot. Will my policy pay for the loss?

20) I am injured in an accident. I send in my application to receive the Income Replacement Benefit. How long do I have to wait before I get my first cheque?

21) I am coming back from a hunting trip and hit a moose on the highway. Is the damage covered under my policy? I carry Liability and All Perils. Do I have to pay a deductible if it is covered?

22) I only carry Liability on my vehicle. I've left it in a parking lot while I shop. Another vehicle hits it and drives away, never to be found. Do I have recourse under my policy to have the damage repaired?

23) While driving my car, I am hit by a stolen vehicle and sustain $1,800 damage. What, if anything, can I do to have it repaired and from whom?

24) I can't avoid driving through a pothole and sustain $1,200 damage to my car. I have Liability and All Perils with a $500 deductible. Is it covered? Would I have to pay a deductible?

25) My friend had an accident while driving my vehicle and there was a $5,000 Collision payout made. Will my insurance company come to collect the damage she caused back from her?

26) Once I drop off the proof of loss form to the insurance company, what is the longest time I will be required to wait to receive a cheque for payment for damage to my vehicle?

27) My car is parked in my driveway. At night, a storm comes through and blows a tree onto my car. There is $3,000 damage. I have Specified Perils on my policy. Am I covered? If so, is there a deductible for windstorm?

28) I am in the Caribbean on vacation. I am run over by a tour bus and sustain severe injuries. Is there any recourse for me under my own automobile policy?

29) My son is an excluded driver on my policy. While I am on vacation, he takes the vehicle and accidentally backs it up into my neighbor's garage. Is the damage to the garage covered by policy? Is the damage to the vehicle covered by my policy?

30) I ran over someone in the parking lot when I was backing out. They were badly injured and eventually required the amputation of their foot. Can they sue me? Would I be covered by my policy if they sue me?

31) My brother had an accident while being chased by the police for smuggling drugs across the border. His car is deemed a total loss. Will his insurance company fix it? He has a $1,000 deductible for All Perils.

32) While on vacation in Florida, there was a hurricane, and my vehicle was washed away. I have All Perils with a $500 deductible on my policy. Would my car be covered? Would I have to pay my deductible?

33) My car is being used by my husband. I need to run to the store, so I borrow a neighbor's vehicle. I am in an accident and total my neighbor's vehicle. He doesn't have Collision coverage on it but wants me to pay for the damage I've caused. Will my policy cover me?

34) I borrow my brother's live-in trailer to take it camping at the lake. On the way, the trailer breaks loose and collides with the vehicle behind me. Will the damage to the other person's vehicle be covered? If so, under what section?

35) I am involved in an accident while on a shopping adventure in the United States. The third party is deemed to be 100% at fault. Will my DCPD cover the damage to my vehicle?

Answers to Automobile Insurance Case Study Questions

1) No. Page 12, 2.2.1.

2) No, you would need Collision. Page 30, 5.2.3.

3) Yes, DCPD his car, Collision her car. Page 21, 3.3.4.

4) Yes. Page 19, 3.3.

5) $500,000. Page 20, 3.3.3.

6) No. Page 44, 7.2.1.

7) $4,000. Page 48, 7.3.

8) No coverage for either. Page 4, 1.4.5.

9) Yes, but only 72 hours after reporting it. Page 50, 7.4.4.

10) $2,500 DCPD, $6,750 Collision ($7,500 minus $750 deductible). Page 46, 7.3.

11) Yes, under Comprehensive. Page 44, 7.1.2.

12) United States, Yes. Mexico, No. Page 1, 1.2.

13) Within seven days. Page 51, 7.5.

14) Yes. Page 13, 2.2.3.

15) Up to the limit of liability plus legal costs. Page 20, 3.3.2.

16) Yes, through the vehicle she is riding in. Page 25, 4.1.

17) No. Page 10, 1.8.4.

18) Yes, Uninsured Automobile. Page 30, 5.2.3.

19) No. Page 43, 7.1.2.

20) 10 business days. Page 27, 4.3.1.

21) Yes, covered under Comprehensive. Yes, you must pay your deductible. Page 44, 7.1.2. 22) No, you would need Collision. Page 44, 7.1.2.

23) Yes, under your own Uninsured Automobile. Page 30, 5.2.3.

24) Yes, covered under Collison. Yes, you must pay your deductible. Page 44, 7.1.2.

25) No, unless they did something illegal. Page 48, 7.4.2.

26) 60 days. Page 6, 1.6.1.

27) Yes, covered under Specified Perils, Yes, you must pay your deductible. Page 43, 7.1.2.

28) No. Page 1, 1.2.

29) No coverage for either. Page 9, 1.8.2.

30) Yes. Page 19, 3.3.

31) No. Page 4, 1.4.6.

32) Yes, covered under Comprehensive. Yes, you must pay your deductible. Page 44, 7.1.2.

33) No. Page 13, 2.2.3.

34) Yes, under their DCPD. Page 37, 6.2.

35) No. Page 37, 6.1.

Answers to 50 Things You Need to Know About Habitational Insurance

Section I - Property Coverages Questions

1) If you go away on vacation and there is a loss caused by freezing pipes in your basement, are you covered? ***(only if a competent person enters the dwelling each day or water supply has been shut off and all pipes drained)***

2) If a civil authority prohibits access to your premises due to damages to neighboring premises, are you covered? ***(yes, for 14 days)***

3) What is the maximum amount the Comprehensive Homeowner Policy will pay for the fire damage to a tree? ***($500 per tree)***

4) Until what age is a student living away from home considered an insured under their parent's policy? ***(no limit)***

5) Are you required to pay a deductible on items where a special limit applies? ***(yes, off of the total loss)***

6) How much is unscheduled watercraft covered for in the event it burns in a boathouse fire? ***($1,000)***

7) If your friend moves in to share the cost of your apartment, is his/her contents covered under your policy? ***(no)***

8) How much are bicycles covered for if they are burned in a fire? ***(their full value)***

9) If there is more than one policy covering a house, how would a loss be settled? ***(each contributes its rateable proportion)***

10) In the event of a loss to collector items, will you be able to get replacement cost on them? ***(no, see Comprehensive Homeowner Booklet, page 14)***

11) If the Condominium Corporation's insurance policy is invalid or inadequate, how much will the Condominium Unit Owner Policy pay for damage to common areas that you get assessed for? ***($10,000)***

12) Is there coverage for contents while moving? If so, how long and at what locations? ***(yes, 30 days while in transit to and at another location within Canada to be occupied by you as your principal residence)***

13) What three perils drop off as soon as a building is vacant? ***(water damage, vandalism, and glass breakage)***

14) When does all coverage drop off on a vacant dwelling? ***(after 30 days)***

15) What coverage of the Homeowner Policy covers in-ground swimming pools? ***(Coverage A)***

16) To repair an old air conditioner, walls have to be torn out. Would this be covered by the Homeowner Policy? ***(no, has to result from an insured peril)***

17) If an insured chooses not to rebuild on the same location, what would be the Basis of Claim Payment? ***(actual cash value)***

18) When do the special limits for items 1-8 apply? ***(always)***

19) There are certain Special Limits of Insurance that do not apply in the event of a loss caused by a Specified Peril. What items fall under this category? ***(items 9-14)***

20) If you go to a fair and display your knitted mittens that you hope to sell there, are you covered? ***(no, see exclusion 2)***

21) In what instances must the authorities be notified before a property claim can be submitted to an insurer? ***(malicious acts, burglary, robbery, and theft or attempted theft)***

22) Where are building materials slated for renovations covered? ***(on or adjacent to the premises)***

23) How much are Tenant's improvements and betterments insured for? ***(no limit)***

24) What is the maximum amount payable under the Credit or Debits Cards Extension? ***($2,000 aggregate)***

25) If you get charged by the Fire Department for services provided to save or protect your insured property, is there any reimbursement for your policy? ***(yes, up to $1,000)***

26) What perils are outdoor trees, shrubs, and plants covered for? ***(fire, lightning, explosion, impact by aircraft or land vehicle, riot, vandalism, and malicious acts)***

27) What is the limit and deductible for the Freezer Foods Extension? ***($2,000 without deductible)***

28) Is theft at another location which you own, rent, or occupy covered by the Comprehensive Homeowner Policy? ***(yes, if temporarily living there)***

29) What kind of water damage is covered? ***(sudden and accidental)***

30) You have Guaranteed Replacement Cost on your building and you renovate your home over a period of three months. The total value of the renovations is $10,000. Ten days after you have completed the renovations there is fire and the entire house burns down. Is there coverage for the renovations? ***(no)***

Section II - Liability Coverages Questions

31) Are the actions of a named insured who does not live on the premises described in the declarations covered? ***(no, see page 17 #6)***

32) If Dwelling Building is Coverage A and Personal Property is Coverage C, what is Personal Liability? ***(Coverage E)***

33) Does the Homeowner Policy cover Personal Liability arising from the use of an owned aircraft? ***(no, see exclusion 10)***

34) Would a residence employee be covered if he was injured on your premises due to no negligence on your part? ***(yes)***

35) What must you do when something takes place, and you believe that there may be a liability claim? ***(see page 17)***

36) Will Coverage G cover an insured for intentionally caused damage? ***(only those 12 years of age or under)***

37) Is there a difference in the definition of an insured person under the Property Coverages and under the Liability Coverage? ***(yes, definition is expanded, see page 15)***

38) Where are your personal actions insured by your Comprehensive Package Policy? ***(anywhere in the world)***

39) If you are sued for transmitting a disease to another person, are you covered? ***(no, see exclusion 8)***

40) What length of owned, non-motorized watercraft are automatically covered for Personal Liability? ***(26 feet)***

Secondary/Seasonal & Section III - Optional Additional Coverages Questions

41) Is a boat scheduled on a Watercraft Coverage covered when used once a year in a race? ***(not while racing)***

42) What are the seven perils covered by a Vacancy Permit? ***(fire or lightning, explosion, smoke, falling object, impact by aircraft or land vehicle, riot, and windstorm or hail)***

43) Are you covered for vandalism at your Seasonal Dwelling? ***(only if specified in the declarations)***

44) What is the deductible for items on Personal Articles Coverage? ***(no deductible)***

45) What does the additional condition Sue and Labor require the insured to do following a claim? ***(take all reasonable steps in and about the recovery of lost property)***

46) Is it possible to insure a musical instrument played professionally on Personal Articles Coverage? ***(yes, with written permission)***

47) If your laptop is on Personal Computer Coverage and it is stolen from the back seat of your convertible while the roof was down, would it be covered? ***(no, locked vehicle warranty)***

48) You have a Secondary Residence which is insured for $50,000 and a detached shed which is valued at $10,000. In the event of a total loss of both buildings what is covered on the policy? ***($50,000 maximum)***

49) If you lose one of your diamond earrings that were purchased for $3,000 and they can't be replaced as the setting was unique, will your insurer buy you a new pair of earrings? What about if they were scheduled on Personal Articles Coverage? ***(no, pair and set)***

50) If you have jewelry insured on Personal Articles Coverage and you purchase a new ring for $7,500 while on vacation, is it covered if you lose it five days after purchasing it? If so, for how much? ***(yes, only up to $5,000)***

Habitational Insurance Sample Exam Questions

Section I - Property Coverages Questions

1) Which of the following is true?
   a) Homeowner insurance is mandatory in Ontario.
   b) Most Homeowner policies do not include Liability.
   c) An amount for Additional Living Expenses is included in each Homeowner Policy.
   d) The Homeowner Policy will cover your best friend for Liability while she is living with you.

2) Which of the following statements found in the Homeowner Policy is correct?
   a) Personal Property, when temporarily removed and stored in a warehouse is covered only for theft from the first day it is stored there.
   b) Loss of the insured's valuable parrot by theft is covered.
   c) The deductible clause doesn't apply in connection with fire losses.
   d) The insured may have the option of a replacement cost basis of settlement on his building as long as it is on the same location and is done within a reasonable time, but the insured may be penalized in the amount of settlement if the insured's building is insured for less than 80% of its value.

3) Losses or increased costs of repair due to the operation of any zoning, demolition, repair, or construction law:
   a) Are insured.
   b) Are not insured but a special policy known as a municipal risk policy can be purchased.
   c) Are not insured but various by-law endorsements may be purchased.
   d) Are insured and included in this policy.

4) The by-law exclusion (choose the incorrect statement):
   a) Is not covered by the insurance company unless purchased as an endorsement.
   b) Is an exclusion that an insurance company places on a risk to avoid paying increased building costs resulting from municipal or provincial by-laws.
   c) Allows the insurance company to waive the right to use replacement cost under the basis of claims section.
   d) None of the above are incorrect.

5) Which of the following are not included in the definition of Dwelling Building?
   a) An attached garage.
   b) A permanently installed swing set.
   c) An outdoor swimming pool.
   d) Building material at a lot 1.5km away.

6) Which of the following does not have a special limit of insurance for Personal Property?
   a) Jewelry and furs.
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   c) Fine arts.
   d) Money or bullion.

7) Additional Living Expenses (choose the incorrect statement):
   a) Covers extra expenses as a result of your home becoming uninhabitable as a result of an insured peril.
   b) Cover extra expenses until your home is habitable.
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10) Your client has recently purchased a condominium townhouse with a fully finished basement that was completed by the previous owner. Which coverage below would ensure the client is protected?
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   a) Coverage exists for the remainder of the policy term.
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12) Under the Comprehensive Homeowner Policy, special limits of insurance apply to which property only if it is stolen:
   a) Stamp collections.
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   a) Nothing.
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14) Which of the following best describes a Tenant Package Policy?
   a) It covers the building and for Liability.
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15) Personal Property insurance may be written on a replacement cost basis which is:
   a) The same as actual cash value.
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   a) The Condominium Unit Owner Policy does not insure contents.
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   a) Garden shed and outdoor trees.
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   c) Awnings, plants, lawns, and golf clubs.
   d) Building fixtures, swimming pool, and storm doors.

21) The Additional Living Expense coverage:
   a) Will pay all normal living expenses.
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   a) The contents to be insured for a specified amount.
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   a) Does not cover building improvements to the insured unit.
   b) Automatically includes necessary Loss Assessment coverage.
   c) Insures items such as mirrored walls and closet doors against breakage only.
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24) The Homeowner Policy:
   a) Provides coverage on outbuildings without reducing the building amount by 10%.
   b) Provides coverage on outbuildings but reduces building amount by 10%.
   c) Provides no coverage on outbuildings.
   d) Provides coverage on outbuildings at an increased premium.

25) The Comprehensive Homeowner Policy excludes loss or damage when the insured knows that the building has been vacant or unoccupied for:
   a) More than 60 consecutive days.
   b) More than 30 consecutive days.
   c) More than 7 consecutive days.
   d) More than 14 consecutive days.

Section II - Liability Coverages Questions

26) Your insured is driving his 50 HP inboard/outboard watercraft and accidentally backs into an inflatable lifeboat. The propeller from the insured's boat cuts through the lifeboat and knocks the stem off a diver's air tank. The air tank acting like a missile takes off through the water and smashes through the hull of a nearby 40 foot cabin cruiser. The cruiser sinks quickly, and all 5 family members on board drown. Your insured's policy:
   a) Covers all damages regardless of the limits.
   b) Excludes watercraft under 26 feet.
   c) Includes damage to the lifeboat but excludes damage to the cabin cruiser and the insured's boat.
   d) Covers the Personal Liability up to the limits of the insured's policy.

27) Which of the following with regard to Section II - Liability Coverage is correct?
   a) The Voluntary Medical Payments coverage will include coverage for an insured that falls and injures him/her self on the premises.
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   a) Injuries caused to others when an insured is negligent and held legally liable.
   b) Careless use of other people's property which the insured borrows.
   c) Claims for injury done to others whether or not the insured is negligent.
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29) A member of the insured's family, properly insured by a Tenant Policy, was found to be negligent and liable due to a carelessly handled cigarette which caused injuries and property damage to third party individuals in the apartment building. It also caused fire damage to the portion of the building occupied by the insured. Which coverage of Section II - Liability Coverage would pay these claims?
   a) None of these sections.
   b) The apartment building owner policy would pay since that policy insured the building.
   c) Voluntary compensation.
   d) Coverage E: Personal Liability

30) Your client calls to advise you that he has purchased a golf cart to use at the exclusive rendezvous condominium complex. He is happy because he lives at an exclusive residence complex and will enjoy using the golf cart to retrieve his mail and enjoy the sights of complex. You advise your client:
   a) Coverage is only available while it is used on private land.
   b) Coverage is only available while it was used on a golf course.
   c) Coverage is only available while it was used on a camp ground.
   d) Coverage would never be extended to golf carts as they are motorized vehicles

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31) Which of the following statements is true?
   a) Under the Comprehensive Homeowner Policy, Personal Liability is extended to any boat you own.
   b) Personal Liability extends coverage to you anywhere in North America.
   c) Premises includes a location where you are residing temporarily or which you are using temporarily but subject to conditions.
   d) Business means any continuous or part-time pursuit undertaken for financial gain including a trade, profession, or occupation.

32) Under Section II - Liability Coverage:
   a) The policy will not protect the insured if found negligent for an act of careless smoking.
   b) The policy protects an insured if he/she assumes, in a written agreement, liability of other persons in relation to the insured's premises.
   c) There is protection for negligent use of owned outboard watercraft, but it is limited to 50 horsepower.
   d) There is protection for owned motorized golf carts as long as they are being operated on private property.

33) Which of the following is not covered under Section II - Liability Coverage of the Homeowner Policy?
   a) The insured lights a bonfire in his garden that gets out of control and spreads to his neighbor's fence.
   b) The insured picks up a hot pot from the stove and gets badly burned by it, causing her to miss several days of work.
   c) The insured invites a friend for coffee and the friend trips on a loose rug and breaks his ankle.
   d) The insured is out fishing when he accidentally catches his hook in someone's eye.

34) A fourteen-year-old child deliberately breaks a friend's bike. Which section of their parent's Homeowner Policy would cover this?
   a) Personal Liability.
   b) Voluntary Payment for Property Damage.
   c) Additional Living Expense.
   d) None of the above.

35) A tenant negligently causes a fire which damaged the apartment building. Under which policy is the building damage covered?
   a) The Tenant's Building Policy.
   b) The Tenant's Legal Liability Policy.
   c) The Building Owner's Liability Policy.
   d) Each Tenant would be assessed part of the cost of repairs.

Secondary/Seasonal & Section III - Optional Additional Coverages Questions

36) Personal Articles Coverage:
   a) Is always subject to a deductible.
   b) Automatically overseas any newly acquired article provided it is reported to the insurer within 60 days.
   c) Provides protection on scheduled personal articles on an all risk basis and eliminates the deductible.
   d) Excludes the peril of theft unless there are visible signs of entry or exit.

37) Your client has a Seasonal Dwelling which he stores his canoe valued at $200. Your client was away from the cottage for 30 days. Upon his arrival he noticed that the canoe was stolen, the front door was smashed open, and the walls were spray painted. Your client declined coverage for Burglary, Robbery, and Vandalism or Malicious Acts. You advise your client:
   a) Nothing at all is covered.
   b) Only the canoe is covered.
   c) The canoe and the door are covered.
   d) Everything is covered.

38) Your client owns a cottage and leaves the unit unlocked. While away from his cottage some hooligans enter the unit and steal some of his belongings. Your client did not purchase the Vandalism or Malicious Acts coverage. You advise your client:
   a) There is no endorsement to protect them against this peril.
   b) There is no protection as they didn't purchase the appropriate coverage.
   c) There is no protection, but you can add the coverage prior to the date and the incident.
   d) This is an insured peril, and the claim would be covered less his deductible.

39) You are given a gift of a very expensive antique crystal decanter, and this would usually be insured under:
   a) Scheduled Personal Articles Coverage.
   b) Fine Arts Coverage.
   c) Loss Assessment.
   d) Improvements and Betterments.

40) Sewer Back-up Coverage:
   a) Removes the exclusion on sewer back-up.
   b) Provides coverage for increased cost of construction in times of high inflation.
   c) May be added to a policy at no extra premium upon request of the insured.
   d) Pays for demolition of old buildings when an insured plans to build on the same site.

41) Under Personal Articles Coverage, it is usual to insure the following:
   a) Electrician's tools and testing equipment.
   b) Instruments used by physicians and surgeons.
   c) Salesman's samples.
   d) Hobby movie camera and equipment.

42) A neighboring tree damages your house when it falls during a storm. You are upset and confront your neighbor to pay for the damages to your property. You speak to your insurance broker, and she advises you that your insurer would:
   a) Pay the claim and ignore your deductible.
   b) Refuse to pay because it was a neighbor's tree.
   c) Pay and they would immediately subrogate against the neighbor.
   d) Pay the claim subject to your deductible and review the claim to determine if subrogation would be an option.

43) How would a Seasonal Dwelling be covered?
   a) It must have a separate policy and can't be added to existing Homeowner Policy.
   b) It can be added to a Homeowner Policy as a second location.
   c) It cannot be insured under a fire policy.
   d) It is already covered for All Perils.

44) Which of the following insured perils is not automatically included under in Secondary Residence Policy?
   a) Electricity.
   b) Vandalism or Malicious Acts.
   c) Riot.
   d) Burglary and Robbery.

45) Which of the following coverages is not automatically included in the Secondary Residence Policy?

a) Personal Property.
b) Property Removed.
c) Additional Living Expense.
d) Dwelling Building.

Answers to Habitational Insurance Sample Exam Questions

Section I - Property Coverages Questions

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   b) Most Homeowner policies do ~~not~~ include Liability.
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   a) **Unit Improvements and Betterments.**
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   d) **Coverage E: Personal Liability**

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   c) ~~Additional Living Expense~~.
   d) **None of the above.**

35) A tenant negligently causes a fire which damaged the apartment building. Under which policy is the building damage covered?
   a) The Tenant's ~~Building Policy~~.
   b) **The Tenant's Legal Liability Policy.**
   c) The ~~Building Owner's Liability Policy~~.
   d) ~~Each Tenant would be assessed part of the cost of repairs~~.

Secondary/Seasonal & Section III - Optional Additional Coverages Questions

36) Personal Articles Coverage:
   a) Is ~~always~~ subject to a deductible.
   b) Automatically overseas any newly acquired article provided it is reported to the insurer within ~~60~~ days.
   c) **Provides protection on scheduled personal articles on an all risk basis and eliminates the deductible.**
   d) ~~Excludes the peril of theft~~ unless there are visible signs of entry or exit.

37) Your client has a Seasonal Dwelling which he stores his canoe valued at $200. Your client was away from the cottage for 30 days. Upon his arrival he noticed that the canoe was stolen, the front door was smashed open, and the walls were spray painted. Your client declined coverage for Burglary, Robbery, and Vandalism or Malicious Acts. You advise your client:
   a) **Nothing at all is covered.**
   b) ~~Only the canoe is covered~~.
   c) ~~The canoe and the door are covered~~.
   d) ~~Everything is covered~~.

38) Your client owns a cottage and leaves the unit unlocked. While away from his cottage some hooligans enter the unit and steal some of his belongings. Your client did not purchase the Vandalism or Malicious Acts coverage. You advise your client:
   a) **There is no endorsement to protect them against this peril.**
   b) There is no protection ~~as they didn't~~ ~~purchase the appropriate coverage~~.
   c) There is no protection ~~but you can add the coverage prior to the date and the incident~~.
   d) This ~~is an insured peril, and the claim would be covered less his deductible~~.

39) You are given a gift of a very expensive antique crystal decanter, and this would usually be insured under:
   a) ~~Scheduled Personal Articles Coverage~~.
   b) **Fine Arts Coverage.**
   c) ~~Loss Assessment~~.
   d) ~~Improvements and Betterments~~.

40) Sewer Back-up Coverage:
   a) **Removes the exclusion on sewer back-up.**
   b) Provides coverage for ~~increased cost of construction in times of high inflation~~.
   c) May be added to a policy ~~at no extra premium~~ upon request of the insured.
   d) Pays for ~~demolition of old buildings when an insured plans to build on the same site~~.

41) Under Personal Articles Coverage, it is usual to insure the following:
   a) ~~Electrician's tools and testing equipment~~.
   b) ~~Instruments used by physicians and surgeons~~.
   c) ~~Salesman's samples~~.
   d) **Hobby movie camera and equipment.**

42) A neighboring tree damages your house when it falls during a storm. You are upset and confront your neighbor to pay for the damages to your property. You speak to your insurance broker, and she advises you that your insurer would:
   a) Pay the claim and ~~ignore your deductible~~.
   b) ~~Refuse to pay because it was a neighbor's tree~~.
   c) Pay and they would ~~immediately~~ subrogate against the neighbor.
   d) **Pay the claim subject to your deductible and review the claim to determine if subrogation would be an option.**

43) How would a Seasonal Dwelling be covered?
   a) It ~~must have a separate policy and can't be added to existing Homeowner Policy~~.
   b) **It can be added to a Homeowner Policy as a second location.**
   c) It ~~cannot be insured under a fire policy~~.
   d) It ~~is already covered for All Perils~~.

44) Which of the following insured perils is not automatically included under in Secondary Residence Policy?
   a) Electricity.
   b) Vandalism or Malicious Acts.
   c) Riot.
   d) ~~**Burglary and Robbery.**~~

45) Which of the following coverages is not automatically included in the Secondary Residence Policy?

a) Personal Property.
b) Property Removed.
c) **~~Additional Living Expense~~.**
d) Dwelling Building.

Habitational Insurance Case Study Questions

Section I - Property Coverages Questions

1) I am enjoying a multi-player online video game. Just when I've almost won the battle, my computer overheats and catches on fire, destroying $5,000 worth of my software. Is it covered?

2) Mad Man Jones and Dr. Snake, my two favorite wrestlers, are about to tackle each other on Friday Night Wrestling. Raging winds outside blow down my television satellite dish, disrupting my program. Can I call the dish repair company to fix it and have the bill sent to my insurance company?

3) I accidentally drop a heavy trunk through the attic floor and into my living room. Am I covered?

4) I am making renovations to my home. $5,000 worth of building material is delivered to my friend's home two blocks away. He will keep it for me until I am ready to do the work. The material is stolen from his yard. Is it covered? Would it be covered if it was stolen from my yard?

5) My house is up for sale. I have moved out of the country and my house is vacant. If a window is broken five days after I leave the house, is it covered? If the house burns down two months after I have left the house vacant, am I covered?

6) I have just bought a luxury condo on the riverfront. It is insured by the Condominium Corporation. I have taken out a Condominium Unit Owner Policy. There is a bad windstorm, and the rooftop pool, bar, and gym sustains severe damage. Unfortunately, the Condo Corporation's strata policy didn't have enough coverage. As a result, each unit owner is assessed their share of the damage. Do I have any coverage to cover the loss that I have been assessed to cover the damage to common areas?

7) My kids are grown up and have moved out. I decided to take a chef's course and turn my house into a restaurant. The third day after opening, a grease fire destroys the building. Is it insured under my Homeowner Policy?

8) An Air Canada flight has minor turbulence and rattles across the sky. A cargo door opens briefly, releasing a small package. The package falls 40,000 feet and hits my dog, Bingo, on the head. Poor Bingo's injuries are severe, and he passes away. Is the loss of my dog covered under my Homeowner Policy?

9) On a difficult hole at a fancy golf course, I get frustrated after hitting three balls into the water. I throw my golf clubs into the water and stomp off. Are they covered?

10) I've taken a winter vacation to Florida for two weeks. While I'm gone, there is a power failure. The heat shuts off and the pipes burst. I discover it when I come home. Is the damage covered?

11) My neighbor has three 15-foot blue spruce trees in his front yard. Christmas morning, he awakens to find the middle one has been chopped down and hauled away. Is theft of his tree covered?

12) I have $2,700 in jewelry stolen from my house while I am away for the weekend. My policy has a $500 deductible. How much will I receive for my loss?

13) When I bought my house two years ago, I put some of my belongings into a storage warehouse. The company notified me there was a fire and the $6,000 worth of stuff I had in storage was totally burned up in the fire. Will my property insurance policy cover my loss?

14) I live in the county. Recently, we had a small fire in the garage. The closest fire department responded to the fire. A few weeks later, I received a bill in the amount of $1,200. Will my house insurance policy pay the bill?

15) Birds flew into my patio doors and broke the glass. Would this type of loss be covered by my property insurance policy?

Section II - Liability Coverages Questions

16) I just bought a boat for $35,000. It is a 24-foot long cruiser with a 250 horsepower motor. I want to use it this weekend, but it is too late to call my insurance broker. I take it out to my friend's cottage on the lake and I accidentally hit a swimmer. The swimmer is injured, and I get notice they are suing me. Am I covered in any way under my property insurance policy?

17) I am on vacation in a rented condominium. One evening while I'm preparing dinner, there's a kitchen fire that causes $10,000 damage to the building. Am I covered for the damage I caused?

18) You've hired a housekeeper that comes to your home once a week. You forget to tell them the electrical outlet in the bathroom shorted out and needs replacement. After plugging in the vacuum, the housekeeper receives an electric shock. Are you covered if she sues you?

19) My eleven-year-old daughter slipped on the stairs and fell, breaking her two front teeth. Can we have her teeth fixed under our Voluntary Medical Payments?

20) My grandmother lives with us. She was having a difficult time getting around. To help, we bought her a motorized scooter which she uses to visit neighbors up the street and to get around the mall. Last week, she accidentally injured another senior citizen. Will she be covered by our property insurance?

Secondary/Seasonal & Section III - Optional Additional Coverages Questions

21) My brother-in-law has a 4-horsepower motor and an 11-foot boat currently insured on a Watercraft Floater, both insured to a total value of $3,000. He decides to purchase a new 32-foot boat for

$89,000. He forgets to let his insurance company know. Three weeks later, the boat is damaged on some rocks. Is he covered under the newly acquired clause of the Watercraft Floater?

22) My grandma's house is up for sale because she had to go into a nursing home. Our insurance broker is aware it will be vacant for over 30 days and adds a Vacancy Permit to the policy. Yesterday, some local kids broke the windows and spray painted the inside of the house. Is this loss covered?

23) While on the course, my two favorite golf clubs were stolen. Will my insurer buy me a new set of golf clubs since the original brand of clubs are no longer available?

24) I did not lock my cottage when I went home for the week. Someone came in and stole all the small appliances and electronics. The loss came to $6,000. I have $500 deductible. How much will my insurance company pay?

25) I have a coin collection appraised at $4,500. Among the collection are three rare coins: one valued at $800, one valued at $450, and another valued at $300. I have been advised to purchase Personal Articles Coverage for it. How should it be insured?

Answers to Habitational Insurance Case Study Questions

Section I - Property Coverages Questions

1) Yes, up to $2,500. Page 5, special limit 6.

2) No. Page 10, exclusion 9.

3) Yes. Not excluded.

4) Not if stolen from his yard, yes if stolen from your yard. Page 3, we also insure 1.

5) No to both. Page 10 & 11, exclusion 13 & 24.

6) Yes. Page 3, coverage A2.

7) No. Page 9, exclusion 1.

8) No. Page 9, exclusion 6.

9) No. Page 10, exclusion 17.

10) No. Page 10, exclusion 19 A (1).

11) No. Page 3, we also insure 3.

12) $2,000. Page 5, special limit 10.

13) No. Page 4, we insure 2.

14) Yes, up to $1,000. Page 7, extension of coverage 5.

15) Yes. Page 11, exclusion 20.

Section II - Liability Coverages Questions

16) Yes. Page 22, any other watercraft.

17) Yes. Page 17, we do not insure 3.

18) Yes. Page 17, we do not insure 5.

19) No. Page 18, we will not pay B.

20) Yes. Page 22, motorized vehicles you own 6.

Secondary/Seasonal & Section III - Optional Additional Coverages Questions

21) Yes, up to $5,000. Page 46, newly acquired equipment.

22) No. Page 52, not covered.

23) No. Page 56, pair and set.

24) Nothing, not covered.

25) Purchase coverage individually for each of the three coins and blanket coverage for the rest of the collection. Page 45, stamp and coin collections.

Answers to 50 Things You Need to Know About Commercial Insurance

1) What three perils does the Basic Fire Policy cover? ***(explosion, lightning, and fire)***

2) How is the peril of lightning broadened in the Named Perils Form? ***(includes damage to appliances)***

3) How is the peril of explosion broadened in the Named Perils Form? ***(includes other types of explosions)***

4) What perils does the Broad Form cover? ***(all risks subject to policy conditions and exclusions)***

5) What is the Professional Liability Insurance we use in our field as brokers? ***(Errors and Omissions)***

6) What is included under the definition of Building? ***(building(s), additions, fixtures and fittings, maintenance supplies, and growing plants)***

7) What is included under the definition of Equipment? ***(equipment, contents, and tenant's improvements)***

8) What is included under the definition of Stock? ***(stock, merchandise, and packaging, wrapping, and advertising materials)***

9) What is the coverage amount based on for a Builder's Risk? ***(completed value of the building)***

10) What are the three exclusions under Glass Insurance? ***(fire, war, nuclear)***

11) What signs can be covered under a Sign Floater? ***(exterior signs)***

12) What does the by-law exclusion do? ***(excludes additional cost to rebuild in compliance with bylaws)***

13) What are the two requirements that must be met before the Farm Rebuilding Clause will pay the full amount of the farm buildings? ***(rebuild within 9 months and 200 feet from the original site)***

14) How many months' worth of the Rental Value Endorsement should be insured? ***(12)***

15) What form would be used to cover stock where the stock values are fairly consistent? ***(Premium Adjustment Clause)***

16) What form would be best used to cover stock where sales vary substantially from month to month? ***(Peak Season Endorsement)***

17) What coverage does the Consequential Loss Assumption Clause provide? ***(covers losses due to failure of a cold storage unit)***

18) What does the Gross Earnings Form cover in the event of a loss? ***(loss of earnings from the date of loss to the date the business reopens)***

19) What does the Profits Form cover? ***(loss of earnings from the date of loss to the date the profits return to what they were prior to the loss)***

20) What does Extra Expense cover? ***(costs associated with keeping business open at another location)***

21) What is the major difference between the Gross Earnings Form and the Profits Form? ***(period of indemnity)***

22) What does the Contractor's Equipment Floater cover? ***(moveable equipment from site to site)***

23) What does a Tool Floater cover? ***(moveable tools from site to site)***

24) What does the Boiler and Machinery Policy cover? ***(explosion and rupture of boilers and breakdown of machinery)***

25) What does the term Floater mean? ***(a type of insurance that covers property that is easily moveable)***

26) What does the Supplementary Payments section of the CGL cover? ***(defense costs, post-judgement interest, and other litigation expenses)***

27) What is included in Theft? ***(Burglary and Robbery)***

28) Does Burglary and Robbery include Theft? ***(no)***

29) What does the 3D Policy cover? ***(employee dishonesty, disappearance, and destruction of property)***

30) Does the 3D Policy cover safe burglary and robbery on the premises? ***(yes)***

31) What kind of losses does the Co-Insurance Clause concern itself with? ***(partial losses)***

32) Who are the three parties to a bond contract? ***(Principal, Surety, and Obligee)***

33) What do Fidelity Bonds cover? ***(dishonesty of employees)***

34) What does Products Liability cover? ***(lawsuits resulting from goods that cause injury or damage to the purchaser like defective or dangerous products)***

35) What does Garage Liability pay for? ***(Garage Liability covers lawsuits resulting from the premises)***

36) What does Stated Amount Co-Insurance Clause base the amount of insurance required on? ***(appraisal of the property's rebuilding cost)***

37) What is the Co-Insurance Clause formula? ***(did over (should x %) x loss)***

38) What are the criteria set out in the 2% Waiver of Co-Insurance? ***(loss must be less than $5,000 and less than 2% of the did)***

39) Why would Contingent Employers' Liability be required? ***(when the employees are not covered by worker's compensation)***

40) Why would Owners & Contractor's Protective Liability be required? ***(protects against a lawsuit resulting from the negligent work of sub-contractors)***

41) Why would Blanket Contractual Liability be required? ***(when your business assumes the liability of others in a contract)***

42) What coverage does By-Law Endorsement provide? ***(it removes the exclusion and allows the insurer to pay the increased cost to rebuild made necessary due to by-laws)***

43) How does Stated Amount Co-Insurance Clause differ from the traditional Co-Insurance Clause? ***(based on appraisal and a specified value as opposed to percentage of rebuild)***

44) What does Completed Operations Liability cover? ***(liability arising from faulty workmanship)***

45) What is a Manuscript Policy? ***(policy written to cover a unique risk)***

46) What is a Subscription Policy? ***(policy where more than one insurer provides coverage)***

47) What does Burglary require? ***(forcible entry)***

48) What does the care, custody, and control exclusion of the CGL policy not cover? ***(damage to property the insured is in the care, custody, and control of, see Tenant's Legal Liability)***

49) When does the Self-Insured Retention (liability deductible) come into play under an Umbrella Liability Policy? ***(when the policy covers something the underlying policy does not)***

50) What is the territorial limit of the Umbrella Liability Policy? ***(worldwide)***

Commercial Insurance Sample Exam Questions

11) The Basic Fire Policy covers:
    a) Fire, explosion and lightning.
    b) Fire, smoke, lightning and explosion.
    c) Fire, impact, riot.
    d) Fire, windstorm, lightning, and explosion.

12) Under the Commercial Building, Equipment and Stock Policy, the definition of Building includes:
    a) Growing plants inside the building.
    b) Fittings, fixtures and utensils.
    c) Wrapping and advertising materials.
    d) Tenant's improvements and betterments.

13) Which of the following is not a peril covered by the Named Perils Form?
    a) Windstorm.
    b) Riot.
    c) Earthquake.
    d) Lightning damage to electrical appliance.

14) A Peak Season Endorsement:
    a) Is another name for the Premium Adjustment Clause.
    b) Should be added to every policy that insures stock.
    c) Is useful for risks that have large fluctuations in stock at specific times.
    d) Is only available for very large manufacturing risks.

15) The Commercial General Liability Policy does not provide coverage for which of the following:
    a) Personal Injury Liability.
    b) Fines assessed the insured.
    c) Property Damage Liability.
    d) Completed Operations Liability.

16) The major peril when insuring machinery under a Boiler and Machinery policy:
    a) Explosion.
    b) Fire.
    c) Power interruption.
    d) Breakdown.

17) Which of the following is not correct with regards to an Umbrella Liability Policy?
    a) They either require other underlying liability coverage in place or if they become the primary payer a deductible will most likely apply.
    b) The main purpose of them is to supply high liability limits.
    c) They will not drop down to cover once an aggregate limit has been used up.
    d) The deductible is called Self Insured Retention.

18) What type of policy would you recommend to a customer for Crime Insurance if he has a large number of staff handling large sums of money and also has a safe.
    a) 3D Policy.
    b) Burglary Insurance.
    c) Robbery Insurance.
    d) Seven Point Policy.

19) Extra Expense Insurance is purchased to:
    a) Replace lost income until a business is able to reopen.
    b) Restore lost profits until the business is no longer affected by a business interruption.
    c) Insure the loss suffered by a business when it is affected by a property loss of another business upon which it depends.
    d) Pay additional amounts incurred to keep a business going in spite of a major loss.

20) Burglary Insurance would not cover which one of the following:
    a) Damage to the premises as the result of safe burglary.
    b) Damage to the contents of the safe which was blasted open.
    c) Money stolen from a locked safe by someone who knows the combination.
    d) Removal of the entire safe and contents.

21) Which of the following statements is incorrect?
    a) Commercial property insurance may be written on a named perils or all-risk basis.
    b) Building coverage includes growing plants used for decorative purposes when the insured owns the building.
    c) Equipment includes fittings, fixtures, tools, and utensils.
    d) Stock includes merchandise of every description but excludes advertising materials.

22) What would be considered the key difference between the Gross Earnings and Profits Form?
    a) The probable period of indemnity.
    b) The applicable Co-Insurance Clause.
    c) The fact the Profits Form is used for small retailers only.
    d) The method used to arrive at net profits.

23) Garage Liability can provide coverage for which of the following?
   a) A customer of the garage slips on a patch of oil, breaking a leg.
   b) An employee of the garage is test driving a customer's car when he knocks down and severely injures a pedestrian.
   c) Three owned cars that are going to be sold destroyed by fire.
   d) A customer's car is destroyed by fire while left on the garage premises.

24) Which statement is incorrect?
   a) Glass Insurance covers damage from all causes except fire, war, windstorm and nuclear damage.
   b) Glass Insurance can be purchased on a blanket basis.
   c) The major exposure with boilers and pressure vessels is explosion.
   d) The major exposure with machinery is breakdown.

25) Which statement is incorrect?
   a) There are three parties to a bond contract.
   b) The Surety is the insurance company.
   c) The Obligee is the party protected by the bond.
   d) The Principal is the party protected by the bond.

26) The amount of insurance for Builder's Risk coverage is usually based upon:
   a) The estimated cost to complete the project.
   b) The amount of the contractor's original tender.
   c) The retail value of the building.
   d) The completed value of the building.

27) A plumbing sub-contractor is not covered by the general contractor's policy and should obtain:
   a) An Installation Floater as an addition to his contractor's policy.
   b) Builder's Risk coverage.
   c) Commercial General Liability Policy.
   d) Contractor's Equipment Floater.

28) Under a Profits Form:
   a) There is no Co-Insurance Clause.
   b) Payment stops when damaged property has been restored.
   c) Payment is made as long as the business results are affected by the interruption, or for 12 months, whichever occurs first.
   d) Lost earnings due to damage to finished stock is excluded.

29) Fidelity Bonds may be purchased on what type of basis?
   a) Blanket for all positions.
   b) Named individuals and positions.
   c) Blanket for all employees.
   d) All of the above.

30) Consequential Loss Assumption Clause:
   a) Covers breakdown of freezers.
   b) Covers damage to items in a refrigerator system when the freezers break down.
   c) Covers both damage to the food and the freezer.
   d) None of the above.

31) Who should purchase Contingent Employers' Liability?
   a) Someone who requires food freezer coverage for his business.
   b) An employer whose employees are not normally covered by worker's compensation.
   c) It is business interruption for employers.
   d) None of the above.

32) Who should purchase Owners & Contractor's Protective Liability?
   a) A contractor who hires the sub-trades.
   b) An architect to cover against error in design.
   c) A contractor to cover against faulty workmanship on the part of his employees.
   d) All of the above.

33) Who should purchase Blanket Contractual Liability?
   a) A contractor.
   b) A business that assumes liability under contract when renting out garbage bins.
   c) A contractor who hires the sub-trades.
   d) A Condominium Corporation.

34) Why is the By-Law Endorsement required?
   a) It is only needed for home insurance, not commercial insurance.
   b) Property policies have an exclusion that does not cover the increased cost of rebuilding arising from by-laws or regulations.
   c) To increase the value a building is insured for.
   d) None of the above.

35) The Farm Rebuilding Clause:
   a) Applies when at least 2/3 of the value of the building has been damaged.
   b) Pays 50% of the rebuilding cost of farm buildings upfront.
   c) Will pay the remaining 50% if the buildings have been rebuilt within 200 feet of the original site and within 9 months of the loss.
   d) All of the above.

Answers to Co-Insurance & Commercial Insurance Sample Exam Questions

1) A building is subject to a 90% Co-Insurance Clause. The building is valued at $200,000 and insured for $170,000. The loss is $130,000. What will the insurer pay?
   a) ~~$170,000~~.
   b) ~~$200,000~~.
   c) ~~$130,000~~.
   d) **$122,720.**

2) Insured takes out $100,000 worth of insurance on a building valued at $150,000. The policy has an 80% Co-Insurance Clause. A fire leaves the property a total loss. How much would the insured receive?
   a) ~~$83,333~~.
   b) ~~$124,950~~.
   c) **$100,000.**
   d) ~~$150,000~~.

3) A building is insured for $300,000. It has a building value of $400,000 and subject to a 90% Co-Insurance Clause and a $5,000 deductible. There is a loss of $60,000. What will the insurer pay?
   a) ~~$300,000~~.
   b) ~~$60,000~~.
   c) **$44,980.**
   d) ~~$49,980~~.

4) A building is insured for $400,000 on a policy subject to an 80% Co-Insurance Clause. The building value is $420,000. The loss is $80,000. What will the insurer pay?
   a) ~~$95,200~~.
   b) **$80,000.**
   c) ~~$60,880~~.
   d) ~~$64,000~~.

5) Building is insured for $800,000. Policy has a 2% Waiver of Co-Insurance Clause and an 80% Co-Insurance Clause. Building value is 880,000. Loss is $1,200. What will the insurer pay?
   a) ~~$1,091~~.
   b) ~~$1,363~~.
   c) **$1,200.**
   d) ~~Nothing~~.

6) Marvin, a retired dentist, owns a dental clinic. It is insured for $820,000. It would cost $900,000 to rebuild it. There is a 90% Co-Insurance Clause and a 2% Waiver of Co-Insurance Clause on the policy. The building sustains a loss of $3,600. How much will the insurer pay?
   a) **The full amount of the loss.**
   b) ~~$3,643~~.
   c) ~~Nothing~~.
   d) ~~$3,280~~.

7) Bill purchased a building for $500,000. He insured it for $800,000 as that is what an appraisal said the rebuilding cost would be. He had a loss of $200,000 shortly after the purchase. There is an 80% Co-Insurance Clause on the policy. What will the policy pay?
   a) ~~$156,200~~.
   b) **The full amount of the loss.**
   c) ~~Nothing~~.
   d) ~~$250,000~~.

8) Frank owns a commercial property from which he operates his electrical engineering firm. The building is insured for $600,000. It has a rebuilding cost of $750,000. There is 100% Co-Insurance Clause and a loss of $37,000. How much will the insurer pay?
   a) ~~The full amount of the loss~~.
   b) **$29,600.**
   c) ~~Nothing~~.
   d) ~~$46,250~~.

9) Joe has $95,000 in tools. He has them insured for $80,000. He sustains a $15,000 loss. There is a 100% Co-Insurance Clause. What will the insurer pay?
   a) ~~$15,000~~.
   b) ~~$80,000~~.
   c) **$12,630.**
   d) ~~$17,805~~.

10) Mary has her restaurant building insured for $500,000. It has a rebuilding cost of $680,000. There is an 80% Co-Insurance Clause. Mary's building sustains a $300,000 loss. How much will the insurer pay?
   a) **$275,700.**
   b) ~~The full amount of the loss~~.
   c) ~~$240,000~~.
   d) ~~$220,500~~.

11) The Basic Fire Policy covers:
    a) **Fire, explosion and lightning.**
    b) Fire, ~~smoke~~, lightning and explosion.
    c) Fire, ~~impact~~, ~~riot~~.
    d) Fire, ~~windstorm~~, lightning, and explosion.

12) Under the Commercial Building, Equipment and Stock Policy, the definition of Building includes:
    a) **Growing plants inside the building.**
    b) Fittings, fixtures and ~~utensils~~.
    c) ~~Wrapping and advertising materials~~.
    d) ~~Tenant's improvements and betterments~~.

13) Which of the following is not a peril covered by the Named Perils Form?
    a) Windstorm.
    b) Riot.
    c) **~~Earthquake~~.**
    d) Lightning damage to electrical appliance.

14) 14) A Peak Season Endorsement:
    a) Is another name for the ~~Premium Adjustment Clause~~.
    b) Should be added to ~~every policy that insures stock~~.
    c) **Is useful for risks that have large fluctuations in stock at specific times.**
    d) Is ~~only~~ available for very large manufacturing risks.

15) The Commercial General Liability Policy does not provide coverage for which of the following:
    a) Personal Injury Liability.
    b) **~~Fines assessed the insured~~.**
    c) Property Damage Liability.
    d) Completed Operations Liability.

16) The major peril when insuring machinery under a Boiler and Machinery policy:
    a) ~~Explosion~~.
    b) ~~Fire~~.
    c) ~~Power interruption~~.
    d) **Breakdown.**

17) Which of the following is not correct with regards to an Umbrella Liability Policy?
   a) They either require other underlying liability coverage in place or if they become the primary payer a deductible will most likely apply.
   b) The main purpose of them is to supply high liability limits.
   c) **They will ~~not~~ drop down to cover once an aggregate limit has been used up.**
   d) The deductible is called Self Insured Retention.

18) What type of policy would you recommend to a customer for Crime Insurance if he has a large number of staff handling large sums of money and also has a safe.
   a) **3D Policy.**
   b) ~~Burglary Insurance~~.
   c) ~~Robbery Insurance~~.
   d) ~~Seven Point Policy~~.

19) Extra Expense Insurance is purchased to:
   a) Replace ~~lost income until a business is able to reopen~~.
   b) Restore ~~lost profits until the business is no longer affected by a business interruption~~.
   c) ~~Insure the loss suffered by a business when it is affected by a property loss of another~~ ~~business upon which it depends~~.
   d) **Pay additional amounts incurred to keep a business going in spite of a major loss.**

20) Burglary Insurance would not cover which one of the following:
   a) Damage to the premises as the result of safe burglary.
   b) Damage to the contents of the safe which was blasted open.
   c) **~~Money stolen from a locked safe by someone who knows the combination~~.**
   d) Removal of the entire safe and contents.

21) Which of the following statements is incorrect?
   a) Commercial property insurance may be written on a named perils or all-risk basis.
   b) Building coverage includes growing plants used for decorative purposes when the insured owns the building.
   c) Equipment includes fittings, fixtures, tools, and utensils.
   d) **Stock includes merchandise of every description ~~but excludes advertising materials~~.**

22) What would be considered the key difference between the Gross Earnings and Profits Form?
   a) **The probable period of indemnity.**
   b) The ~~applicable Co-Insurance Clause~~.
   c) The fact the Profits Form is used for small retailers ~~only~~.
   d) The ~~method used to arrive at net profits~~.

23) Garage Liability can provide coverage for which of the following?
   a) **A customer of the garage slips on a patch of oil, breaking a leg.**
   b) An employee of the garage is ~~test driving a customer's car when he knocks down and severely injures a pedestrian~~.
   c) Three owned cars that are going to be sold ~~destroyed by fire~~.
   d) A customer's ~~car is destroyed by fire while left on the garage premises~~.

24) Which statement is incorrect?
   a) **Glass Insurance covers damage from all causes except fire, war, ~~windstorm~~ and nuclear damage.**
   b) Glass Insurance can be purchased on a blanket basis.
   c) The major exposure with boilers and pressure vessels is explosion.
   d) The major exposure with machinery is breakdown.

25) Which statement is incorrect?
   a) There are three parties to a bond contract.
   b) The Surety is the insurance company.
   c) The Obligee is the party protected by the bond.
   d) **The ~~Principal~~ is the party protected by the bond.**

26) The amount of insurance for Builder's Risk coverage is usually based upon:
   a) The ~~estimated cost to complete the project~~.
   b) The amount of the ~~contractor's original tender~~.
   c) The ~~retail~~ value of the building.
   d) **The completed value of the building.**

27) A plumbing sub-contractor is not covered by the general contractor's policy and should obtain:
   a) ~~An Installation Floater as an addition to his contractor's policy~~.
   b) ~~Builder's Risk coverage~~.
   c) **Commercial General Liability Policy.**
   d) ~~Contractor's Equipment Floater~~.

28) Under a Profits Form:
   a) There is ~~no~~ Co-Insurance Clause.
   b) Payment ~~stops~~ when damaged property has been restored.
   c) **Payment is made as long as the business results are affected by the interruption, or for 12 months, whichever occurs first.**
   d) Lost earnings due to damage to finished stock is ~~excluded~~.

28) Fidelity Bonds may be purchased on what type of basis?
   a) Blanket for all positions.
   b) Named individuals and positions.
   c) Blanket for all employees.
   d) **All of the above.**

29) Consequential Loss Assumption Clause:
   a) Covers breakdown of ~~freezers~~.
   b) **Covers damage to items in a refrigerator system when the freezers break down.**
   c) Covers ~~both~~ damage to the food and the freezer.
   d) ~~None of the above~~.

30) Who should purchase Contingent Employers' Liability?
   a) Someone who requires ~~food freezer coverage for his business~~.
   b) **An employer whose employees are not normally covered by worker's compensation.**
   c) It is ~~business interruption for employers~~.
   d) ~~None of the above~~.

31) Who should purchase Owners & Contractor's Protective Liability?
   a) **A contractor who hires the sub-trades.**
   b) An architect to cover against ~~error in design~~.
   c) A contractor to cover against faulty workmanship on the part of ~~his employees~~.
   d) ~~All of the above~~.

32) Who should purchase Blanket Contractual Liability?
   a) A contractor.
   b) **A business that assumes liability under contract when renting out garbage bins.**
   c) A contractor who ~~hires the sub-trades~~.
   d) A ~~Condominium Corporation~~.

33) Why is the By-Law Endorsement required?
   a) It is ~~only needed for home insurance, not commercial insurance~~.
   b) **Property policies have an exclusion that does not cover the increased cost of rebuilding arising from by-laws or regulations.**
   c) To ~~increase the value a building is insured for~~.
   d) ~~None of the above~~.

34) The Farm Rebuilding Clause:
   a) Applies when at least 2/3 of the value of the building has been damaged.
   b) Pays 50% of the rebuilding cost of farm buildings upfront.
   c) Will pay the remaining 50% if the buildings have been rebuilt within 200 feet of the original site and within 9 months of the loss.
   d) **All of the above.**